

Karur Vysya Bank Ltd. (KARURVYSYA)

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The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C -1, 'G' Block,
Bandra - Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Unaudited Financial Results of the Bank for the Quarter and Half Year ended September 30, 2023

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on October 16 , 2023 at 05:30 p.m. (IST), in connection with the Unaudited Financial Results of the Bank for the Quarter and Half Year ended September 30, 2023 .

The same is also made available on the website of the Bank and can be accessed on the following link:

<https://www.kvb.co.in/docs/investor-con-call-transcript-fy24-2.pdf>

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager

Encl: As above
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"Karur Vysya Bank Limited
Q2 FY '23 -'24 Earnings Conference Call"
October 16, 2023

MANAGEMENT : MR. RAMESH BABU – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MR. NATARAJAN – PRESIDENT AND CHIEF OPERATING OFFICER

MR. RAMSHANKAR – CHIEF FINANCIAL OFFICER

MR. DOLPHY JOSE – GROUP HEAD – CONSUMER BANKING

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Moderator: Ladies and gentlemen, good day and welcome to the Q2 FY '23 -'24 Earnings Conference Call of The Karur Vysya Bank. We have with us today the management team of KVB, represented by Mr. Ramesh Babu, MD and CEO; Mr. Natarajan, President and Chief Operating Officer; Mr. Ramshankar, CFO; and Mr. Dolphy Jose, Group Head - Consumer Banking.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, to take us through the highlights of the quarter gone by, after which we will open the floor for questions. Over to you, sir.

Ramesh Babu: Thank you very much. Yes. Good evening to all, and welcome to The Karur Vysya Bank's Earning Call to discuss the results of quarter 2 of financial year 2024. I am pleased to mention that our bank continues to demonstrate its consistent performance in the second quarter of the year in terms of growth, profitability and asset quality. I am very happy to say that the bank has crossed historical milestone of total business of INR1.5 trillion, that is INR150,000 crores. You would appreciate that we had crossed INR1,25,000 crores in March '22, and the next INR25,000 crores has been crossed within a short span of 18 months.

You will be glad to note that our performance in terms of credit growth, margin, ROA and delinquency is in line with our guidance. I am sure you will not differ, if I say that, the outcome is on account of our continued focus on various initiatives we were implementing over the last few quarters. All of you would have gone through our detailed presentation on our quarter 2 numbers.

I would like to share some of my thoughts on the performance of the bank during the quarter and our guidance for quarter 3. We were able to sustain the growth momentum during the second quarter as our total business grew by 4% and reached a level of INR153,516 crores. We have been guiding in our earlier calls about our focus on inclusive growth from all verticals with respect to advances.

I am pleased to share that during the current quarter, we continue to maintain this, while commercial and corporate rate clocking 6% quarter-on-quarter each. Agriculture and retail segments have grown by 4% each. Our continued focus on MSME in metro, urban and semi-urban locations supported the growth under commercial segment. Corporate book, which has muted growth in last quarter improved during this quarter on account of higher disbursements. Retail growth is similar to last quarter, and the majority of the growth has come from mortgages, both residential and non-residential. Our focused effort on the distribution and benchmarking of our products to market-supported operating team to garner more business under these segments. The overall growth is a touch above on our annual guided growth of 14%, and we expect that the trend will continue.

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Our deposit growth was at 3% during the quarter, and the term deposits and CASA deposits were grown by 4% and 1%, respectively. We had highlighted about our liabilities acquisition team. Out of the planned resources of 1,300, we continue to build our retail acquisition team by onboarding 367 resources during the second quarter, aggregating to 1,272 resources. Seamless integration with the original structure is being pursued, first to achieve the synergies of the branch and sales channel for augmenting larger business growth. Our YTD growth during the year so far is at 13%, and

we plan to maintain the growth trend in tune with our trade expansion.

We had indicated in the last two calls about expected compression in NIMs in the first half year and would be in the range of 4%. Net interest margin reduced by 12 basis points on sequential basis during the quarter and is now at 4.07%. For the first half year, we are able to maintain NIM at 4.13% in spite of the NIM compression. Our net interest income has grown by 2% during the quarter and 16% year-on-year thanks to our consistent efforts in bringing the desired asset growth.

While cost of deposits have gone up by 20 basis points, yield on advances increased by 7 basis points during the quarter, resulting in a compression of 12 basis points. Based on our historical pattern of renewal of deposits and fresh deposit acquisition, we expect that there will be a further increase in the cost of deposits to the extent of 20 basis points in third quarter, assuming no change in our deposit rates. Yield on investments has gone up by 13 basis points during the quarter, and it is estimated to go up by 10 basis points in the next quarter.

We have increased our MCLR by 25 basis points during the quarter and initiated many efforts in maximizing returns from the credit book and we expect 10 to 15 basis points increase in the yield on advances maybe in the next two quarters. Considering all these factors and without taking into any policy rate changes, we expect that NIM will stabilize at 3.8% at the exit quarter of the current year. We have achieved ROA of 1.57% in this quarter in spite of reduced margin, our business growth, fee income, lower credit cost and recoveries in written-off accounts continue to support us to keep the ROA above 1.5% levels.

Our slip pages continue to be under control, and our gross slippages for the quarter is less than 1%, which is as per our guidance. We continue to have negative net slippages taking into account recoveries from the written-off accounts this quarter also. Our SMA 30+ for the entire loan book at the end of the quarter continues to be at less than 1%. We are confident that we will continue to keep the ratio below 1% as guided in our earlier calls.

Our efforts on recovery of technically written-off accounts are continuing to yield results as we have recovered a sum of INR86 crores during the quarter. Total recoveries till first half of the year are INR144 crores. Due to lower slippages, recoveries and write-offs, our gross NPA has come down to 1.73%, and we expect that we will continue to maintain at below 2% levels. For the quarter under review, we have provided a sum of INR102 crores towards NPA migrations, standard assets and prudential provisions. We estimate that credit costs for the current year would be in the range of 75 basis points as guided.

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As done in last quarter, we have provided a sum of INR25 crores more towards floating provision to meet any contingency, including ECL and provision available now under this head is INR50 crores. Our net NPA has come down to 0.47%, and we will continue to maintain net NPA at less than 1% of our loan book. Our standard restructured book is further reduced to 1.2% of our loan book, and we hold a provision of 25% of a standard restructured book.

Our cost-to-income ratio is at 49.14% for the current quarter, which is sequentially higher over previous quarter. This is mainly due to additional provision made towards superannuation benefits on account of wage revision of employees. Bank has been providing 15% of our eligible wage bill from November '22 onwards on the estimated wage bill increase.

Now it is estimated a sum of INR100 crores is required towards superannuation benefits on account of wage revision. And we have provided a sum of INR33 crores during the current quarter and the balance amount will be provided in the next two quarters. So far, we have

provided INR117 crores. So if you see that including the current quarter additional provision, the additional cost is a onetime expense, and our normalized staff cost would be in the range of INR290 crores to INR300 crores per quarter.

As indicated earlier, our cost-to-income ratio would be in the range of 45% to 50%, and this is our endeavor. Our CRAR continues to be robust and is at 16.84%, providing us comfortable headroom for growth. Our liquidity is well managed and the CD ratio is around 84%.

During the quarter, we opened 16 branches predominantly in semi-urban and total branches opened during the first half of the year is 25 branches and opened one digital banking unit at Chennai. Our new initiatives of KVB Smart under the Commercial Banking business is progressing with a portfolio of INR49 crores. It added Madurai center during the quarter in addition to Coimbatore, Chennai, Hyderabad locations with a team size of 48 members. It is in a formative stage. It will take some time for delivering what we thought.

Business under NEO, co-lending business, and transaction banking and the precious metal

continue to perform well. Other business performance highlights are given in our presentation. We have been consistently improving our performance over a period of last two years, and the trend is continued in the half year also.

I would like to conclude with the quote of Napoleon Hill, strength and growth come only through continuous effort and struggle. Our effort would be to focus on sustaining our growth momentum to ensure that our ROA is above 1.5% levels going forward. I am grateful to all our investors, analysts and stakeholders for their confidence and continued support, which we will reciprocate through our better performance in the days to come. Now I'll be glad to respond to your questions. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rakesh Kumar from B&K Securities. Please go ahead.

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Rakesh Kumar: Thank you, sir. So . Sir, just one question, firstly, on this cost of term deposit. So how much increase would have happened, sir, in this quarter on a sequential basis, cost of term deposit s, sir?

Ramesh Babu: Term -- it's 20, cost of term deposits.

Rakesh Kumar: Yes, sir.

Ramesh Babu: The cost of overall deposits, term deposits, I think CFO.

Ramshankar: Because we don't have any cost for CA -- it will be same...

Ramesh Babu: Same cost. Yes so during the quarter, the term deposits the same trend is being maintained, and no additional costs have gone up because the rates of interest, they have not changed. The same rates are being continued.

Rakesh Kumar: And cost of deposits, sir, how much increase was there, sir, cost of deposit like -- and how much it is expected in the Q3 and Q4, sir?

Ramesh Babu: Q3, we conveyed in the original listing, around 20 basis points, we can expect that way. And cost, if you can look at this 5.16% is the cost of deposits now.

Rakesh Kumar: Okay. And the similar kind of increase or would be there in Q4, sir, Q4?

Ramesh Babu: Q4, we'll not be able to tell at this stage because the flow is what we look at it because -- how it unfolds, we'll have to see. Suppose if the liquidity becomes an issue and other banks are increasing the rates and all, we will have to do it. Otherwise, we will be continuing more or less at the same rate and the same trend will continue. So that's why what we thought is once the third quarter results are there, we'll have a better clarity about the fourth quarter. At that time will give you an indication.

So that way, if you look at it, our cost of deposits for the June is 4.96%. Now it is 5.16%, 20 basis points, it has gone up there.

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Moderator: Thank you. The next call is -- the next question is from the line of Jai Mundhra with ICICI Securities. Please go ahead.

Jai Mundhra: Congratulations, sir, on a great set of numbers. Sir, first, on credit growth? So as you mentioned in your opening remarks, we have done much better than the guidance that we had given at the beginning of the year of 14%. Any thoughts on, sir, revising that guidance approach?

Ramesh Babu: No, Jai, in fact, it's a bigger question why I tell you. So because this quarter, if you look at it, CIG has contributed where the growth was muted relatively last quarter. But if otherwise also if you look at it around the sector, each one of them, they have grown very well. So what we feel is still we want to maintain this 14%, 15% what we are saying. The reason is simple.

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Now the deposit cost what all is coming up. So suppose, if this continuous majority is coming up in time deposits, it may not be worthwhile to take the lower yielding many of the assets. So in the process, we may, in fact, during this quarter also, we are planning to come out of a few of the low -yielding assets at least so that the margins can be protected.

So instead of taking the deposit at that rate and all and with a thin margin of 0.5% and 1% working on that, instead of that low -yielding top line will come down, and we will increase this sort of yield if I'm replacing an account with an 8.25% to 9.25% or 9.85%, I will be

straight getting on the same amount of 1% and 1.5%. So that way at this stage rather than focusing on the top line, we're trying to focus on the bottom line when the deposits normalcy restores and all, these sort of a fight comes down, then we can think of the top line also aggressively how we can grow.

Jai Mundhra: Right. Okay. And sir, similarly, you also mentioned that the deposits have been continued. I mean, the deposit growth has mainly come on term deposit side. At the same time, we had -- we were running this initiative on CASA.

Ramesh Babu: Correct.

Jai Mundhra: So if there is any update, I think the -- maybe the growth Y-o-Y and Q-o-Q for CASA has now been in -- is very low single digit 1%, 3% only, is there any -- I mean, how are you accessing the CASA growth initiative?

Ramesh Babu: Yes, absolutely. Our Dophy Jose, who is the Head of Consumer Banking is on the call.

Dophy, so please take this question and all. Go ahead. Dophy are you there?

Dophy Jose: Repeat the question because I got disconnected in between. Can somebody...

Ramesh Babu: The CASA initiative what we have taken, how is it going forward? And what are the expectations and guidance that's what the Mr. Jai Mundhra is asking. You can respond on that.

Dophy Jose: Yes. So our growth is 13% is what our CASA growth is not our overall deposit growth is. And our overall deposit where the maximum growth has come from the TD and RTD deposit mobilization. CASA has been comparatively slower. But for ensuring that going forward that we are beefed up to do the incremental top line on CASA and continue to garner the low-cost deposit is in track. As I'd mentioned last time that we were -- also MD sir just mentioned about recruiting around close to 1,227 people already on board, which are --- a pure sales team, who is into acquisition of CASA primarily.

And also to augment that we also have a team is the frontline branch team, which is called branch sales and service executives, which is again a lateral recruitment of about close to 1,000-odd people who are trained for engaging with customers for further deepening and improving the PPC of -- Product Per Customer.

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So these are the two large activities which we are doing, and it's in place. And I'm expecting

good traction, and we should be able to continue the chase of CASA as per the guidance of the bank.

Ramesh Babu: Yes. Jai, in fact, I would like to add a few more points on what Dophy has mentioned. I think Dophy, I think you have to mute, that echo is coming. Yes. So just I would like to add, Jai, are you there?

Jai Mundhra: Yes sir.

Ramesh Babu: Few things I just want to add in addition to what he has mentioned. Now you see then these 1,300 people have come, they have come from different banks. So the technology what they were using and the products what they were using were altogether different. Initially, there was a lot of brainstorming is there and what is good for the bank because the bank has their own products and all, every year we were pushing the product.

Now the question is when these boys have come, they are demanding saying that this is what market wants, we need to modify our product on these lines then only the product will be to through. Likewise, the technological intervention what all are required also, they have been demanding that is good for the bank. So that way, these things are in the process, process changes, technology changes and product changes. So in the process, all these people, they are on the job into the market.

Now coming to the point you are asking, saying that suppose if the CASA vertical started functioning, why it is not getting reflected in the CASA numbers? It's like this, the flow is coming, but the problem is that existing accounts majority of the balance what all is there, is majority is moving into time deposits. Because people are in a hurry, how long these rates will be there and all they want to lock the rates, So that is the reason money is flowing into from the CASA into the time deposit.

Now initially, we were also hesitant not to move and to encourage them to retain with CASA. We had a bitter experience of few other customers straightaway the time deposits that moved to some other banks. Initially, it may go as the time deposit, but later total relationship may go out. So that is the reason we are encouraging them to be with us only by shifting it to time deposits. So this is a process, it may take some more time. But in the meanwhile, you also understand the money may be going for these real estate, gold and stock market, these things also are there in general for the banking industry. That is the reason the new initiative of

CASA what we have taken, The new acquisition comes and we deepen, in course of time, we will be getting good numbers there in that. Otherwise, earlier, only branch channel was doing all these things that may not be sufficient enough to take care of the growth what we are having in the assets.

Jai Mundhra: Right. Understood. And sir, before I move to this loan growth, if you have the number for the treasury gains during the quarter, how much was that? And in this a part of other of 142?

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Natarajan: So the treasury gain I think this in the presentation Slide number 11 to INR11 crores increase for this quarter.

Jai Mundhra: Okay. Understood. And now sir, a question on your retail growth strategy, right? So in the retail loan book that you have given product-wise housing LAP, personal loan. So there is a very sharp healthy growth in LAP and there is a renewed growth in the personal loan, right? So we were doing a separate channel for LAP, I think NEO and Smart -- KVB Smart. So any, if you can update that, a) how big has been the NEO now? And, b) how is the other alternate channel of Smart playing out? Number two...

Ramesh Babu: Jai, in fact, there is a small difference in what the KVB Smart and NEO are doing. NEO's focus was earlier on the LAP. But later, when we have given them the task of the home loan also, they opened a branch in Hyderabad exclusively for the home

loans and CRE. And later, one more branch of Bangalore also has been converted for the NEO. And these branches are focusing on the home loans and NEO focus on the LAP continues, So NEO is growing very well. Absolutely, there's no issue.

So overall, the per year, our expectation is around INR2,200 crores. And this quarter also, the growth is around INR600 crores, INR700 crores.

Ramshankar: INR945 crores we have grown.

Ramesh Babu: Six months their growth is INR945 crores. Whereas coming to Smart, the different is, Smart focus is not on the LAP, their focus is on the working capital. So that way, they started the centers in the inaugural address I told that. Now Madurai center also recently just people have been onboarded in the sense that recruitment has been happened. So their outstanding is around currently INR49 crores, something like that. So they are settling down with the existing bank practices, what all are there, they are able to settle down and they start giving the numbers.

But if you look at originally when the NEO started, NEO's numbers also were like this only.

But over a period of time, NEO started contributing around INR2,000 crores or INR2,500 crores per year. So over a period of time Smart also will do that. But both of them are on track and Smart is also because what all centers they wanted they did it. So now maybe next three months, four months, we will start seeing the numbers.

Jai Mundhra: Right. And sir, what is the outstanding number for NEO? I mean, INR2,200 crores is the run rate for disbursement...

Ramshankar: INR4,800 crores.

Ramesh Babu: INR4,800 crores, yes.

Jai Mundhra: Sure. And lastly, sir...

Ramshankar: INR5,055 crores. Yes.

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Jai Mundhra: Okay. And sir, has anything changed on your outlook on personal loans? Because earlier, we were, the book was not growing. And now there seems change in that direction personal loan.

Ramesh Babu: No, Jai in fact, I'll tell you, our outlook on the personal continues as it is. There are a two-pronged approach. One is, out of our existing accounts, what all we have filters with that pre-approved personal loan, we have identified which has come to around INR450 crores to INR500 crores, out of that INR50 crores to INR60 crores we could book.

But we earlier also, we have told, the Axio partnership what all is there, where under BNPL so many customers have been created, along with our Axio partners. So we thought that depending upon -- after looking at their repayment capacity and the CIBIL score of the last two years, how we have identified -- Axio has identified with the analytics team a set of people

who are good for the personal loans. And we asked them to fund those personal loans initially, and six months to nine months, they did it and all the repayments were good. And after that, we bought a small pool from them.

Now we are in the process of working with them for a co-lending arrangement with 80:20. So that way, what all pool -- small pool we have taken. But this pool, what we have taken is also the customers of ours because they are a part of the BNPL. So we have gone in a different stages. One is the total BNPL, out of that we made Axio to do that. Once we tested that model and all, third, we started going for the co-lending and the pool purchase. So our focus would be two-pronged. One is on the existing book what all ours are there out of that.

But let me be frank with you, you cannot expect huge numbers from the existing book because the corporate salary package accounts in our book are relatively few compared to other banks. So if those sort of accounts are not there, is self-employed and now if you go for personal loans and all, COVID time what experience we had, similar experience we may have to encounter. That is the reason we are going slow on our own book

personal loan, but whereas

that Axio book what BNPL we have done, there absolutely we have a good scope. We will take it forward.

But whatever it is, we will not go aggressively under the personal loans because if we grow there and all the growth will go aggressively. But Reserve Bank of India, whatever guidance they are giving, in that way, we will go in a measured as far as personal loans are concerned. But we have a good window opened through the BNPL customers for funding these personal loans.

Jai Mundhra: Right. Understood. And last question, sir, what would be your -- I mean, target for branch opening this fiscal year?

Ramesh Babu: 40 branches we planned, out of the 25 branches have been opened because they wanted to front-load this thing so that once they come, you may be incurring the cost, I agree but they will -- progressively, they will be delivering something. 25 have been opened, and next another 15 branches also. We will try to do open majority of branches in this quarter, leaving very few for the last quarter.

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Moderator: Thank you. The next question is from the line of Prabal Gandhi with AMBIT Capital. Please go ahead.

Prabal Gandhi: Congratulations, Mr. Babu, and entire Karur team for the good quarter. So just continuing from the last participant's question, where you highlighted that the bank does not want to compromise on margins and that is why the bank is conservative on guidance of growth. But we also have 250% -plus LCR, Liquidity Coverage Ratio. So can you utilize this LCR and fund loan book?

Ramesh Babu: Yes, yes, we can do it. You have to look at it in two ways. One is LCR is there. Second side is the CD ratio. So all along, we have been maintaining a CD ratio of 85. Currently, also, if you look at it, just 84 -plus, we are there. So that way, we have some room. If you look at a few banks that there 90, 100, 110 also is there. But we do not want to go with that majority of our funding credit we want to do it through our capital or the deposit.

So that way what you said is correct, that room is available there. We can take it out. We can do that. That also, we are working on that. So second, because they have INR2,200 crores more than the SLR required, what all that cushion is there. So we kept it other side. But to the extent possible, we want to raise the deposits here and then to fund the assets. Otherwise, what you said is correct, that also the room is available for us.

Prabal Gandhi: Okay. And in the deposit as well, we are focusing more on the CASA franchise and the...

Ramesh Babu: Correct. As we said, because last year itself, we started the process, but it took some time to augment these people. And now our team has come in place, and I was telling that initial hiccups what all are there, maybe in the process, product, technology, these things the process is going on. Once they are through, so they will be on the job and all, they will be firing the gun. And then those customers deepening the branches will be doing. So this is the plan.

Prabal Gandhi: Okay. And sir, so since they're focusing on CASA franchise and now in we have also built the team for a CASA -- with CASA people, should we not increase our SAR rate because our saving rate is 2.25% which is one of the lowest, so instead of getting term deposit at 7% and above, we can simply raise SA rate maybe 4% or 5%. And you can get [inaudible 0:30:42] that as well.

Ramesh Babu: I agreed. Prabal that is a good point what you have mentioned. But what you do empirically when we saw it earlier, the interest rate change has not brought much money. Let us assume in

our case, also above INR100 crores, we said that we'll give a higher percent of 4%. We did find any terrific growth into the particular INR100 crore segment at all. Next thing also, you need to look at it. Suppose if

we are going to change the rate and if you are going to revise, the uncertainty that I may or may not get fresh accruals that is uncertain. But certainty is existing portfolio gets repriced immediately, and I will have to pay on this -- at this ratio to all of them. And tomorrow for any reason, if I reduce this rate, there will be a big heartburn. So that is the reason what we thought, which has been discussed many times in our ALCO meetings and with the liabilities team also. So what we thought instead of spoiling the existing

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setup the customers and paying higher, so why can't we try, and we had a discussion with the field team also whom we have taken whether we need to do? What they also said is, let us test the waters currently with the current rate. And if we reach a Chinese wall where we cannot beyond that at that stage, we can do it rather than an overnight increase in the cost for the CASA now itself.

Prabal Gandhi: Perfect. Sir, second question is just to clarify also, you said in your opening remarks that we are expecting 20 basis points jump in cost of deposits for the next two quarters and 10 basis points jump in...

Ramesh Babu: I didn't said two quarters, I told about third quarter.

Prabal Gandhi: Okay. Only third quarter, and an increase of 10 basis points in yield on advances.

Ramesh Babu: No, no. That's also what I mentioned was is like this. 20 basis points spike in the cost of deposits and a 10 basis points to 15 basis points spike in the yield on advances in the coming two quarters. Because if you look at the third -- second quarter also, the yield is up by 7 basis points. So that's why what we thought is if the same trend continues for the next two quarters. The yield will go up by another 15 basis points. That's what we thought.

Prabal Gandhi: Okay. But by the end of third quarter, at least the deposit so that fully repriced. So the maximum of that deposit can get repriced up by 20 basis points.

Ramesh Babu: That is what our intention because it's quite opaque now how it works if we do not know if the credit growth grows every other bank also raises their deposit. You may have to raise.

Otherwise, if it is not required, you may continue the same way or RBI may do something. It all these still let us see on this quarter and all then we'll take a call for the next quarter.

Natarajan: See Prabal, repricing on that aspect and NEO upon onboarding, whatever we are onboarding, we have to pay a higher cost so that is issue now.

Prabal Gandhi: Okay. Yes, understood. Sir, the third question is on growth in the commercial and the small and medium segment. The competition is relatively on the higher side but we are still able to clock on the rate of 19% growth. So what is our strategy here? And how are we able to do much better than what our competitor is doing?

Ramesh Babu: Yes. In fact, the team there, they did a homework of what are the changes required in the process and the knowledge gap in the people who are unable to deliver, with all these things and those who are well performing, how did they do it? All these things, they have studied.

And the same thing is getting replicated to see more-and-more branches contribute. That is the reason. So if you can look at it, the disbursements quarter-on-quarter are going up by 10% to 15%. So likewise, which are the sectors where we are strong.

If we focus on those sectors, this clinching the deal will be much faster. And that is the reason the food processing, the wholesale, the retail trade and these sort of things have been given focused rather than the textile. At the point of time we were doing only textile. Now textile

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slowdown is there. So the team started focusing on rest of the

things. There is buoyancy in the

market in the ground. So this requirement of the credit is there. So we are able to do.

So that way, if you look at it earlier, a few divisions were contributing. Now many divisions started contributing. And any sort of hitches here and there in whole process of onboarding that we started fixing. So that way, it has more than the process and the team who are

operating, they become more comfortable in pushing the SME.

Prabal Gandhi: Understood. And sir, how are you seeing your loan mix evolve over a period of time because now our corporate loan book share already at 21%. It used to be around 40% earlier. How you see the projection...

Ramesh Babu: You would have seen that. So if the commercial book grows, nothing like that for us. The reason is it's a granular book, highest yielding and where we have strength. And that way, our aim is to maintain the 33, 35 what all is their progressively to take it. And rest of the two verticals of the agriculture as well as the personal banking those sort of things. And the balancing number will be the corporate. And corporate also, you would have seen that our focus has moved from a big corporate like INR200 crores, INR300 crores, it has come down to below INR100 crores and majority of exposures are below INR75 crores. That is a reason our average ticket size also has come down to INR39.41 crores.

So corporate also, though it is a normal case talks about corporate, we started granularizing the portfolio for better yield and for the risk management. So our focus will be on the commercial, followed by the retail, agriculture and then CIG. Agriculture is really helping us in maintaining our the priority sector. Otherwise, for this growth, what we are getting in the priority sector is not growing, we need to buy the PSLC subsequent, which again is a cost for us.

Prabal Gandhi: Understood. And sir, last question. So what would be our technical write-off pool? And what kind of recovery are you expecting in terms of pool over next 2 to 3 years?

Ramesh Babu: In fact, we have indicated saying that it can be around -- last call, one of the analysts were asking whether we'll be able to more or less reach the number of last year like INR208 crores. So we are more or less on track for the INR250 crores, something like that we'll be able to do that. INR200 crores, INR250 crores we'll plan for this one. And for the whole year, we will see how we can take it forward.

Prabal Gandhi: Understood. And you have the number ready for technical write-off pool?

Ramesh Babu: Ready -- What is that?

Ramshankar R: Write-off of pool number.

Ramesh Babu: Pool, is -- I'll tell you, Prabal, it is deceptive. The reason is suppose pool, if I talk about, let us say, 400, I'm just saying that, there are many accounts of the old infrastructure, which were booked in 2012 and all where -- actually, when they want to consult NCLT, what you get is

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3%, 4%, and many other consortium accounts are there. Those accounts where the chances of recovery is pretty low.

But where if you look at what is actually retail, MSME and the corporate with some sort of security, which comes to around INR1,500 crores, INR1,600 crores will be there. So our focus is majority on them. But as you know very well, so every time we try to do it and all, the borrowers are much more smarter, we will use all legal means to stall the process.

And we are also tuned for this comment on how to overcome that's why we started getting this money which was not there earlier. So our team is now geared up to push the technical write-off amounts also to the extent possible. So that really to expect around INR1,500 crores to INR1,600 crores is a pool where you can put your hands on that.

Moderator: Thank you. The next question is from the line of Madhu Dey from

Altavista Capital Partners.

Please go ahead.

Madhu Dey : Congratulations on continued strong performance. So I have this question on your unsecured book, which is very small. So I wanted to understand your strategy on this piece because while it is extremely important to focus on the liability which you are doing, but this is something which is -- although you have a large share, higher ending MSME portfolio. But this is also one segment which a lot of competitors are going very aggressive on. So given that you still have a very low risk-weighted asset density. What is going to be your strategy on the unsecured piece?

Ramesh Babu: Yes, yes. Ma'am, in fact, if you can look at it earlier when they were asking I was narrating, actually earlier, actually, the personal loan was not a focus area at all for the bank because our focus was majority on the secure. Even if you look at it majority of our personal segment as well as SME segment, they are backed by security.

Now that outlook, we have changed over a period of time, pre-COVID, maybe it was a wrong time, I do not know. So we have actually analyzed our total portfolio. We brought out some -- our own existing customers who are eligible for the pre-approval personal loans, and we have gone for around INR500 crores to INR600 crores of portfolio.

So we were growing at that time suddenly COVID has come and the first default started in the

personal loans, because there is no security, no stake, no skin in the game. So they defaulted on that. And we had to bear the brunt at the particular point of time. And subsequently, we were lying low. Then little we thought when everyone is growing. So the point what we sort of thought was, this is a cycle when things move well. Personal segments, personal loans will go well. If there is a small issue here and there and all, again, you will be having this sort of thing. We have come out of the bigger issues at the corporate earlier we do not want to actually repeat those sort of issues again in the retail. That was a precise reason we were a bit conservative. But then found out different opportunities in that. As I was mentioning, our existing customer base, if you look at it, majority of them are not salaried.

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Now that the liability teams what we have created we have a sub-sector and the team will be doing for the salaried also. Over a period of time, we also will be along with other personal loan. But in the meanwhile, what we thought is you must be knowing we have an arrangement with Ama zon through our partner Axio and we have created a big pool, and more or less the outstanding range is between INR350 crores to INR400 crores.

But this is not a question outstanding, the number of customers whom we have created out of that. It ran into 30, 35 lakh customers are there. Out of them, many of them out of their past record and performance they have proved with their CIBIL score also, they are good for the personal loans,

So what we did is our Axio team has a very good analytics team is there. So we work with them and found out and filter who are the people who are good for the personal loans, And for that, what we did is we asked Axio to finance these people initially. And Axio started financing them from the last year January.

And up to 1 year, more or less they have financed and the recovery was going on very well as planned by them. That is the reason this year we bought a small pool out of that because these are combined customers of both of us. And now we are actively engaging with Axio, for the co-lending because it's a tested customer, where the chances of failures are, I'm not saying failures will be there, but the loss given default, if you look at it, that is bearable from the yield what we are getting.

So our focus is our two-pronged on these customers.

One is you fix a personal loan limit

against them. We have activating our credit card team also by taking people from the market. So we have other things are there. So once that team is in place, these customers many of them have low credit card, the personal loan limit what we are giving a part of that we can give them as a credit card debt, let's say, INR5,000. So that it will help them to create their credit history. And for us, the credit card business also will go up where MDR will be able to get and on the other side, personal loan also we can give. So this is a broader plan what we have, and we are actively working on that.

Madhu Dey: So what's the -- I mean, is it that only a personal loan is the only unsecured piece in your entire book? Or is that...

Ramesh Babu: Absolutely. Personal is unsecured. Otherwise, the rest of the data if you have seen. So home loans, mortgages, jewel loan, vehicle loans, all of them, they are more less secured by something or other. Education loan is also, to some extent, backed by some sort of collateral. And other loans, what we talk, it includes the staff loans what we have as well as the loan second is a time deposits. So personal loans in our connotation is they are literally unsecured loans.

Madhu Dey: Okay. So any target for the unsecured loan in the next two years? And any new products that you are planning to add here?

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Ramesh Babu: all in all what I have explained to you, this is what is the plan, but I tell you, if we did not go aggressively in the particular segment, it can be maybe a 5%, 10% of our portfolio that way, and not -- cannot be beyond that.

Madhu Dey: Got it. And any new products that you're thinking about?

Ramesh Babu: Yes, product is a blended product, what I said. Suppose if you give a

personal loan to them, a part will be financed this way, and second one if you give a credit card limit to them. So then it is the blended product going to them credit card limit, and on that, you have a dual benefit. So on the interest portion, MDR, what you are getting that way. So that will be helping us. Let us say the interest will come. So now once we start doing this one, we will be finding many more opportunities from this customer. Our Axio who is very well entrenched into these sort of things, they are working on them. So we will bring out some of our products for the people once we start testing with the personal loans.

Madhu Dey: You are not -- a lot of your competitors are eyeing this micro finance segment also?

Ramesh Babu: Yes, that's all I tell you. In fact, in one of the calls last time, we have mentioned it, that also I need to brief you. What happens there is a lot of opportunity is there because there also is absolutely unsecured bank was not going. Last one year, we did a homework on that. Rather than we're directly embarking on the journey and do this one because when you do not have an internal expertise, later you may burn your finger.

What we did is we partnered with 1 other BC who is already doing with around 12 other banks and all for the last 7, 8 years, and they have majority presence in the South, and we have partnered with them by looking at their track record and all.

So now we -- they started opening the branches of ours as well as their together, and we have common underwriting norms are there. With that, the portfolio is more or less reaching around INR100 crores last 3, 4 months when we started. And we are in the process of entering into a tie-up with 2 more such partners. And once this two place -- also will come into place. So progressively will be going under the MFI space also.

Madhu Dey: This is coming under which heads in your...

Ramesh Babu: Agriculture. Under agriculture, it will come there.

Madhu Dey: Okay. So there's a small piece of unsecured in ag

riculture also.

Ramesh Babu: Yes, yes, yes. Absolutely, absolutely. My point is we started taking the baby steps because we are looking at what are the various pros and cons. And once we have comfort and all the firm footing what we have, we'll scale it to the next level.

Madhu Dey: Okay. And my very last question is you indicated that you wish to maintain this 1.5% ROA that you have already achieved. It seems that there's going to be some kind of stagnancy in ROA before the deposit engine starts firing. Am I correct in this understanding?

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Ramesh Babu: So it's not the question of stagnancy. If you look at it, we have many pockets are there. If you look at our NPA, the total NPA of the net NPA of the bank is INR324 crores. Out of that, if you can just look at the same slide, INR155 crores is the slippages of this quarter. If you deduct that INR155 crores of this quarter seepages, the net NPA comes to INR169 crores. Out of that, if you look at restructured book 25%, we have a provision there. Out of INR900 crores, 25% is INR225 crores is there. If I appropriate the INR225 crores restructuring book my net NPA will be come on zero.

Over a period of time, then a need for providing for the credit cost comes down and automatically by book growth the top line, both on the income side as well as the credit cost comes down, in between the cost we are incurring for these new projects. May be there, but they are going to yield results over a period of time.

So we need not to worry about the ROA because if you can look at it, when the things are good, INR25 crores, we have provided for the contingency reserve last quarter and this quarter. Maybe after two to three quarters, there may not be any need to provide that one once we get a clarity that what all we have provided would be sufficient enough to take care of the ECL.

So all these cushions what we have, we are not yet exhausted. So that way, if you look at it, we are more or less getting a feeling saying that in this quarter, we will be more or less at about 1.6% as far as the ROA is concerned. So the trajectory, what we have, and you would have also seen our SMA 30+, which has to forward flow into the NPA. Their also when it is under control, the chances of NPA and in turn the credit cost, all these things, that's why we wanted to show transparency to the market.

So there, we have enough cushion in the credit cost because of INR324 crores, after two months or two quarters, there may not be much need to provide INR102 crores what we have provided here. If you had to provide INR25 crores to INR30 crores, there itself we will have an additional cushion of INR75 crores there.

Madhu Dey: Okay. You see upside in the credit cost in the near term, in the next two quarters?

Ramesh Babu: No, no, we are not looking at it. That's what I'm saying. Credit cost, what we have given an indication is 75 basis points, we will be well within that, well within that. Credit cost will not

go up there. That's what I'm telling. The reason is then your SMA 30+ is 0.68%, something like that. Then even if you assume 50% goes towards NPA also, it may not be 0.34%. So that way, there may not be much need for the credit cost there. So you will have some sort of a freedom from the credit cost, which will help you in your ROA. Am I clear or not. If you are not clear, I can repeat.

Madhu Dey: No, no. I understood it. What you're trying to suggest is, there could be some pleasant surprise in terms of your need to provide in the coming quarters?

Ramesh Babu: No, no. There is no question of any pleasant surprise. If you look at it, numbers are very clear. When my net NPA is INR324 crores, how much I will provide. I cannot provide INR400 crores for that. Okay? As simple as that.

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Madhu Dey: And a very last question since -- because of the need to garner -- improve the quality of deposits you're having to beef up your field force, et cetera. What is a realistic time line to get to that aspirational cost-to-income ratio?

Ramesh Babu: Aspirational cost-to-income ratio, you would have seen that we were at 54 55, okay? I really had we not taken the initiatives like liabilities, 1,300 people taking in a branch level, 1,000 lower-level team we are taking. Smart -- KVB Smart for the commercial banking what we are taking. And all these things, if we have not done, ideally our cost to income would be at 45 only, no problem. But we will be doing industries to the bank if we do not take these initiatives, the future of the bank will be very gloomy.

That is the reason, as an investment we are making, which should not be considered as a cost at this stage. If you do not incur these costs at this stage, tomorrow is our top line and income will not grow. Otherwise, our intention is to be in the range of 45 to 50 only. So you could see that they are on March ending also how is our cost-to-income ratio.

Moderator: Thank you. The next question is from the line of Lalit Deo from Equirus Securities. Please go ahead.

Lalit Deo: Sir congratulations on a good set of numbers, congratulation. Sir just one question on clarification maybe. So like you mentioned that on the employee side, the expenses maybe broadly in the range of about INR290 crores to INR300 crores after adjusting for this superannuation benefits. So like from FY'25 onwards, like we can see a annual employee structure in the range of over INR1,200 crores to INR1,250 crores. Is that right?

Ramesh Babu: Yes, yes. We estimate that only. I'll tell you Lalit, what we are doing because IBA what all has come up and all. So last time when we did it and all, there was a shortfall in one quarter we had to make. So we do not want those sort of surprises and shocks to any one of them. That is the reason sufficiently we are making provisions for these sort of cushioning. So tomorrow, if this much of requirement is not there, we will be reversing these things, sir.

So agreed, what all we can perceive and visualize what is required, everything we are providing because when the good times are there if you do not provide at this stage, tomorrow, you may have to repent. Once these are through and as we said, that one time INR100 crores for three quarters if you provide, this will be out. So then onwards, it will be a normalized cost and all, what you said is pretty correct, we may be in that range only.

Moderator: We'll have to take that as the last question. I would now like to hand the conference back to Mr. V. Ramesh Babu, MD and CEO, for closing comments.

Ramesh Babu: Yes. Thank you all for the patience and the interest what you have shown in our bank. And for the good word and the good wishes what you have conveyed and we'll continue our journey the same way and we will take it forward, keeping the interest of all the stakeholders. Good day to all of you, and thank you once again.

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Moderator: Thank you very much. On behalf of The Karur Vysya Bank, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

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IRC:F48:22 :50:2024 January 29 , 2024

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C -1, 'G' Block,
Bandra - Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Unaudited Financial Results of the Bank for the Quarter and Nine Months ended December 31 , 2023

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on January 22, 2024 at 5:30 p.m. (IST), in connection with the Unaudited Financial Results of the Bank for the Quarter and Nine Months ended December 31, 2023 .

The same is also made available on the website of the Bank and can be accessed on the following link:

<https://www.kvb.co.in/docs/investor-con-call-transcript-fy24-3.pdf>

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager

Encl: As above

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Q3 FY 23-24 Earnings Conference Call"
January 22, 2024

MANAGEMENT : MR. B. RAMESH BABU – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – KARUR VYSYA BANK
LIMITED

MR. NATARAJAN – PRESIDENT – KARUR VYSYA BANK
LIMITED
MR. CHANDRASEKARAN – CHIEF OPERATING OFFICER
– KARUR VYSYA BANK LIMITED
MR. RAMSHANKAR – CHIEF FINANCIAL OFFICER –
KARUR VYSYA BANK LIMITED
MR. DOLPHY JOSE – GROUP HEAD – CONSUMER
BANKING – KARUR VYSYA BANK LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '23-'24 Earnings Conference Call of the Karur Vysya Bank. We have with us today the management team of KVB represented by Mr. Ramesh Babu, MD and CEO; Mr. Natarajan, President; Mr. Chandrasekaran, Chief Operating Officer; Mr. Ramshankar, CFO; and Mr. Dolphy Jose, Group Head, Consumer Banking.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, to take us through the highlights of the quarter gone by, after which we will open the floor for questions. Over to you, sir.

B. Ramesh Babu : Thank you, Yashashri. Good evening to all of you. Welcome to Karur Vysya Bank's earnings call for quarter 3 financial year '24. I trust that you, your colleagues and family members are keeping well and are in good health. My heartiest new year greetings and wishes to each and everyone of you. I also would like to thank you all for taking out time in joining the call.

I am pleased to share that performance of the bank in terms of growth, profitability and asset quality have been consistently improving over the last 13 quarters, and our Q3 performance numbers are in line with the guidance given during our previous interactions.

You will be happy to note that branch has achieved 4-digit profit of INR1,149 crores in 9 months, and our asset sales have passed INR1 lakh crores mark. Besides numbers, the qualitative changes that we have brought in gives us the confidence of sustained improvement in our performance in the days to come. All of you would have gone through our detailed presentation on our quarter 3 numbers.

I would like to share some of my thoughts on the performance of the bank during the quarter and our guidance for quarter 4.

The business model transformation that we had embarked is progressing well. We continued to execute on a strategy which is aimed at granularizing the book, and we were able to sustain the growth momentum during the third quarter as our total business growth was at 3% and reached a level of INR1,58,357 crore.

We have been guiding in our earlier calls about our focus on inclusive growth from all verticals with respect to advances. I am pleased to share that steady momentum was observed in RAM verticals with 4% quarter-on-quarter loan growth and 20% Y-o-Y growth. We expect this to sustain in the future. Retail advances grew faster at 5% Q-o-Q driven by growth in mortgage and personal loans category, Commercial advances clocked 4% growth and agriculture advances achieved a growth of 3% during the quarter. As we were focusing mainly on keeping margins intact, we shed away low-yielding advances, which comes to around 0.75% of the advances in our corporate book resulting in degrowth in corporate vertical. This is a conscious decision taken wherever the yields were low, we tried to pass on these higher yields where there is a resistance from them, we politely requested them to that extent, a big

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account few of them, we got it prepaid. This is the main result for the degrowth. So YTD growth is 13% for our entire loan book which is in line with our guidance for the full year

growth of 14% -plus.

Deposit growth remains one of the key focus areas for the bank, and you are aware that the bank had initiated various strategies for deposits, including establishment of sales acquisition channel for both term deposits and CASA growth. Our deposit growth was at 3% during the quarter, and term deposits and CASA deposits grown by 4% and 1%, respectively. While our CASA acquisition numbers are progressing well in line with the targets, there is a depletion in the existing book on account of other opportunities available for the depositors, which we are trying to overcome by better engagement strategies with our customers. Our YTD growth of the year so far is at 12% and we plan to maintain the growth trend in tune with our credit expansion.

Our CD ratio is within the range of 85% and we will continue to maintain at these levels. We had indicated in the last call that NIM would stabilize at 3.8% at the exit quarter of the current year. NIM improved to 4.32% sequentially by 25 basis points which include 19 basis points on account of interest recovery from 1 NPA account. If we exclude the one off item, NIM was at 4.13% for the quarter. We consciously shed away low -yielding corporate advances, as I said earlier, on one side and focused more on better yielding granular secured advances, that too in RAM vertical during the quarter. This has helped us to maintain the margins above 4% levels. We are hopeful to continue our efforts in maintaining our NIM around 4% for the exit quarter.

We decided to focus primarily on margins with a decent growth till cost of deposits normalizes rather than growth only without giving due cognizance to the yields.

The cost of deposits increased by 9 basis points sequentially. Based on our historical pattern of renewal of deposits and fresh deposit acquisition, we expect moderated raise in the cost of deposits by 15 basis points in the fourth quarter, assuming no change in our deposit rates.

Yield on advances increased by 22 basis points during the quarter (excluding the one off item). We expect a growth of 10 basis points increase in the next quarter as we had increased our MCLR rates twice during last quarter.

Yield on investment has increased by 5 basis points during the quarter, and it is expected to go

ected to go

up in a similar range in the next quarter. Considering all these factors and without taking into any policy rate changes, we expect that NIM will stabilize at 4% at the exit quarter of the current year.

We have achieved ROA of 1.65% in this quarter. It could be noticed that our ROA has been consistently improved from 0.93% in December '21, which is the result of our concerted efforts in stimulating the various levels of ROA and enabled us to achieve this parameter well ahead of the timelines. YTD ROA is 1.58% and we are confident of maintaining ROA of above 1.6% for financial year '24.

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Our gross slippages during the quarter continued to be under control at INR197 crores and for the 9 months at INR369 crores, which is 0.51%. On an annualized basis of the 9-month slippages, if you look at it, it comes to 0.68% of our book. Our digital underwriting, eyeballing proposals by risk team, better valuation methods by technical team, collection set up what we have created and credit monitoring all have helped us to keep a better control on the slippages. Also, we are confident that we will continue to keep the ratio below 1% as guided in our earlier calls.

Our efforts on recovery of technically written off book is continuing to yield results as we have recovered a sum of INR65 crore during the quarter. Total recoveries till 9 months of the year are INR208 crore, which is equivalent to last full year recovery. Due to lower slippages, recoveries, upgrades and write-off, our gross NPA has come down to 1.58%, and we expect that we will continue to maintain GNPA at below 2% levels.

For the quarter under review, we have provided a sum of INR107 crores towards NPA migrations, standard assets and prudential provisions. We estimate that the credit cost for the current year would be in the range of 75 basis points as guided. As done in last 2 quarters, we have provided a sum of INR25 crores towards floating provision to meet any contingency, including ECL and cumulative provision available under this head is INR75 crores, which we have provided INR25 crores each in last 3 quarters.

Our net NPA has come down to 0.42%, and we would continue to maintain net NPA at less than 1% of our loan book.

Our standard restructured loan book is further reduced to 1.09% of our loan book and we hold a provision of 28% of the standard restructured book.

You are aware that wage revision impact as per bipartite settlement has been arrived at 17%, and we had already provided for wage revision at 15% from November '22 onwards. We have provided additional amount of INR7 crores for the balance 2 % during the quarter. With respect to pension obligations, out of the estimated amount of INR114 crores, we have already provided INR33 crores in quarter 2 and during current quarter, we have provided INR41 crores and the balance amount of INR40 crores will be provided in Q4 for the current financial year. Our normalized wage bill for the first quarter of the next year would be in the range of INR325 crores.

The additional provision for pension obligations has slightly increased our cost -to-income ratio to 50.27% for this quarter. However, YTD cost -to-income ratio is 48.95% which is within our guidance range of 50%. As indicated earlier, the bank would strive to maintain CIR in the range of 45% to 50% for the year.

Our CRAR, as per the Basel III, continues to be healthy and is at 15.39% providing comfortable headroom for growth.

So as all of you know, the profit for the 9 months has not been included in that and without that, it is 15.39%.

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With regard to RBI's notification on investments in alternate funds, our investments as at the end of 31st December comes to IN

R10.86 crores only, and we do not have any credit exposure for the companies where they have made downstream investments.

Bank has added 7 branches in Q3, totalling 32 branches during the current year up to December, aggregating 831 branches and 8 more branches will be opened during the fourth quarter.

Our new initiative, KVB Smart and our Commercial Banking business is progressing with a portfolio of INR92 crores. It is currently operating at Coimbatore, Chennai, Hyderabad, Madurai and Bangalore with a total team size of 48. Many of these staff numbers they have reported recently. So, that way, the real potential of this initiative we will be able to see from the next financial year.

Business under NEO, co-lending, transaction banking and precious metals continue to perform well. Few more experiments what we did like opening a home loan branch in Hyderabad and subsequently one more branch similarly converted another branch in Bangalore, these 2 are doing well. So based on that few more branches, we are planning to do that. So that is an experiment we have done, which has succeeded well.

So, striking a balance between maintaining healthy margins and pursuing strategic growth opportunities is a challenge that every one of us has to navigate in the current dynamic banking landscape. Our effort would be to focus on sustaining our growth momentum with healthy margins to ensure that our ROA is above 1.5% level at all times.

I am grateful to all the investors, analysts and stakeholders for their confidence and continued support, which we will reciprocate through our better performance in the days to come.

Now I'll be glad to respond to your questions. Thank you.

Moderator : Thank you very much. We have a first question from the line of Chintan Shah from ICICI Securities. Please go ahead.

Chintan Shah : First of all, sir, congratulations on a good set of numbers, strong margins, so led by one-offs.

So but first, I had a question on the personal loans. So sir, our personal loans portfolio, sir, now stands around INR13 billion. So it has kind of more than doubled in the last 1 year and almost 60%, 70% has jumped Q-o-Q.

And I think I remember, I think we had told in the previous call that we don't have strong corporate salary accounts, and so growing personal loans could be a bit challenging. So -- but we were resorting to co-lending for growing the personal loan book. So just want to understand the strategy so how has this is working? So is there any reason for such stupendous growth there? And any thoughts -- means, would that be able to sustain or not? And how are the yields we are compared to the other products? Yes, that would be the first question.

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B. Ramesh Babu : Thank you. Thank you, Chintan. No, what you said is very correct. Even today, what we say is the corporate salary book is not that strong. But all of you know, we have an existing arrangement for the Amazon BNPL. So that has been going on for three years with a pretty decent margin as well as a very low stress there and all.

Under that, because this time, both the festivals are there during quarter, Dussehra as well as Diwali, the spike has come on account of that. In all these cases, this has been absolutely curated to it. First of all, at the Amazon level from the millions of accounts what they have, they'll identify and they'll bring out and filter the customers.

And after that, it passes through our partner and us. And if both of us are satisfied with the criteria, then only we'll give that. So the same process, which we have been following for the three years has been followed. And the spike is on account of the festivals. I'm not saying that the spike is going to continue in the months to come, because the festival spike has come. Maybe on account of the Republic Day, something

else may come up.

But in the meanwhile, the rundown will be there by end of March. So that way, this tempo may not continue. It is a one-off. Coming to the yields, if you look at it, it comes to around 12% something like that. But we have an FLDG also, where the cohort loss is around 1.2%, our FLDG is around 5%. So that way, we are sufficiently insulated as far as the losses are concerned. So this is regarding that. That's why it's not a normal personal loans what all are given. It is everything has come through BNPL only.

Chintan Shah: sir. So just one follow-up on that. So I understand, so the tenure for these loans would be less than six months. As you told, there would be a rundown in March.

B. Ramesh Babu: Very true. Less than six months. Yes.

Chintan Shah: Okay. Sure, sir. That is the first one. Sir, secondly, on this margin. So first of all, this 19 bps recovery which we have seen, so that firstly, for that NPA account, we would have recovered the entire principal. So that amount would be for set up against the principal and then we have set it up against the interest. Is that understanding correct?

B. Ramesh Babu: Very true.

Chintan Shah: Okay. And sir, this would be a large corporate account in my opinion, right?

B. Ramesh Babu: Last corporate account? What is the...

Ramshankar: Large corporate.

Chintan Shah: Large corporate.

B. Ramesh Babu: Correct. You're right.

Chintan Shah: Okay. And so sir, any other means, accounts on which we are working for similar, where we could have a similar bump up in margins because of this?

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B. Ramesh Babu: It can come up, but nothing is in our hands because many of the large corporate accounts either NCLT legally somewhere stuck. When suddenly it will be released, we do not know. So that is the reason we cannot give any assumption or a guidance on these things. Whenever something once in a while comes up and all, it may bump up once in a way.

Chintan Shah: Sure. And sir, this account was written-off or present in the books? Was this a written-off account?

Natarajan: No. So whatever the interest account we have shown, it was the principle was in the books. So that's why the -- it has gone to the interest. Otherwise it would have gone to the recovery from technically written-off account...

Chintan Shah: Exactly. Okay. Sure. Got it. And so sir, just one last thing on the wage bipartite settlement. Sir, there the incremental hit to us because of an additional 2% is INR7 crores. So that is until December. So now we have provided up to 17%?

B. Ramesh Babu : Up till December we have provided, but one more quarter also, we have split into two parts.

Ramshankar: So there are two things in this. One is the normal wage revision. Another thing is pension obligations which we need to -- actuarial valuation to be done, okay? That's was done at 17% for this quarter. Last quarter, if you remember, we had mentioned 101 cr for the full year and Rs 33 cr for the quarter ...

Chintan Shah: You have already mentioned.

Ramshankar: Yes, 33. Now since revised to 17%, it should be revised actuarial valuation, which came to INR113 crores -- INR114 crores. So the 33 has become 40, 40 for this quarter and next quarter.

Chintan Shah: Sure, sir. And so sir, you mentioned the normalized base would be INR125 crores, that would be per month from Q1 FY'25? INR325 crores quarterly, sorry. Okay.

B. Ramesh Babu: Correct. Yes.

Chintan Shah: Sure, sir. This is actually very helpful sir. Thank you for patiently answering all my questions and all the very best. Thank you, sir.

B. Ramesh Babu: Thank you, Chintan.

Moderator: Thank you. We'll take our next question from the line of M.B. Mahesh from Kotak Securities. Please go ahead.

M.B. Mahesh: Good evening, sir. Congratulations.

B. Ramesh Babu: Good evening, Mahesh.

Thank you.

M.B. Mahesh: Sir, just on this -- on the previous question, you mentioned about your 20 basis points positive impact. How much is it in rupees, sir?

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Ramshankar: That will -- it should be around INR30 crores, yes, INR30 crores.

M.B. Mahesh: INR30 crores, is it? Okay. And sorry, I missed one comment which you made. You indicated that cost of deposits would grow by how much by 4Q?

B. Ramesh Babu: 15 basis points.

M.B. Mahesh: 15. And what would be the current term -- cost of your term deposit book, sir?

B. Ramesh Babu: Term deposit book, let us check, one second. Mahesh, in fact, during the course, we'll just come back to you, okay? We'll just take that number and all we'll let you know.

M.B. Mahesh: And if you were to just kind of add this 15 basis points for 4Q, you would say that the -- your repricing has been completed on the cost of deposit side?

B. Ramesh Babu: No. How can it be? Because accounts -- deposits which are getting matured, when they get repriced, automatically they'll place it at this one, no? So that way, we cannot say the total repricing has been completed.

M.B. Mahesh: So it will still continue into 1Q as well, is it?

B. Ramesh Babu: And one more thing, the fresh deposit what all are coming also they'll be coming at this rate only.

M.B. Mahesh: Sir, the idea is that if your book carries a duration of about a year or slightly above that...

B. Ramesh Babu: Not one year, it carries two years also because earlier, we used to have 555 days these sort of deposits also. So that way, it is 1.5 years to 2 years.

M.B. Mahesh: Okay.

Ramshankar: 6.74% cost of...

B. Ramesh Babu: Cost of time deposit is 6.74% average.

M.B. Mahesh: 6.74%. Okay. Perfect, sir. So you would say that next year margins will also still be under pressure unless there is a mix in the loan -- on the loan side?

B. Ramesh Babu: No, the sense that margins can be like this, but still, whatever it is, we are more or less reasonably feeling saying that 4% NIM we'll be able to maintain for the exit quarter. Earlier, we were telling 3.8%. So many cases, we are engaged with the borrowers for the repricing and particularly, where bigger borrowers who are not willing, so we have come out of those exposures.

So those things, actually, they are helping us actually because there is no point in taking a deposit at 6.5% and adding the PSL cost, capital cost, term cost all these things. So that way we told them, which is low yielding and all to get out of that. That money if you are deploying in 9.5, 9.75 those sort of assets and all, overall, our yields are going up. So that way, the cost of

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deposits also we are selective in raising the deposit also where we are not warranted. First of all, we are rebalancing the portfolio. With that what all money is coming, we are lending it. And beyond that, what is required, we are going for the deposits.

M.B. Mahesh: Perfect, sir. Thanks a lot for this. And just one clarification. I assume that you seem to have a pretty good demand on the mid corporate loans because you've grown that book quite well, and you're seeing pretty good demand there.

B. Ramesh Babu: So the demand is there, actually, in fact, because of the good onboarding, what we have done and as we were mentioning in the initial discussion, the monitoring and collection with these things, the stress also is more or less under control. Mahesh, if you look at it, the mid corporate, the disbursements are going up more or less 20%, 22% quarter-on-quarter. So last

year compared to December '22, if I look at it, it has gone up by more than 40%.

M.B. Mahesh: Perfect sir. Very useful. Thanks a lot for this.

B. Ramesh Babu: Thank you.

Moderator: Thank you.

We have a next question from the line of Rakesh Kumar from B &K Securities.

Please go ahead.

Rakesh Kumar: Yes, hi. Can you hear me, ma'am?

B. Ramesh Babu: Yes, please. We are able to hear you.

Rakesh Kumar: Yes. Good evening, sir. Quite a strong set of numbers. So congrats for that. Sir, one question was pertaining to this NBFC exposure that we have, so this is like around INR3,000 crores and we have slightly shed the exposure I think in this quarter. So what is the strategy plan that we have to increase the exposure in the NBFC further or we would keep on trimming this number.

B. Ramesh Babu: No, it is not the question of trimming. I just hear earlier, so what we were having, AAA, AA, all those things were there with a very low yielding. When RBI guidelines have come up for additional capital provision also for that. And the cost on the other side is growing the cost of deposits. A few of them, they are not willing to take the additional cost at the time of repricing. So that's why we told them saying that it may not be possible for us to fund. And we told them to prepay at the time of repricing, few of them have prepaid. It made sense for us as well as for them because they might be having alternate source of raising the money. But why we did also because many of these relationships, they are price-sensitive and not agnostic. So for tomorrow, actually, we are able to normalize the deposit rates and all, and we are able to raise the money at a normal rate. And actually we go back to them, again they'll come to us. So that is not the question of relationship, it is all related to the pricing. So those cases, what we have found out and all, we have actually got out of that. Our NBFC exposure used to be above 7.5% something like that, now it has come down to below 7%, so it doesn't mean saying that we'll be at 7%. It can come down also, it can go up also. Continuously, we are gauging. The

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yields what we are getting and the low-yielding accounts what all are there on the top, continuously we're engaging. If you find a better revenue in other verticals with better pricing or yields are there, we do not mind getting out of those exposures also and to rebalance the portfolio.

Rakesh Kumar: Understood, sir. Very good. Sir, can you tell on this SA deposit due to an industry-wide phenomenon, but we are also like getting slightly volatile number that we have seen on this SA deposit side. So any strategy or what plans you might have to augment this SA deposit number?

B. Ramesh Babu: Yes. Rakesh, in fact, I'll tell you. So I'll make a statement and then I'll hand over to our Head Consumer Banking also. But if you look at it, so I was mentioning in my opening remarks, our new to -- suppose new accounts, what we are getting, at least that is strong, we are going on. Now the existing book what all is there, a part of that is going into time deposits. If we resist them not to go to a time deposit, the chances are it may go to some other bank initially. And finally, the relationship also may go out. So it makes sense for us instead of going out and taking a deposit, it is better to get from them. And likewise, if I look at my numbers also, the cost of raising time deposit between the retail and bulk is different.

Bulk, I may have to pay 20 to 25 basis points more. If many of our customers instead of going elsewhere, if they are placing the money with us, I'll be getting the retail time deposits at a cheaper rate and the relationship also I'm able to maintain. So what we are trying to do for the deepening and all these things, Dolphy, Head Consumer Banking, will explain. Yes, Dolphy, over to you.

Dolphy Jose: Yes. Good evening, Rakesh. Dolphy here.

Rakesh Kumar: Good evening, sir.

Dolphy Jose: On the SA side, Rakesh, I mean, this is an industry phen

omenon. There -- almost all banks are facing this SA erosion primarily, which we all understand is because the consumer -- customer itself has shifted from savings to consumption and some consumption to investment, and that's the trend. So the ideal way to hold on to your balances extra is to make sure that your hooks are in the right place, and we need certain product hooks and why we are critically focusing is on the third-party products.

So in third-party products where our primary focus is, of course, insurance and then mutual

funds where we are again focusing on SIP, both on shares as well as mutual funds. These are our two primary hooks, which we are aggressively marketing. And that would give us some decent hooks to hold on to the balances and have some incremental balances.

On the organization part on the bank per se, on the liability franchisee, we have again segregated the overall franchisee into one on the ETB deepening channel and the new acquisition channel. So we have a separate acquisition channel, which is a sales team of about 1,200, 1,300 -odd people who are purely LTV going out to the market and acquiring new -to-bank customers on CASA, TD.

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And we have further sub-verticals for corporate salary and for now lately, we have developed a team of about close to 200 -odd PRMs or priority RMs, as we say, who will be catering to those customers whose balances are from INR10 lakhs and above. So that's for further deepening. And we have a product bouquet, which can keep these customers engaged to make sure that the deepening is in place.

So these are things which we are doing on the organization level. And focus will continue on RTD, as MD sir mentioned that, yes, a part of our SA depletion is because of the transfer of SA to TD for higher rates, etcetera. So these are the multiple things which we are doing. We are also parallelly developing a BC channel where we intend to, again, new -to-bank customers, but they will also get into other retail asset products. So overall, this is how the deepening focus -- for deepening in the branch.

So going forward, our deepening activity or where we focus on the ETB, the existing to bank customer, and we have a decent customer base of about close to 9 million customers, it will be primarily managed and enhanced by our branch banking team. And we have a granular structure in the branch where we're trying to have a hybrid model in the branch where we have 2 separate goals which we have introduced lately, which is one is the BSSE, which is the bank sales and service executive and PRMs, so both put together today, as of today, we should see around close to around 1,200 -odd people already in and rolling.

And they're already in the last quarter, all these channels have given us significant incremental on the new -to-bank acquisition. The ETB also has started tracking and we have -- they are started giving us incremental volumes in the last quarter. So that's the whole idea, and that's how we are proceeding in the CASA segment.

Rakesh Kumar: Got it. Thanks for very elaborate answer sir. Thank you and all the best for the future performance sir.

B. Ramesh Babu: Thank you.

Moderator: Thank you. We have a next question from the line of Prabal Gandhi from Ambit Capital. Please go ahead. Mr. Gandhi your line is unmuted. Please go ahead with your question.

Prabal Gandhi: Yes. Am I audible?

B. Ramesh Babu: Audible Prabal. Please go ahead.

Prabal Gandhi: Congratulation, sir. My first question is on MSME side. So we are growing at 20%. In the morning, another Tamil Nadu based lender reported MSME growing just 2% on a Y-o-Y basis. So just wanted to understand how are we able to capture demand and grow at 20% when our same geography peer is struggling on the growth?

B. Ramesh Babu: I cannot compare ou

r selves with anyone, because ours is a journey not started today. So you must be seeing last 3 years continuously, we have been focusing on the MSME. If you can

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look at it, our percentage of the total book has moved now to 33% -odd now. So progressively, we have been moving. Now the various engines what all are there, so we have activated them. Many other branches, which they were unable to absolutely source them, so we have provided necessary inputs like training and process-related many issues, hiccups are there, we started fixing them. And that way, the confidence levels for the people have gone up.

And above all, the tag with which what we are giving and the confidence the other side borrowers they have got it that also is helping us. So all these things have supported us so in onboarding. And above all, our risk team, continuously, they monitors what is good, what is

bad they are telling.

So right from the sourcing, we are selective in what we need to do, where we can do, where we cannot do. All these things have helped us. In addition to that, new initiatives like -- so our KVB Smart, what we have created, those things also will be helping. So it's an ongoing journey, so the journey has slowly started working and many more people are joining the band wagon.

So that is the reason we are able to do. So we are finding good amount of -- absolutely, if you can look at it, our approval rate is around between 40% to 45%, which implies out of sourcing 55%, we're declining it, which is not meeting our standards.

If we can dilute and relax our norms, it can go up to 70%, which we do not want to do it. Once we do it, there later, we have to face about the SMAs and NPA. So that we are finding some set of opportunities there we are doing despite issues coming up and demand in the textile has not picked up yet. So maybe after 6 months, the textile picks up well, the downstream industries related to textiles, that also will give us some more scope for us to grow further.

Prabal, are you there?

Prabal Gandhi: Yes, yes. Perfect. So just an extension to that will be, so the growth in MSME is coming, say, disproportionately from the new customers or the old customers utilizing their limit, which is just...

B. Ramesh Babu: No, the utilization levels are more or less at the 70% only. It has not crossed. So we thought saying that even any other industries, if we look at it, hovering between 70% to 75%, so new customers, majority is coming from the acquisition and though enhancements are there, but major growth is from the acquisition.

Prabal Gandhi: Perfect. Sir, second question will be on operating expenses. So even if I have to adjust for the wage revision and the pension obligation, even then this seems to be running high obviously, we are investing in the bank. So that could be the reason. How do you see the productivity pan out? And any targets on the opex to asset or cost to income that you envisage for 2 to 3 years?

B. Ramesh Babu: And I fully agree with you. So though we were also abreast of this one. But the point is until and unless the capacity and infrastructure what all are required the manpower if we do not take

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it. If you have a big plans to grow and all of them, they go, haywire that is the reason the manpower we are investing on that.

And not only that, we are having a mechanism also to continuously gauge the productivity and performance of these people wherever comes sort of the people who are unable to deliver, either we are counselling them and otherwise, providing some separate support to grow. If something is not there, a few of them, they are leaving also an ongoing process, but new initiatives, what we are taking in the process, we are

supposed to incur some costs.

That's why earlier I used to say, so rather than treating them as a cost, we need to treat as an investment, which will be yielding results in due course. But at this stage, if we do not invest, the future will be bleak. But in addition to that, you need to appreciate one point, with all these math still we are able to deliver the ROA what we have guided.

So that way, we are trying to work out within the broad parameters what we have committed, including a cost-to-income ratio, ROA, NIM with these things, what we need to devote for the infrastructure and future growth, we are trying to spend on that. But anyhow, we are also in the process of reviewing wherever some sort of an unwarranted expenses is there, how to get out of that, we are looking at it, and we are on the job.

Prabal Gandhi: Okay. Sir, and just last point. So I did notice that we made INR25 crores of floating provision this quarter as well and we have been making that from last 3 consecutive quarters. But just a request that in a quarter like these in a bump up quarter like these when we get sort of one-off recoveries and things like that instead of having 17%, 18% ROE?

If we can just increase the quantum of floating provisions that will sort of give more confidence on the sustainability of the earnings for next 2 to 3 years rather than having one quarter of very good numbers. So just a request from my side...

B. Ramesh Babu: No, no, no. Absolutely. Your point is well noted. But just one more point, you need to keep, Prabal. So you see somewhere some bumping up is there in the income side. But other side, expenses side also some bumping up is there because the 15% to 17%, some sort of a pension, these sort of things we need to do.

So keeping all these points in view, we thought that let us do it, but your point is well noted, next time to insulate these sort of turbulence. So what we need to do, we will do that. So that continuity and sustained performance will be there. We'll do that.

Prabal Gandhi: Great sir. Thank you and all the best for the future.

B. Ramesh Babu: Thank you.

Moderator: Thank you. We'll take our next question from the line of Arvind R from Sundaram Alternates. Please go ahead.

Arvind R: Hello sir. Thank you so much for the opportunity and congratulations.

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B. Ramesh Babu: Yes. Thank you, Mr. Sundaram.

Arvind R: Great set of numbers. Sir, I just have two questions. Sir, 1 is, so our non-core fee income like close to INR400 crores in the third quarter. I guess like that would predominantly include the technically written-off -- recovery of technical written-off or other written-off accounts.

B. Ramesh Babu: True, true.

Arvind R: Yes. So what I would like to understand is like, for example, if I see the annual report of FY '23, like we have like on book like INR4,500 crores worth of you know technically written-off of accounts. I mean like is that the base, I mean, like where we can see this kind of recoveries for the next 1 or 2 years, either from that book? Like is my understanding, right?

B. Ramesh Babu: I agree with you, Sundaram, but the point is there are many unknown, unknowns involved in this because many of those big corporate accounts are with NCLT. So finally, how much percentage of that comes out, we do not know.

So sometimes, it may come out well, sometimes it may not come out well. So that way, a credible guidance I may not be able to give. But every effort is on both on the retail as well as the corporate accounts. So to the extent what all is getting and all, we'll be trying to do that. So this is what actually is, the pool is there, but entire pool cannot be prima facie looked at saying that this can be recovered.

So out of the few of them would have been already evaporated and many of them are cons

ortium accounts are there, where due to delay also something may not be there. But we are on the job, how much -- as much as possible to salvage and to get out of that, that is the reason if you can look at it last year, the whole year's written-off recovery, we are able to get that recovery in 9 months.

So the same is the case. Last year, whole year's profit we have crossed this year in 9 months.

So we are on the job to extent possible. Sometimes it may be possible, may not be possible.

But we will focus on our routine, what we need to operate. And these things once in a while come up, it may be a bonus for us.

Arvind R: Sure, sir. And just to understand like in INR4,500 crores, like as per annual report or like in the what we have in the income statement, if I can get a texture of what kind of accounts? Is it predominantly corporate accounts or does it also include...

B. Ramesh Babu: Yes, yes. Majority -- more than INR2,500 crores or INR2,800 crores is just corporate account, that too big corporate accounts are there. So that way getting that will become difficult.

Arvind R: Yes. Okay. So the recoveries also came from the big corporate accounts?

B. Ramesh Babu: Once in a way, just this quarter, how it has come, otherwise, continuously, we'll be getting we do not know that particular point. So we are focusing on the smaller accounts where we have collaterals, where we can dispose off and we are approaching the court, those things we are focusing, which is within our means. Bigger things stuck at different locations and different

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stages that we need to get it from the corporate INR2,800 crores. As and when we get, we need to book that.

Arvind R: Sure, sir. So the interest income, you said like which included this one-off. So basically, whatever is recovered in this quarter, the principal amount on that, like we just calculate interest on that and that -- okay, is that the way to understand?

B. Ramesh Babu: No, no. You're understanding is perfect.

Arvind R: Okay, sir. Just one more thing. You said that 10 basis points increase in yields, we can see. So when I see -- when you say that, like I have to exclude this effect and basically and then add 10 basis points to...

B. Ramesh Babu: Yes, yes. True, true. And that's also -- in my original guidance, when I was reading, I have told

you saying that if you exclude this one, this comes to this rate and on the 10 basis points, you can expect that.

Arvind R: Okay. Okay. And just one more thing, sir, on fee income, like you are seeing some healthy growth in like fee income, especially the core fee income in 20% this quarter to the last year, the same quarter. I mean, like may I understand like what kind of activities or what kind of you know activities helping this fee income?

B. Ramesh Babu: Yes, yes, absolutely. I'll tell you basically because the disbursements have gone up, naturally, the processing fee has gone up on that. Second one, if you look at our cross-sell income compared to last year, more or less, more or less 75% more than that we are able to do that because the awareness of the people have gone up in that and our people, more or less, they are getting that one.

And third thing, if you look at the non-fund based also, while LC business is not in line, actually, not happening because the exports may not be there a verity of reasons international business is down overall. That too, we are predominantly dependent on the textile with the 7%, 7.5%.

So there is some sort of lull is there, but we have diversified into infrastructure like smaller contractors where we require some sort of a guarantee. That is also helping us to get some sort of income out of that.

So likewise, the good contractors whoever are there a lot of roads, these sort of projects are coming up. So those non-fund-based

ed business also, we are focusing, and a culmination of all these things is helping us to grow in the core income.

Arvind R: Okay. Okay. So like one can assume that like whatever credit growth in line or slightly above that, we can actually expect that fee income...

B. Ramesh Babu: Yes, yes. It is in line with the credit growth, what all credit growth is coming accordingly the other side also commensurate non-fund-based income also will be there.

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Arvind R: Okay. Thank you, sir. Thank you so much,

B. Ramesh Babu: Thank you.

Moderator: Thank you. We have our next question from the line of Sushil Choksey from Indus Equity Advisors. Please go ahead.

Sushil Choksey: Sir, congratulations for great set of results.

B. Ramesh Babu: Sushil ji, thank you, thank you, very much.

Sushil Choksey: Sir, my first question is, you had an outlook on deposit. You have looked at your NIM and everything. Sir, one question I have. How much of your business is from your existing customers, which is growing at 15%, 20% or 30%, specifically that INR5 crores to INR25 crores bracket?

B. Ramesh Babu: You're talking about the advances or deposits?

Sushil Choksey: Advances?

B. Ramesh Babu: Advances, that's what I say. Suppose, if you look at it INR5 crores to INR25 crores, more than 60% is coming from the new to business. Existing, the enhancement, these things are there, we are not relying majority on that. If an existing customer requires enhancement on its own he comes, so we need not worry on the particular account. We need to maintain the relationship. Our main focus is on the fresh acquisition. So that's what we are working on that. Majority growth is coming from that only.

Sushil Choksey: Does it mean that your existing product enhancement that is if you add five products, you needed to 10 cross-selling...

B. Ramesh Babu: No, no, I'll tell you, it is not the question of products. Products can -- because we have a plethora of product, 20 products are there, Doctor Plus, this plus and all. But the solution what we are supposed to provide to the customer based on his requirement, that is making sense actually.

So many of our people, at least they could know how to source this sort of thing that is helping. And majority of our business comes from the wholesale and retail traders because traders business a lot of scope offers in Tamil Nadu and South. So that is helping us a lot.

Sushil Choksey: Okay. Any sectors which you find are getting more vibrant like construction in infrastructure...?

B. Ramesh Babu: Yes, yes. So infrastructure under the construction if a look at it, maybe the roads these sort of things and commercial real estate also is working to some extent, paper is also doing well and all so chemicals and these activities are coming up, but major portion is coming still from the wholesale and retail trade.

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Sushil Choksey: Your textile base as well as auto ancillary?

B. Ramesh Babu: Auto ancillary to some extent, it is coming up, but many of them usually, they go for the vendor financing with the original bankers, but whereas textile is concerned, nowadays, again, we are able to see some green shoots. And now the stocks at abroad have been exhausted. Few markets which are export-dependent, they started getting some sort of an order at a low case. But all of them are confident that in the next 6 months, the position will be improved compared to earlier.

But one good thing what we look at it is though the utilizations have not gone up, the quality of our textile customers is good. That is quite heartening to see. So with 7.5%, the stress what all we are getting every quarter is nothing much from the textile sector. So that's why we are pretty happy with this one.

Even if they are not utilizing the limits, if the business is not there in the utilized that is a cause of concern for us. So for the time being, the utilization not there is good for us. Once they get the order, automatically, they'll utilize because the relationship with us.

Sushil Choksey: Sir, second thing is, what kind of initiatives are we because we have been very profitable, our market cap has done well, all parameters every stakeholder is happy with you. Now if I have to take a journey for the next 3 years, 5 years for long-term shareholders, what initiatives have you enabled and what initiatives you are targeting in the next 3 years, so the bank gets to the next level?

B. Ramesh Babu: Yes. Currently, what we are doing, we were totally dependent on the branch sourcing model. So the branches, they have a limitation. So that is the reason we are trying to take -- differentiate this one. Now if you look at it, sector-wise, if you look at it vertical-wise, the retail segment.

So we have last year started some sort of a few branches with home loans, only Hyderabad, Vizag -- sorry, Hyderabad, Bangalore, those are working well and now we are going to increase the number of those branches where this home loan intensive and real estate, commercial real estate, so that works well.

In addition to the branch sourcing what we are doing now is the direct sales agent, DSA feet on street, further retail assets, we are working on that. For that, the centralized, how these credit sanction, processing underwriting has to be there that we are working. With that, we can have a different set of numbers for the retail.

Coming to the commercial is concerned, the process-related issues, what we have removed and all, and now we have created a new vertical called KVB Smart, which used to work on the lines of our NEO, which was working for the LAP, now KVB Smart is for the working capital, where our branches, they are busy with their routine and the existing customers leads they are getting.

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For the new to be bank, these sort of customers are getting -- we have created a setup. These five centers with 48 staff members, what we said, it is going to work that way. And now coming to the agriculture also, all along, you would have seen that majority 95% of our agriculture portfolio used to be on the jewel loans. So we started diversifying that. That has come to around 15% other than jewel loan has come up now because you cannot continuously depend on the jewel loan.

Jewel also we are actively working to create a setup wherein a feet of street will be there for getting the jewel loan business to the bank and already 2 branches which are exclusive jewel loan branches are there. Based on that experience, how can we create a few more branches we will look at that.

And coming to that agriculture, we are diversifying into other than the jewel loan, like poultry, these sort of things, wherever goods are there with partners we are doing. And a few months back, 6 months back, we started a partnership with another agency for MFI. We are not there in the MFI business at all.

So we started doing with them. Already slowly, the portfolio has reached INR100 crores. We

do not want to grow aggressively there. We are now entering into a tie-up with two more partners on that so that we will diversify your risk amongst all of them. And these people progressively they'll be getting that.

Agriculture also few more agriculture offices we are taking it for taking care of this direct agriculture business. So that way, each of the vertical, if you look at it, we have a separate plan for ramping up. The current growth model is there after some time, it may not sustain and stop. So the engines we are introducing, which will work in the years to come.

Sushil Choksey: Sir

, you -- your plan is more for tie-ups and distribution capabilities, but you might be ready at digital end, but human resource within the bank, we need to do something or that is already --

B. Ramesh Babu: That is the precise reason you see one of the participants they asked, the employee cost has gone up, so that is the reason to front run this one and all, so we are already recruiting the people in the branches or rest of the locations where we require. And we are keeping that sort of a setup ready. Technology-wise, we are ready. Manpower also, we are getting it. On the other side, process and products also we are preparing. Together, we need to take it forward.

Sushil Choksey: Sir, the previous participant had asked you about technically written-off accounts. I'm not asking you from a particular number what you will recover next year. But if I take a historical data and your experience, what percentage of your written-off accounts you will feel that would be recovered, 30%, 40%, 50%?

B. Ramesh Babu: It's a very, very difficult and impossible question I can answer because each half is a different animal and a different treatment. So if you ask me from the retail segment, what you can do, at least some sort of a ballpark number I can give you. But out of the total write-off account majority when it is coming from the corporate, so I will not be able to give that number at all.

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That too, suppose even if I give a number, in this particular year, how much it has come up and all, so I may not be able to tell you.

Sushil Choksey: Okay. Sir, second thing, my last question is on treasury outlook for your bank, looking at the current G-Sec in India and the limited volatility in US. Everybody estimates that 2024 maybe second half or the third, fourth quarter, there would be tapered off. We are likely to be included in some bonding access, one and two, both is more or less indicative. Now based on this, where do you see our treasury positioned for betterment or will be stable from that because of our CD ratio?

Natarajan : Yes. Sushil, up to three months before, we had a very low duration. If you have noticed our AFS portfolio is all less than 2% only. Now we are slightly confident that going forward, the interest rates will not be going further high. So we started picking up some of the investment. That is why if you notice, our AFS and durations in other sectors is slightly moving up. And in that way, we are not very aggressive, but within the limited band, so we are trying to play around.

Sushil Choksey: Sir, one more last question on co-lending and assignments. Are we fully technology-enabled?

Natarajan : Yes, yes. See, the basic requirement for co-lending is you should have a very robust technology. So without that, it's very difficult, particularly for the Amazon BNPL platform and all -- these are all 24/7, particularly in the festival and the holidays -- heavy activities would be there. So the manager -- all the active co-lending business today, everything is technology oriented and the end-to-end seamless process.

B. Ramesh Babu: Other partners also with whom we have entered, it is absolutely end-to-end and seamlessly working.

Moderator: Thank you. We have a next question from the line of Prakhar Agarwal from Elara Capital.

Prakhar Agarwal: Couple of things. One is on, sir, lending rate, so you have highlighted that you took a couple of MCLR rate hikes. Have you been able to pass through anything in retail and commercial banking side?

B. Ramesh Babu: No. Suppose if our jewel loans, if you look at it more or less -- one-month MCLR. So automatically, majority of them at rig price is not a problem at all. So in respect of other retail, so the process is on. So that's the reason conservatively, we have estimated a hike of around 10 basis points in

the next quarter.

Natarajan : So during the last quarter, we increased our MCLR two times. So that we are gradually -- when that renewal happens, we'll be passing on that whatever increase to the accounts.

Prakhar Agarwal: Okay. And sir, moving on to FY '25, if you were to take that there are no systemic rate changes by RBI. How do you foresee your margins moving on and in that context growth that you're

envisaging, because you said in a passing comment that you probably are choosing margins over growth at this point in time. So, if you were to just --

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B. Ramesh Babu: Prakhar in fact, it is a dynamic position now. Once we look at our March position, then we'll be able to give you guidance for the next year. So for the time being, I wish to confine to our guidance to next quarter only.

Prakhar Agarwal: Sure. And just last bit on sir, this personal loans. So who is a partner who is running you through in terms of this buyout that you had to do for BNPL Amazon?

Natarajan: That's Axio, a company called Axio.

B. Ramesh Babu: Former name was Capital Float; later, it has been renamed as Axio, based out of Bangalore.

Prakhar Agarwal: Okay. And this partnership has been for how long, sir?

B. Ramesh Babu: More than three years.

Prakhar Agarwal: Okay. sir, how suddenly then probably if we were to look at past trends, how suddenly that during this festive season, we have seen this sort of growth while in earlier years, we have not seen any sort of this pamper?

B. Ramesh Babu: No, what happens, a few more variants also we have brought. But because based on the experience, what we have with few other customers, and going on well. Instead earlier, suppose if we are giving one month, now we can give for two months or three months, something is required. So that few of the customers instead of rotating in one month, it has become three months that also got elongated repayments that way.

So that way, overall, if you look at it has gone up. But this time, there's a robust demand on account of this. Even Amazon also what they have released the list also from their side. A good number of fresh -- that is not fresh to the Amazon. Amazon, there must be there for three years also. The list what all has come also has come up. So that way, the demand is pretty good this time.

Prakhar Agarwal: Sir, what will be your rejection rate in this for us in this product?

B. Ramesh Babu: It is, I think, miniscule because the reason is after so many checks and balances, Amazon is releasing. And after that, we -- our partner has checks and balances and we have many gating conditions. With all these things, someone passes through, they will be able to go through. So the same process has been going on for the last three years.

With all these things, the cohort loss is around 1.2%. So that's the reason what we thought. So the model what all is following the same model is getting followed that way. There's no deviation or dilution in the model what we are following.

Prakhar Agarwal: Okay. Sure, sir. That is it from my side. Thank you so much.

B. Ramesh Babu: Thank you. Thank you.

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Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to Mr. B Ramesh Babu, MD and CEO, for closing comments. Over to you, sir.

B. Ramesh Babu: Yes. So once again, I thank you, one and all, for taking out time and for very curiously asking many questions and detailed question, so which shows the interest of what each one of you have in our bank. I profusely thank once again and all the best. And a good day to all of you. Thank you all.

Moderator: Thank you, sir. On behalf of the Karur Vysya Bank, that concludes this conference. Thank you

for joining us. And you may now disconnect your lines.

Call: Jan 2024

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IRC:F48:22 :50:2024 January 29 , 2024

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C -1, 'G' Block,
Bandra - Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Unaudited Financial Results of the Bank for the Quarter and Nine Months ended December 31 , 2023

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on January 22, 2024 at 5:30 p.m. (IST), in connection with the Unaudited Financial Results of the Bank for the Quarter and Nine Months ended December 31, 2023 .

The same is also made available on the website of the Bank and can be accessed on the following link:

<https://www.kvb.co.in/docs/investor-con-call-transcript-fy24-3.pdf>

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager

Encl: As above

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Q3 FY 23-24 Earnings Conference Call"
January 22, 2024

MANAGEMENT : MR. B. RAMESH BABU – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – KARUR VYSYA BANK
LIMITED

MR. NATARAJAN – PRESIDENT – KARUR VYSYA BANK
LIMITED
MR. CHANDRASEKARAN – CHIEF OPERATING OFFICER
– KARUR VYSYA BANK LIMITED
MR. RAMSHANKAR – CHIEF FINANCIAL OFFICER –
KARUR VYSYA BANK LIMITED
MR. DOLPHY JOSE – GROUP HEAD – CONSUMER
BANKING – KARUR VYSYA BANK LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '23-'24 Earnings Conference Call of the Karur Vysya Bank. We have with us today the management team of KVB represented by Mr. Ramesh Babu, MD and CEO; Mr. Natarajan, President; Mr. Chandrasekaran, Chief Operating Officer; Mr. Ramshankar, CFO; and Mr. Dolphy Jose, Group Head, Consumer Banking.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, to take us through the highlights of the quarter gone by, after which we will open the floor for questions. Over to you, sir.

B. Ramesh Babu : Thank you, Yashashri. Good evening to all of you. Welcome to Karur Vysya Bank's earnings call for quarter 3 financial year '24. I trust that you, your colleagues and family members are keeping well and are in good health. My heartiest new year greetings and wishes to each and everyone of you. I also would like to thank you all for taking out time in joining the call.

I am pleased to share that performance of the bank in terms of growth, profitability and asset quality have been consistently improving over the last 13 quarters, and our Q3 performance numbers are in line with the guidance given during our previous interactions.

You will be happy to note that branch has achieved 4-digit profit of INR1,149 crores in 9 months, and our asset sales have passed INR1 lakh crores mark. Besides numbers, the qualitative changes that we have brought in gives us the confidence of sustained improvement in our performance in the days to come. All of you would have gone through our detailed presentation on our quarter 3 numbers.

I would like to share some of my thoughts on the performance of the bank during the quarter and our guidance for quarter 4.

The business model transformation that we had embarked is progressing well. We continued to execute on a strategy which is aimed at granularizing the book, and we were able to sustain the growth momentum during the third quarter as our total business growth was at 3% and reached a level of INR1,58,357 crore.

We have been guiding in our earlier calls about our focus on inclusive growth from all verticals with respect to advances. I am pleased to share that steady momentum was observed in RAM verticals with 4% quarter-on-quarter loan growth and 20% Y-o-Y growth. We expect this to sustain in the future. Retail advances grew faster at 5% Q-o-Q driven by growth in mortgage and personal loans category, Commercial advances clocked 4% growth and agriculture advances achieved a growth of 3% during the quarter. As we were focusing mainly on keeping margins intact, we shed away low-yielding advances, which comes to around 0.75% of the advances in our corporate book resulting in degrowth in corporate vertical. This is a conscious decision taken wherever the yields were low, we tried to pass on these higher yields where there is a resistance from them, we politely requested them to that extent, a big

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account few of them, we got it prepaid. This is the main result for the degrowth. So YTD growth is 13% for our entire loan book which is in line with our guidance for the full year

growth of 14% -plus.

Deposit growth remains one of the key focus areas for the bank, and you are aware that the bank had initiated various strategies for deposits, including establishment of sales acquisition channel for both term deposits and CASA growth. Our deposit growth was at 3% during the quarter, and term deposits and CASA deposits grown by 4% and 1%, respectively. While our CASA acquisition numbers are progressing well in line with the targets, there is a depletion in the existing book on account of other opportunities available for the depositors, which we are trying to overcome by better engagement strategies with our customers. Our YTD growth of the year so far is at 12% and we plan to maintain the growth trend in tune with our credit expansion.

Our CD ratio is within the range of 85% and we will continue to maintain at these levels. We had indicated in the last call that NIM would stabilize at 3.8% at the exit quarter of the current year. NIM improved to 4.32% sequentially by 25 basis points which include 19 basis points on account of interest recovery from 1 NPA account. If we exclude the one off item, NIM was at 4.13% for the quarter. We consciously shed away low -yielding corporate advances, as I said earlier, on one side and focused more on better yielding granular secured advances, that too in RAM vertical during the quarter. This has helped us to maintain the margins above 4% levels. We are hopeful to continue our efforts in maintaining our NIM around 4% for the exit quarter.

We decided to focus primarily on margins with a decent growth till cost of deposits normalizes rather than growth only without giving due cognizance to the yields.

The cost of deposits increased by 9 basis points sequentially. Based on our historical pattern of renewal of deposits and fresh deposit acquisition, we expect moderated raise in the cost of deposits by 15 basis points in the fourth quarter, assuming no change in our deposit rates.

Yield on advances increased by 22 basis points during the quarter (excluding the one off item).

We expect a growth of 10 basis points increase in the next quarter as we had increased our MCLR rates twice during last quarter.

Yield on investment has increased by 5 basis points during the quarter, and it is expected to go

up in a similar range in the next quarter.

Considering all these factors and without taking into any policy rate changes, we expect that NIM will stabilize at 4% at the exit quarter of the current year.

We have achieved ROA of 1.65% in this quarter. It could be noticed that our ROA has been consistently improved from 0.93% in December '21, which is the result of our concerted efforts in stimulating the various levels of ROA and enabled us to achieve this parameter well ahead of the timelines. YTD ROA is 1.58% and we are confident of maintaining ROA of above 1.6% for financial year '24.

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Our gross slippages during the quarter continued to be under control at INR197 crores and for the 9 months at INR369 crores, which is 0.51%. On an annualized basis of the 9-month slippages, if you look at it, it comes to 0.68% of our book. Our digital underwriting, eyeballing proposals by risk team, better valuation methods by technical team, collection set up what we have created and credit monitoring all have helped us to keep a better control on the slippages. Also, we are confident that we will continue to keep the ratio below 1% as guided in our earlier calls.

Our efforts on recovery of technically written off book is continuing to yield results as we have recovered a sum of INR65 crore during the quarter. Total recoveries till 9 months of the year are INR208 crore, which is equivalent to last full year recovery. Due to lower slippages, recoveries, upgrades and write-off, our gross NPA has come down to 1.58%, and we expect that we will continue to maintain GNPA at below 2% levels.

For the quarter under review, we have provided a sum of INR107 crores towards NPA migrations, standard assets and prudential provisions. We estimate that the credit cost for the current year would be in the range of 75 basis points as guided. As done in last 2 quarters, we have provided a sum of INR25 crores towards floating provision to meet any contingency, including ECL and cumulative provision available under this head is INR75 crores, which we have provided INR25 crores each in last 3 quarters.

Our net NPA has come down to 0.42%, and we would continue to maintain net NPA at less than 1% of our loan book.

Our standard restructured loan book is further reduced to 1.09% of our loan book and we hold a provision of 28% of the standard restructured book.

You are aware that wage revision impact as per bipartite settlement has been arrived at 17%, and we had already provided for wage revision at 15% from November '22 onwards. We have provided additional amount of INR7 crores for the balance 2 % during the quarter. With respect to pension obligations, out of the estimated amount of INR114 crores, we have already provided INR33 crores in quarter 2 and during current quarter, we have provided INR41 crores and the balance amount of INR40 crores will be provided in Q4 for the current financial year. Our normalized wage bill for the first quarter of the next year would be in the range of INR325 crores.

The additional provision for pension obligations has slightly increased our cost -to-income ratio to 50.27% for this quarter. However, YTD cost -to-income ratio is 48.95% which is within our guidance range of 50%. As indicated earlier, the bank would strive to maintain CIR in the range of 45% to 50% for the year.

Our CRAR, as per the Basel III, continues to be healthy and is at 15.39% providing comfortable headroom for growth.

So as all of you know, the profit for the 9 months has not been included in that and without that, it is 15.39%.

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With regard to RBI's notification on investments in alternate funds, our investments as at the end of 31st December comes to IN

R10.86 crores only, and we do not have any credit exposure for the companies where they have made downstream investments.

Bank has added 7 branches in Q3, totalling 32 branches during the current year up to December, aggregating 831 branches and 8 more branches will be opened during the fourth quarter.

Our new initiative, KVB Smart and our Commercial Banking business is progressing with a portfolio of INR92 crores. It is currently operating at Coimbatore, Chennai, Hyderabad, Madurai and Bangalore with a total team size of 48. Many of these staff numbers they have reported recently. So, that way, the real potential of this initiative we will be able to see from the next financial year.

Business under NEO, co-lending, transaction banking and precious metals continue to perform well. Few more experiments what we did like opening a home loan branch in Hyderabad and subsequently one more branch similarly converted another branch in Bangalore, these 2 are doing well. So based on that few more branches, we are planning to do that. So that is an experiment we have done, which has succeeded well.

So, striking a balance between maintaining healthy margins and pursuing strategic growth opportunities is a challenge that every one of us has to navigate in the current dynamic banking landscape. Our effort would be to focus on sustaining our growth momentum with healthy margins to ensure that our ROA is above 1.5% level at all times.

I am grateful to all the investors, analysts and stakeholders for their confidence and continued support, which we will reciprocate through our better performance in the days to come.

Now I'll be glad to respond to your questions. Thank you.

Moderator : Thank you very much. We have a first question from the line of Chintan Shah from ICICI Securities. Please go ahead.

Chintan Shah : First of all, sir, congratulations on a good set of numbers, strong margins, so led by one-offs.

So but first, I had a question on the personal loans. So sir, our personal loans portfolio, sir, now stands around INR13 billion. So it has kind of more than doubled in the last 1 year and almost 60%, 70% has jumped Q-o-Q.

And I think I remember, I think we had told in the previous call that we don't have strong corporate salary accounts, and so growing personal loans could be a bit challenging. So -- but we were resorting to co-lending for growing the personal loan book. So just want to understand the strategy so how has this is working? So is there any reason for such stupendous growth there? And any thoughts -- means, would that be able to sustain or not? And how are the yields we are compared to the other products? Yes, that would be the first question.

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B. Ramesh Babu : Thank you. Thank you, Chintan. No, what you said is very correct. Even today, what we say is the corporate salary book is not that strong. But all of you know, we have an existing arrangement for the Amazon BNPL. So that has been going on for three years with a pretty decent margin as well as a very low stress there and all.

Under that, because this time, both the festivals are there during quarter, Dussehra as well as Diwali, the spike has come on account of that. In all these cases, this has been absolutely curated to it. First of all, at the Amazon level from the millions of accounts what they have, they'll identify and they'll bring out and filter the customers.

And after that, it passes through our partner and us. And if both of us are satisfied with the criteria, then only we'll give that. So the same process, which we have been following for the three years has been followed. And the spike is on account of the festivals. I'm not saying that the spike is going to continue in the months to come, because the festival spike has come. Maybe on account of the Republic Day, something

else may come up.

But in the meanwhile, the rundown will be there by end of March. So that way, this tempo may not continue. It is a one-off. Coming to the yields, if you look at it, it comes to around 12% something like that. But we have an FLDG also, where the cohort loss is around 1.2%, our FLDG is around 5%. So that way, we are sufficiently insulated as far as the losses are concerned. So this is regarding that. That's why it's not a normal personal loans what all are given. It is everything has come through BNPL only.

Chintan Shah: sir. So just one follow-up on that. So I understand, so the tenure for these loans would be less than six months. As you told, there would be a rundown in March.

B. Ramesh Babu: Very true. Less than six months. Yes.

Chintan Shah: Okay. Sure, sir. That is the first one. Sir, secondly, on this margin. So first of all, this 19 bps recovery which we have seen, so that firstly, for that NPA account, we would have recovered the entire principal. So that amount would be for set up against the principal and then we have set it up against the interest. Is that understanding correct?

B. Ramesh Babu: Very true.

Chintan Shah: Okay. And sir, this would be a large corporate account in my opinion, right?

B. Ramesh Babu: Last corporate account? What is the...

Ramshankar: Large corporate.

Chintan Shah: Large corporate.

B. Ramesh Babu: Correct. You're right.

Chintan Shah: Okay. And so sir, any other means, accounts on which we are working for similar, where we could have a similar bump up in margins because of this?

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B. Ramesh Babu: It can come up, but nothing is in our hands because many of the large corporate accounts either NCLT legally somewhere stuck. When suddenly it will be released, we do not know. So that is the reason we cannot give any assumption or a guidance on these things. Whenever something once in a while comes up and all, it may bump up once in a way.

Chintan Shah: Sure. And sir, this account was written-off or present in the books? Was this a written-off account?

Natarajan: No. So whatever the interest account we have shown, it was the principle was in the books. So that's why the -- it has gone to the interest. Otherwise it would have gone to the recovery from technically written-off account...

Chintan Shah: Exactly. Okay. Sure. Got it. And so sir, just one last thing on the wage bipartite settlement. Sir, there the incremental hit to us because of an additional 2% is INR7 crores. So that is until December. So now we have provided up to 17%?

B. Ramesh Babu : Up till December we have provided, but one more quarter also, we have split into two parts.

Ramshankar: So there are two things in this. One is the normal wage revision. Another thing is pension obligations which we need to -- actuarial valuation to be done, okay? That's was done at 17% for this quarter. Last quarter, if you remember, we had mentioned 101 cr for the full year and Rs 33 cr for the quarter ...

Chintan Shah: You have already mentioned.

Ramshankar: Yes, 33. Now since revised to 17%, it should be revised actuarial valuation, which came to INR113 crores -- INR114 crores. So the 33 has become 40, 40 for this quarter and next quarter.

Chintan Shah: Sure, sir. And so sir, you mentioned the normalized base would be INR125 crores, that would be per month from Q1 FY'25? INR325 crores quarterly, sorry. Okay.

B. Ramesh Babu: Correct. Yes.

Chintan Shah: Sure, sir. This is actually very helpful sir. Thank you for patiently answering all my questions and all the very best. Thank you, sir.

B. Ramesh Babu: Thank you, Chintan.

Moderator: Thank you. We'll take our next question from the line of M.B. Mahesh from Kotak Securities. Please go ahead.

M.B. Mahesh: Good evening, sir. Congratulations.

B. Ramesh Babu: Good evening, Mahesh.

Thank you.

M.B. Mahesh: Sir, just on this -- on the previous question, you mentioned about your 20 basis points positive impact. How much is it in rupees, sir?

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Ramshankar: That will -- it should be around INR30 crores, yes, INR30 crores.

M.B. Mahesh: INR30 crores, is it? Okay. And sorry, I missed one comment which you made. You indicated that cost of deposits would grow by how much by 4Q?

B. Ramesh Babu: 15 basis points.

M.B. Mahesh: 15. And what would be the current term -- cost of your term deposit book, sir?

B. Ramesh Babu: Term deposit book, let us check, one second. Mahesh, in fact, during the course, we'll just come back to you, okay? We'll just take that number and all we'll let you know.

M.B. Mahesh: And if you were to just kind of add this 15 basis points for 4Q, you would say that the -- your repricing has been completed on the cost of deposit side?

B. Ramesh Babu: No. How can it be? Because accounts -- deposits which are getting matured, when they get repriced, automatically they'll place it at this one, no? So that way, we cannot say the total repricing has been completed.

M.B. Mahesh: So it will still continue into 1Q as well, is it?

B. Ramesh Babu: And one more thing, the fresh deposit what all are coming also they'll be coming at this rate only.

M.B. Mahesh: Sir, the idea is that if your book carries a duration of about a year or slightly above that...

B. Ramesh Babu: Not one year, it carries two years also because earlier, we used to have 555 days these sort of deposits also. So that way, it is 1.5 years to 2 years.

M.B. Mahesh: Okay.

Ramshankar: 6.74% cost of...

B. Ramesh Babu: Cost of time deposit is 6.74% average.

M.B. Mahesh: 6.74%. Okay. Perfect, sir. So you would say that next year margins will also still be under pressure unless there is a mix in the loan -- on the loan side?

B. Ramesh Babu: No, the sense that margins can be like this, but still, whatever it is, we are more or less reasonably feeling saying that 4% NIM we'll be able to maintain for the exit quarter. Earlier, we were telling 3.8%. So many cases, we are engaged with the borrowers for the repricing and particularly, where bigger borrowers who are not willing, so we have come out of those exposures.

So those things, actually, they are helping us actually because there is no point in taking a deposit at 6.5% and adding the PSL cost, capital cost, term cost all these things. So that way we told them, which is low yielding and all to get out of that. That money if you are deploying in 9.5, 9.75 those sort of assets and all, overall, our yields are going up. So that way, the cost of

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deposits also we are selective in raising the deposit also where we are not warranted. First of all, we are rebalancing the portfolio. With that what all money is coming, we are lending it. And beyond that, what is required, we are going for the deposits.

M.B. Mahesh: Perfect, sir. Thanks a lot for this. And just one clarification. I assume that you seem to have a pretty good demand on the mid corporate loans because you've grown that book quite well, and you're seeing pretty good demand there.

B. Ramesh Babu: So the demand is there, actually, in fact, because of the good onboarding, what we have done and as we were mentioning in the initial discussion, the monitoring and collection with these things, the stress also is more or less under control. Mahesh, if you look at it, the mid corporate, the disbursements are going up more or less 20%, 22% quarter-on-quarter. So last

year compared to December '22, if I look at it, it has gone up by more than 40%.

M.B. Mahesh: Perfect sir. Very useful. Thanks a lot for this.

B. Ramesh Babu: Thank you.

Moderator: Thank you.

We have a next question from the line of Rakesh Kumar from B &K Securities.

Please go ahead.

Rakesh Kumar: Yes, hi. Can you hear me, ma'am?

B. Ramesh Babu: Yes, please. We are able to hear you.

Rakesh Kumar: Yes. Good evening, sir. Quite a strong set of numbers. So congrats for that. Sir, one question was pertaining to this NBFC exposure that we have, so this is like around INR3,000 crores and we have slightly sh redede the exposure I think in this quarter. So what is the strategy plan that we have to increase the exposure in the NBFC further or we would keep on t rimming this number.

B. Ramesh Babu: No, it is not the question of trimming. I just hear earlier, so what we were having, AAA, AA, all those things were there with a very low yielding. When RBI guidelines have come up for additional capital provision also for that. And the cost on the other side is growing the cost of deposits. A few of them, they are not willing to take the additional cost at the time of repricing. So that's why we told them saying that it may not be possible for us to fund. And we told t hem to prepay at the time of repricing, few of them have prepaid. It made sense for us as well as for them because they might be having alternate source of raising the money. But why we did also because many of these relationships, they are price -sensitive and not agnostic.

So for tomorrow, actually, we are able to normalize the deposit rates and all, and we are able to raise the money at a normal rate. And actually we go back to them, again they'll come to us. So that is not the question of relationship, it is all related to the pricing. So those cases, what we have found out and all, we have actually got out of that. Our NBFC exposure used to be above 7.5% something like that, now it has come down to below 7%, so it doesn't mean saying that we'll be at 7 %. It can come down also, it can go up also. Continuously, we are gauging. The

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yields what we are getting and the low -yielding accounts what all are there on the top, continuously we're engaging. If you find a better revenue in other verticals with bett er pricing or yields are there, we do not mind getting out of those exposures also and to rebalance the portfolio.

Rakesh Kumar: Understood, sir. Very good. Sir, can you tell on this SA deposit due to an industry -wide phenomenon, but we are also like getting slightly volatile number that we have seen on this SA deposit side. So any strategy or what plans you might have to augment this SA deposit number?

B. Ramesh Babu: Yes. Rakesh, in fact, I'll tell you. So I'll make a statement and then I'll hand over to our Head Consumer Banking also. But if you look at it, so I was mentioning in my opening remarks, our new to -- suppose new accounts, what we are getting, at least that is strong, we are going on. Now the existing book what all is there, a p art of that is going into time deposits. If we resist them not to go to a time deposit, the chances are it may go to some other bank initially. And finally, the relationship also may go out. So it makes sense for us instead of going out and taking a deposi t, it is better to get from them. And likewise, if I look at my numbers also, the cost of raising time deposit between the retail and bulk is different.

Bulk, I may have to pay 20 to 25 basis points more. If many of our customers instead of going elsewhere, if they are placing the money with us, I'll be getting the retail time deposits at a cheaper rate and the relationship also I'm able to maintain. So what we are trying to do for the deepening and all these things, Dolphy, Head Consumer Banking, will exp lain. Yes, Dolphy, over to you.

Dolphy Jose: Yes. Good evening, Rakesh. Dolphy here.

Rakesh Kumar: Good evening, sir.

Dolphy Jose: On the SA side, Rakesh, I mean, this is an industry phen

omenon. There -- almost all banks are

facing this SA erosion p rimarily, which we all understand is because the consumer -- customer itself has shifted from savings to consumption and some consumption to investment, and that's the trend. So the ideal way to hold on to your balances extra is to make sure tha t your hooks are in the right place, and we need certain product hooks and why we are critically focusing is on the third -party products.

So in third -party products where our primary focus is, of course, insurance and then mutual

funds where we are again focusing on SIP, both on shares as well as mutual funds. These are our two primary hooks, which we are aggressively marketing. And that would give us some decent hooks to hold on to the balances and have some incremental balances.

On the organization part on the bank per se, on the liability franchisee, we have again segregated the overall franchisee into one on the ETB deepening channel and the new acquisition channel. So we have a separate acquisition channel, which is a sales team of about 1,200, 1,300 -odd people who are purely LTV going out to the market and acquiring new -to-bank customers on CASA, TD.

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And we have further sub-verticals for corporate salary and for now lately, we have developed a team of about close to 200 -odd PRMs or priority RMs, as we say, who will be catering to those customers whose balances are from INR10 lakhs and above. So that's for further deepening. And we have a product bouquet, which can keep these customers engaged to make sure that the deepening is in place.

So these are things which we are doing on the organization level. And focus will continue on RTD, as MD sir mentioned that, yes, a part of our SA depletion is because of the transfer of SA to TD for higher rates, etcetera. So these are the multiple things which we are doing. We are also parallelly developing a BC channel where we intend to, again, new -to-bank customers, but they will also get into other retail asset products. So overall, this is how the deepening focus -- for deepening in the branch.

So going forward, our deepening activity or where we focus on the ETB, the existing to bank customer, and we have a decent customer base of about close to 9 million customers, it will be primarily managed and enhanced by our branch banking team. And we have a granular structure in the branch where we're trying to have a hybrid model in the branch where we have 2 separate goals which we have introduced lately, which is one is the BSSE, which is the bank sales and service executive and PRMs, so both put together today, as of today, we should see around close to around 1,200 -odd people already in and rolling.

And they're already in the last quarter, all these channels have given us significant incremental on the new -to-bank acquisition. The ETB also has started tracking and we have -- they are started giving us incremental volumes in the last quarter. So that's the whole idea, and that's how we are proceeding in the CASA segment.

Rakesh Kumar: Got it. Thanks for very elaborate answer sir. Thank you and all the best for the future performance sir.

B. Ramesh Babu: Thank you.

Moderator: Thank you. We have a next question from the line of Prabal Gandhi from Ambit Capital. Please go ahead. Mr. Gandhi your line is unmuted. Please go ahead with your question.

Prabal Gandhi: Yes. Am I audible?

B. Ramesh Babu: Audible Prabal. Please go ahead.

Prabal Gandhi: Congratulation, sir. My first question is on MSME side. So we are growing at 20%. In the morning, another Tamil Nadu based lender reported MSME growing just 2% on a Y-o-Y basis. So just wanted to understand how are we able to capture demand and grow at 20% when our same geography peer is struggling on the growth?

B. Ramesh Babu: I cannot compare ou

rselves with anyone, because ours is a journey not started today. So you must be seeing last 3 years continuously, we have been focusing on the MSME. If you can

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look at it, our percentage of the total book has moved now to 33% -odd now. So progressively, we have been moving. Now the various engines what all are there, so we have activated them. Many other branches, which they were unable to absolutely source them, so we have provided necessary inputs like training and process-related many issues, hiccups are there, we started fixing them. And that way, the confidence levels for the people have gone up.

And above all, the tag with which what we are giving and the confidence the other side borrowers they have got it that also is helping us. So all these things have supported us so in onboarding. And above all, our risk team, continuously, they monitors what is good, what is

bad they are telling.

So right from the sourcing, we are selective in what we need to do, where we can do, where we cannot do. All these things have helped us. In addition to that, new initiatives like -- so our KVB Smart, what we have created, those things also will be helping. So it's an ongoing journey, so the journey has slowly started working and many more people are joining the band wagon.

So that is the reason we are able to do. So we are finding good amount of -- absolutely, if you can look at it, our approval rate is around between 40% to 45%, which implies out of sourcing 55%, we're declining it, which is not meeting our standards.

If we can dilute and relax our norms, it can go up to 70%, which we do not want to do it. Once we do it, there later, we have to face about the SMAs and NPA. So that we are finding some set of opportunities there we are doing despite issues coming up and demand in the textile has not picked up yet. So maybe after 6 months, the textile picks up well, the downstream industries related to textiles, that also will give us some more scope for us to grow further.

Prabal, are you there?

Prabal Gandhi: Yes, yes. Perfect. So just an extension to that will be, so the growth in MSME is coming, say, disproportionately from the new customers or the old customers utilizing their limit, which is just...

B. Ramesh Babu: No, the utilization levels are more or less at the 70% only. It has not crossed. So we thought saying that even any other industries, if we look at it, hovering between 70% to 75%, so new customers, majority is coming from the acquisition and though enhancements are there, but major growth is from the acquisition.

Prabal Gandhi: Perfect. Sir, second question will be on operating expenses. So even if I have to adjust for the wage revision and the pension obligation, even then this seems to be running high obviously, we are investing in the bank. So that could be the reason. How do you see the productivity pan out? And any targets on the opex to asset or cost to income that you envisage for 2 to 3 years?

B. Ramesh Babu: And I fully agree with you. So though we were also abreast of this one. But the point is until and unless the capacity and infrastructure what all are required the manpower if we do not take

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it. If you have a big plans to grow and all of them, they go, haywire that is the reason the manpower we are investing on that.

And not only that, we are having a mechanism also to continuously gauge the productivity and performance of these people wherever comes sort of the people who are unable to deliver, either we are counselling them and otherwise, providing some separate support to grow. If something is not there, a few of them, they are leaving also an ongoing process, but new initiatives, what we are taking in the process, we are

supposed to incur some costs.

That's why earlier I used to say, so rather than treating them as a cost, we need to treat as an investment, which will be yielding results in due course. But at this stage, if we do not invest, the future will be bleak. But in addition to that, you need to appreciate one point, with all these math still we are able to deliver the ROA what we have guided.

So that way, we are trying to work out within the broad parameters what we have committed, including a cost-to-income ratio, ROA, NIM with these things, what we need to devote for the infrastructure and future growth, we are trying to spend on that. But anyhow, we are also in the process of reviewing wherever some sort of an unwarranted expenses is there, how to get out of that, we are looking at it, and we are on the job.

Prabal Gandhi: Okay. Sir, and just last point. So I did notice that we made INR25 crores of floating provision this quarter as well and we have been making that from last 3 consecutive quarters. But just a request that in a quarter like these in a bump up quarter like these when we get sort of one-off recoveries and things like that instead of having 17%, 18% ROE?

If we can just increase the quantum of floating provisions that will sort of give more confidence on the sustainability of the earnings for next 2 to 3 years rather than having one quarter of very good numbers. So just a request from my side...

B. Ramesh Babu: No, no, no. Absolutely. Your point is well noted. But just one more point, you need to keep, Prabal. So you see somewhere some bumping up is there in the income side. But other side, expenses side also some bumping up is there because the 15% to 17%, some sort of a pension, these sort of things we need to do.

So keeping all these points in view, we thought that let us do it, but your point is well noted, next time to insulate these sort of turbulence. So what we need to do, we will do that. So that continuity and sustained performance will be there. We'll do that.

Prabal Gandhi: Great sir. Thank you and all the best for the future.

B. Ramesh Babu: Thank you.

Moderator: Thank you. We'll take our next question from the line of Arvind R from Sundaram Alternates. Please go ahead.

Arvind R: Hello sir. Thank you so much for the opportunity and congratulations.

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B. Ramesh Babu: Yes. Thank you, Mr. Sundaram.

Arvind R: Great set of numbers. Sir, I just have two questions. Sir, 1 is, so our non-core fee income like close to INR400 crores in the third quarter. I guess like that would predominantly include the technically written-off -- recovery of technical written-off or other written-off accounts.

B. Ramesh Babu: True, true.

Arvind R: Yes. So what I would like to understand is like, for example, if I see the annual report of FY '23, like we have like on book like INR4,500 crores worth of you know technically written-off of accounts. I mean like is that the base, I mean, like where we can see this kind of recoveries for the next 1 or 2 years, either from that book? Like is my understanding, right?

B. Ramesh Babu: I agree with you, Sundaram, but the point is there are many unknown, unknowns involved in this because many of those big corporate accounts are with NCLT. So finally, how much percentage of that comes out, we do not know.

So sometimes, it may come out well, sometimes it may not come out well. So that way, a credible guidance I may not be able to give. But every effort is on both on the retail as well as the corporate accounts. So to the extent what all is getting and all, we'll be trying to do that. So this is what actually is, the pool is there, but entire pool cannot be prima facie looked at saying that this can be recovered.

So out of the few of them would have been already evaporated and many of them are cons

ortium accounts are there, where due to delay also something may not be there. But we are on the job, how much -- as much as possible to salvage and to get out of that, that is the reason if you can look at it last year, the whole year's written-off recovery, we are able to get that recovery in 9 months.

So the same is the case. Last year, whole year's profit we have crossed this year in 9 months.

So we are on the job to extent possible. Sometimes it may be possible, may not be possible.

But we will focus on our routine, what we need to operate. And these things once in a while come up, it may be a bonus for us.

Arvind R: Sure, sir. And just to understand like in INR4,500 crores, like as per annual report or like in the what we have in the income statement, if I can get a texture of what kind of accounts? Is it predominantly corporate accounts or does it also include...

B. Ramesh Babu: Yes, yes. Majority -- more than INR2,500 crores or INR2,800 crores is just corporate account, that too big corporate accounts are there. So that way getting that will become difficult.

Arvind R: Yes. Okay. So the recoveries also came from the big corporate accounts?

B. Ramesh Babu: Once in a way, just this quarter, how it has come, otherwise, continuously, we'll be getting we do not know that particular point. So we are focusing on the smaller accounts where we have collaterals, where we can dispose off and we are approaching the court, those things we are focusing, which is within our means. Bigger things stuck at different locations and different

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stages that we need to get it from the corporate INR2,800 crores. As and when we get, we need to book that.

Arvind R: Sure, sir. So the interest income, you said like which included this one-off. So basically, whatever is recovered in this quarter, the principal amount on that, like we just calculate interest on that and that -- okay, is that the way to understand?

B. Ramesh Babu: No, no. You're understanding is perfect.

Arvind R: Okay, sir. Just one more thing. You said that 10 basis points increase in yields, we can see. So when I see -- when you say that, like I have to exclude this effect and basically and then add 10 basis points to...

B. Ramesh Babu: Yes, yes. True, true. And that's also -- in my original guidance, when I was reading, I have told

you saying that if you exclude this one, this comes to this rate and on the 10 basis points, you can expect that.

Arvind R: Okay. Okay. And just one more thing, sir, on fee income, like you are seeing some healthy growth in like fee income, especially the core fee income in 20% this quarter to the last year, the same quarter. I mean, like may I understand like what kind of activities or what kind of you know activities helping this fee income?

B. Ramesh Babu: Yes, yes, absolutely. I'll tell you basically because the disbursements have gone up, naturally, the processing fee has gone up on that. Second one, if you look at our cross-sell income compared to last year, more or less, more or less 75% more than that we are able to do that because the awareness of the people have gone up in that and our people, more or less, they are getting that one.

And third thing, if you look at the non-fund based also, while LC business is not in line, actually, not happening because the exports may not be there a verity of reasons international business is down overall. That too, we are predominantly dependent on the textile with the 7%, 7.5%.

So there is some sort of lull is there, but we have diversified into infrastructure like smaller contractors where we require some sort of a guarantee. That is also helping us to get some sort of income out of that.

So likewise, the good contractors whoever are there a lot of roads, these sort of projects are coming up. So those non-fund-based

ed business also, we are focusing, and a culmination of all these things is helping us to grow in the core income.

Arvind R: Okay. Okay. So like one can assume that like whatever credit growth in line or slightly above that, we can actually expect that fee income...

B. Ramesh Babu: Yes, yes. It is in line with the credit growth, what all credit growth is coming accordingly the other side also commensurate non-fund-based income also will be there.

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Arvind R: Okay. Thank you, sir. Thank you so much,

B. Ramesh Babu: Thank you.

Moderator: Thank you. We have our next question from the line of Sushil Choksey from Indus Equity Advisors. Please go ahead.

Sushil Choksey: Sir, congratulations for great set of results.

B. Ramesh Babu: Sushil ji, thank you, thank you, very much.

Sushil Choksey: Sir, my first question is, you had an outlook on deposit. You have looked at your NIM and everything. Sir, one question I have. How much of your business is from your existing customers, which is growing at 15%, 20% or 30%, specifically that INR5 crores to INR25 crores bracket?

B. Ramesh Babu: You're talking about the advances or deposits?

Sushil Choksey: Advances?

B. Ramesh Babu: Advances, that's what I say. Suppose, if you look at it INR5 crores to INR25 crores, more than 60% is coming from the new to business. Existing, the enhancement, these things are there, we are not relying majority on that. If an existing customer requires enhancement on its own he comes, so we need not worry on the particular account. We need to maintain the relationship. Our main focus is on the fresh acquisition. So that's what we are working on that. Majority growth is coming from that only.

Sushil Choksey: Does it mean that your existing product enhancement that is if you add five products, you needed to 10 cross-selling...

B. Ramesh Babu: No, no, I'll tell you, it is not the question of products. Products can -- because we have a plethora of product, 20 products are there, Doctor Plus, this plus and all. But the solution what we are supposed to provide to the customer based on his requirement, that is making sense actually.

So many of our people, at least they could know how to source this sort of thing that is helping. And majority of our business comes from the wholesale and retail traders because traders business a lot of scope offers in Tamil Nadu and South. So that is helping us a lot.

Sushil Choksey: Okay. Any sectors which you find are getting more vibrant like construction in infrastructure...?

B. Ramesh Babu: Yes, yes. So infrastructure under the construction if a look at it, maybe the roads these sort of things and commercial real estate also is working to some extent, paper is also doing well and all so chemicals and these activities are coming up, but major portion is coming still from the wholesale and retail trade.

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Sushil Choksey: Your textile base as well as auto ancillary?

B. Ramesh Babu: Auto ancillary to some extent, it is coming up, but many of them usually, they go for the vendor financing with the original bankers, but whereas textile is concerned, nowadays, again, we are able to see some green shoots. And now the stocks at abroad have been exhausted. Few markets which are export-dependent, they started getting some sort of an order at a low case. But all of them are confident that in the next 6 months, the position will be improved compared to earlier.

But one good thing what we look at it is though the utilizations have not gone up, the quality of our textile customers is good. That is quite heartening to see. So with 7.5%, the stress what all we are getting every quarter is nothing much from the textile sector. So that's why we are pretty happy with this one.

Even if they are not utilizing the limits, if the business is not there in the utilized that is a cause of concern for us. So for the time being, the utilization not there is good for us. Once they get the order, automatically, they'll utilize because the relationship with us.

Sushil Choksey: Sir, second thing is, what kind of initiatives are we because we have been very profitable, our market cap has done well, all parameters every stakeholder is happy with you. Now if I have to take a journey for the next 3 years, 5 years for long-term shareholders, what initiatives have you enabled and what initiatives you are targeting in the next 3 years, so the bank gets to the next level?

B. Ramesh Babu: Yes. Currently, what we are doing, we were totally dependent on the branch sourcing model. So the branches, they have a limitation. So that is the reason we are trying to take -- differentiate this one. Now if you look at it, sector-wise, if you look at it vertical-wise, the retail segment.

So we have last year started some sort of a few branches with home loans, only Hyderabad, Vizag -- sorry, Hyderabad, Bangalore, those are working well and now we are going to increase the number of those branches where this home loan intensive and real estate, commercial real estate, so that works well.

In addition to the branch sourcing what we are doing now is the direct sales agent, DSA feet on street, further retail assets, we are working on that. For that, the centralized, how these credit sanction, processing underwriting has to be there that we are working. With that, we can have a different set of numbers for the retail.

Coming to the commercial is concerned, the process-related issues, what we have removed and all, and now we have created a new vertical called KVB Smart, which used to work on the lines of our NEO, which was working for the LAP, now KVB Smart is for the working capital, where our branches, they are busy with their routine and the existing customers leads they are getting.

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For the new to be bank, these sort of customers are getting -- we have created a setup. These five centers with 48 staff members, what we said, it is going to work that way. And now coming to the agriculture also, all along, you would have seen that majority 95% of our agriculture portfolio used to be on the jewel loans. So we started diversifying that. That has come to around 15% other than jewel loan has come up now because you cannot continuously depend on the jewel loan.

Jewel also we are actively working to create a setup wherein a feet of street will be there for getting the jewel loan business to the bank and already 2 branches which are exclusive jewel loan branches are there. Based on that experience, how can we create a few more branches we will look at that.

And coming to that agriculture, we are diversifying into other than the jewel loan, like poultry, these sort of things, wherever goods are there with partners we are doing. And a few months back, 6 months back, we started a partnership with another agency for MFI. We are not there in the MFI business at all.

So we started doing with them. Already slowly, the portfolio has reached INR100 crores. We

do not want to grow aggressively there. We are now entering into a tie-up with two more partners on that so that we will diversify your risk amongst all of them. And these people progressively they'll be getting that.

Agriculture also few more agriculture offices we are taking it for taking care of this direct agriculture business. So that way, each of the vertical, if you look at it, we have a separate plan for ramping up. The current growth model is there after some time, it may not sustain and stop. So the engines we are introducing, which will work in the years to come.

Sushil Choksey: Sir

, you -- your plan is more for tie-ups and distribution capabilities, but you might be ready at digital end, but human resource within the bank, we need to do something or that is already --

B. Ramesh Babu: That is the precise reason you see one of the participants they asked, the employee cost has gone up, so that is the reason to front run this one and all, so we are already recruiting the people in the branches or rest of the locations where we require. And we are keeping that sort of a setup ready. Technology-wise, we are ready. Manpower also, we are getting it. On the other side, process and products also we are preparing. Together, we need to take it forward.

Sushil Choksey: Sir, the previous participant had asked you about technically written-off accounts. I'm not asking you from a particular number what you will recover next year. But if I take a historical data and your experience, what percentage of your written-off accounts you will feel that would be recovered, 30%, 40%, 50%?

B. Ramesh Babu: It's a very, very difficult and impossible question I can answer because each half is a different animal and a different treatment. So if you ask me from the retail segment, what you can do, at least some sort of a ballpark number I can give you. But out of the total write-off account majority when it is coming from the corporate, so I will not be able to give that number at all.

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That too, suppose even if I give a number, in this particular year, how much it has come up and all, so I may not be able to tell you.

Sushil Choksey: Okay. Sir, second thing, my last question is on treasury outlook for your bank, looking at the current G-Sec in India and the limited volatility in US. Everybody estimates that 2024 maybe second half or the third, fourth quarter, there would be tapered off. We are likely to be included in some bonding access, one and two, both is more or less indicative. Now based on this, where do you see our treasury positioned for betterment or will be stable from that because of our CD ratio?

Natarajan: Yes. Sushil, up to three months before, we had a very low duration. If you have noticed our AFS portfolio is all less than 2% only. Now we are slightly confident that going forward, the interest rates will not be going further high. So we started picking up some of the investment. That is why if you notice, our AFS and durations in other sectors is slightly moving up. And in that way, we are not very aggressive, but within the limited band, so we are trying to play around.

Sushil Choksey: Sir, one more last question on co-lending and assignments. Are we fully technology-enabled?

Natarajan: Yes, yes. See, the basic requirement for co-lending is you should have a very robust technology. So without that, it's very difficult, particularly for the Amazon BNPL platform and all -- these are all 24/7, particularly in the festival and the holidays -- heavy activities would be there. So the manager -- all the active co-lending business today, everything is technology oriented and the end-to-end seamless process.

B. Ramesh Babu: Other partners also with whom we have entered, it is absolutely end-to-end and seamlessly working.

Moderator: Thank you. We have a next question from the line of Prakhar Agarwal from Elara Capital.

Prakhar Agarwal: Couple of things. One is on, sir, lending rate, so you have highlighted that you took a couple of MCLR rate hikes. Have you been able to pass through anything in retail and commercial banking side?

B. Ramesh Babu: No. Suppose if our jewel loans, if you look at it more or less -- one-month MCLR. So automatically, majority of them at rig price is not a problem at all. So in respect of other retail, so the process is on. So that's the reason conservatively, we have estimated a hike of around 10 basis points in

the next quarter.

Natarajan: So during the last quarter, we increased our MCLR two times. So that we are gradually -- when that renewal happens, we'll be passing on that whatever increase to the accounts.

Prakhar Agarwal: Okay. And sir, moving on to FY '25, if you were to take that there are no systemic rate changes by RBI. How do you foresee your margins moving on and in that context growth that you're

envisaging, because you said in a passing comment that you probably are choosing margins over growth at this point in time. So, if you were to just --

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B. Ramesh Babu: Prakhar in fact, it is a dynamic position now. Once we look at our March position, then we'll be able to give you guidance for the next year. So for the time being, I wish to confine to our guidance to next quarter only.

Prakhar Agarwal: Sure. And just last bit on sir, this personal loans. So who is a partner who is running you through in terms of this buyout that you had to do for BNPL Amazon?

Natarajan: That's Axio, a company called Axio.

B. Ramesh Babu: Former name was Capital Float; later, it has been renamed as Axio, based out of Bangalore.

Prakhar Agarwal: Okay. And this partnership has been for how long, sir?

B. Ramesh Babu: More than three years.

Prakhar Agarwal: Okay. sir, how suddenly then probably if we were to look at past trends, how suddenly that during this festive season, we have seen this sort of growth while in earlier years, we have not seen any sort of this pamper?

B. Ramesh Babu: No, what happens, a few more variants also we have brought. But because based on the experience, what we have with few other customers, and going on well. Instead earlier, suppose if we are giving one month, now we can give for two months or three months, something is required. So that few of the customers instead of rotating in one month, it has become three months that also got elongated repayments that way.

So that way, overall, if you look at it has gone up. But this time, there's a robust demand on account of this. Even Amazon also what they have released the list also from their side. A good number of fresh -- that is not fresh to the Amazon. Amazon, there must be there for three years also. The list what all has come also has come up. So that way, the demand is pretty good this time.

Prakhar Agarwal: Sir, what will be your rejection rate in this for us in this product?

B. Ramesh Babu: It is, I think, miniscule because the reason is after so many checks and balances, Amazon is releasing. And after that, we -- our partner has checks and balances and we have many gating conditions. With all these things, someone passes through, they will be able to go through. So the same process has been going on for the last three years.

With all these things, the cohort loss is around 1.2%. So that's the reason what we thought. So the model what all is following the same model is getting followed that way. There's no deviation or dilution in the model what we are following.

Prakhar Agarwal: Okay. Sure, sir. That is it from my side. Thank you so much.

B. Ramesh Babu: Thank you. Thank you.

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Moderator: Thank you. Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to Mr. B Ramesh Babu, MD and CEO, for closing comments. Over to you, sir.

B. Ramesh Babu: Yes. So once again, I thank you, one and all, for taking out time and for very curiously asking many questions and detailed question, so which shows the interest of what each one of you have in our bank. I profusely thank once again and all the best. And a good day to all of you. Thank you all.

Moderator: Thank you, sir. On behalf of the Karur Vysya Bank, that concludes this conference. Thank you

for joining us. And you may now disconnect your lines.

Call: May 2024

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IRC:F48:108:237:2024 May 17, 2024

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C-1, 'G' Block,
Bandra- Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Audited Financial Results of the Bank for the Quarter and Year ended March 31, 2024

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on May 13, 2024 at 05:00 p.m. (IST), in connection with the Audited Financial Results of the Bank for the Quarter and Year ended March 31, 2024.

The same is also made available on the website of the Bank and can be accessed on the following link:

<https://www.kvb.co.in/investor-corner/regulation-30-sebi-disclosure/investor-con-call-transcripts-and-recordings/>

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager
Encl: As above
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Q4 FY'23 -'24 Earnings Conference Call "
May 13, 2024

MANAGEMENT : MR. B. RAMESH BABU – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – KARUR VYSYA BANK
LIMITED
MR. J NATARAJAN – PRESIDENT – KARUR VYSYA
BANK LIMITED
MR. CHANDRASEKARAN – CHIEF OPERATING OFFICER
– KARUR VYSYA BANK LIMITED
MR. RAMSHANKAR – CHIEF FINANCIAL OFFICER –

KARUR VYSYA BANK LIMITED
MR. DOLPHY JOSE – GROUP HEAD – CONSUMER
BANKING – KARUR VYSYA BANK LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Q4 FY'23-'24 Earnings Conference Call of the Karur Vysya Bank. We have with us today from the management team of KVB, represented by Mr. Ramesh Babu, MD and CEO, Mr. Natarajan, President, Mr. Chandrasekaran, Chief Operating Officer, Mr. Ramshankar, Chief Financial Officer, and Mr. Dolphy Jose, Group Head, Consumer Banking.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.

Now I hand the conference over to Mr. B. Ramesh Babu, MD and CEO, to take us through the highlights of the quarter gone by, after which we will open the floor for the questions. Thank you, and over to you, sir.

B. Ramesh Babu: Thank you, Nirav. So good evening to all of you. On behalf of Karur Vysya Bank, I welcome you all to our bank's earnings call for the quarter four of the financial year 2024. We uploaded our financial results along with the presentation on our website, and I hope you have had a chance to go through it in detail ahead of this call. We are pleased to share that our performance indicators are in line with our guidance that we had spelled out in our earlier quarters and it's encouraging to note our consistent and inclusive performance well above our guidance on three metrics: Growth, profitability and asset quality.

We are also glad to share that our balance sheet size has crossed INR1 trillion during the year. The bank's total business stands at INR1,63,536 crores as on 31st March 2024, as compared to previous year, INR1,40,806 crores, registering a growth of 16%. The advances stand at INR74,423 crores and deposits grew to INR89,113 crores with a growth of 16% each. The bank's liability business constitutes 54%

of the total business of the bank. Deposit growth continued to remain one of the key focus areas for the bank, and you are aware that the bank had initiated various strategies for deposits growth, including establishment of acquisition channel for both term deposits and CASA growth.

Our term deposit growth during the year is at 21%, and this is made possible on account of our continued focus on this segment.

While our CASA acquisition numbers are progressing well, there is a depletion in the existing book of the CASA on account of other opportunities available for the depositors, resulting in lower growth under this segment, which we are trying to overcome by better engagement strategies with our customers.

The advances of the bank grew by 16% for the year, and it could be noticed that the bank has achieved this growth after a gap of 11 years. So it was 24% growth in advances achieved in 2013 when we were growing pretty well in the corporate at that time.

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The growth during the quarter was slightly lower, and this is on account of our conscious efforts in reducing low-yielding advances for better margins.

It is heartening to see our consistent efforts in bringing inclusive growth across credit verticals have been rewarding well.

Commercial loan book increased its share to 34% of the total loan portfolio followed by retail with 24%, agriculture at 23%, and corporate loan book reduced to 19%, indicating our

continued shift towards granular portfolio.

The commercial business grew by 21% over the previous year as against 12% growth of the corresponding previous year. Our continued efforts in activating branch channel, which manages small business group with INR5 crores exposure and business banking units, which manages exposures of the INR25 crores, resulted in better performance, besides consistent good performance displayed by NEO business team.

KVB Smart, a non-branch channel under commercial banking, mainly sourcing business through open market channel, completed its first full year of operations. It is progressing with a portfolio of INR126 crores and currently operating at Coimbatore, Chennai, and recently, Hyderabad, Madurai and Bangalore units, also have been commenced and the total team size is 48 numbers.

The agricultural loan book had a growth of 17% year-on-year and achieved all targets and sub targets under priority sector for all the quarters of the year and priority sector advances as a percentage of ANBC as on 31st March 2024. While continuing our focus on agricultural jewel loans, we have also started focusing on direct agriculture lending and sourcing business through fintech partners.

The retail advance of the bank registered a growth of 18% during the year under review as against 16% over last year. Our efforts in making products and processes market-related has helped our branch channel to focus on this segment, supported by open market channel. Our co-lending Amazon BNPL program is performing well, and the book is around INR1,000 crores now.

Corporate and institutional loan book had a growth of 5% only during the year, though initially, in the first two quarters, CASA balances has grown on account of withdrawal of INR2,000 notes. Subsequently, there were scramble for sourcing low-cost deposits. Industry witnessed customers choosing alternatives for investments rather than keeping in CASA accounts. Striking a balance between maintaining healthy margins and pursuing strategic growth opportunities is a challenge that we had to navigate last year. As you are aware, we preferred sustaining our growth momentum with healthy margins. In addition to shedding away, low-yielding advances of INR1,415 crores, I repeat INR1,415 crores, we also exited advance of around INR200 crores on account of weakness, thus totalling around INR1,600 crores, which co

mes to 2.15% of our advances during the year. And thus, we have done the dual task of cleaning the book and optimizing the yields.

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Our NEO business model continued to perform well and have built a loan book of around INR6,443 crores at the end of the financial year and precious metal division book stood at INR674 crores.

Transaction Banking Group specializes in cash management services, providing collection and payment products and supply chain finance for corporates of all sizes. In addition to participating in all 3 TReDS platforms for financing MSME vendors, TBG by embracing digital technology aims to leverage the partnerships with fintechs to drive growth. TBG supports the bank for a diversified portfolio and anchor top corporate relationships.

Our partnerships for co-lending with NBFCs continue to perform well and loan book under this segment is around INR1,900 crores. Currently, we have five arrangements, and we are working with more tie-ups during the year.

We had indicated in the last call that NIM be above 4% at the exit quarter of the current year. NIM improved to 4.19% sequentially by 6 basis points. It was 4.13% for the quarter three, excluding one-off items. Our rebalancing of portfolios with more focus on better yielding granular secured advances in the RAM vertical has helped us to maintain the margins above 4% levels.

The cost of deposits increased by 11 basis points sequentially as against 15 basis points guided by us in the last call. Yield on advances increased by 8 basis points during the quarter as against the guided 10 basis points. Yield on investment has increased by 17 basis points during the quarter.

Other income for the quarter is reported at INR388 crores. This includes a one-off item of reversal of depreciation on investments on SRs, that is INR157 crores provided earlier, which resulted in a spike in the PPOP. The release is on account of reclassification of SRs into NPIs, non performing investments, as these SRs have crossed the time limit of eight years. The provision release under the head is consumed under the provision for NPI and hence, it is net profit neutral.

You are aware that wage revision as per bipartite settlement was signed during the last quarter.

With respect to pension obligations, out of the estimated amount of INR114 crores, we have already provided INR74 crores till quarter three and the balance amount of INR40 crores has been provided in the fourth quarter.

In view of the wage revision and also on account of drop-in benchmark rates by 30 basis points, additional amount of INR30 crores is to be provided towards meeting pension benefit obligations in the fourth quarter. With this, all liabilities with respect to wage revision has been fully provided for. Our normalized wage bill from the first quarter of the next year would be in the range of INR325 crores to INR350 crores, which works out to 1.35% of our estimated assets.

For the quarter under review, we have provided a sum of INR112 crores towards NPA migrations, standard assets and prudential provisions and credit costs work out to 0.65%. We

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estimate that for the current year, it would be in the range of 75 basis points as guided. As done in the last three quarters, we have provided sum of INR25 crores towards floating provision to meet any contingency, including ECL and cumulative provision available under this is INR100 crores.

We have achieved ROA of 1.76% in this quarter. It could be noticed that our ROA has consistently improved from 0.19% in December '20, and grown sequentially in the last 13 quarters, which is a result of our concerted efforts in stimulating the various levers of ROA and enabled us to achieve this parameter well ahead of timelines.

I am happy to share

that we have declared a dividend of 120% as against 100% last year, and this is subject to shareholder approval.

Our gross slippages during the quarter continue to be under control at INR130 crores, which comes to annualized 0.67% of our loan book. With SMA 30 plus numbers at the lowest level of INR 281 crores, it is estimated that forward flow is likely to be minimal. We are confident that we will continue to keep the ratio below 1%, as guided in our earlier calls.

With our persistent focus on recoveries from technically written-off books, we were able to recover a sum of INR132 crores during the quarter. Total recoveries during the year is at INR341 crores as against INR208 crores for '22-'23.

Due to lower slippages, recoveries / upgrades and write-offs, our gross NPA has come down to 1.4%, and we expect that we will continue to maintain at below 2% levels.

Our net NPA has come down to 0.4%, and we would continue to maintain net NPA at less than 1% of our loan book.

Our standard restructured loan book is further reduced to 0.96% now of our loan book, and we hold a provision of 42% of the total restructured book.

The additional provision towards pension obligations has slightly increased our cost-to-income ratio to 51.60%, excluding NPA reversal item for this quarter. However, YTD, year-to-date CAR is 49.68%, excluding NPA reversal item, which is within our guidance range of 50%.

Our CRAR Basel III continues to be healthy and is at 16.67% providing us comfortable headroom for growth.

Our digital transactions grew by 37% in financial year '24 and our share of digital transaction stands at 96%. We continue to add many new features in our DLite app, which is our customer onboarding application and there are 2.4 million registered users for our DLite app and 5.22 million downloads for our DLite app.

With regard to RBI's notification on investment in alternative funds, our investment as of 31st March is INR12.55 crores, and we do not have any great exposure to the companies where AIFs had made downstream investments.

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Let me move on to what we intend to do in '24 FY'25.

Every bank has its own business model. Till few years back, our business mix was skewed towards corporate book constituting 37%. We went for business transformation and lot of initiatives taken to granularize the loan book. Our corporate book has come down to 19% as at the end of 31st March with retail, agriculture and commercial taking higher share. Our focus will continue to be towards this approach going forward.

As we have continuously improved our advances verticals, in technology, processes, people

and partnerships, a good momentum has been engrained at all levels. However, this can be continued provided raw material, i.e. deposits at low cost, is available. Though there is no issue on the liquidity front, this is a challenge at what cost of funds would be available for lending. Rebalancing our portfolio would be continued keeping an eye on the margins. We will be continuing our focus of growth with healthy margins. Overall loan growth to be at 14% plus with adequate percentage of growth in deposits, ensuring CD ratio is maintained at around 85% during the current year.

We have added 39 branches during financial year '24. With respect to branch expansion for the current year, we have planned opening 80 lite branches and 20 regular branches in 2024-'25, mostly in Southern and Western parts of the country. The lite branches would help us to improve our penetration and bolster our liability franchise.

Our non-branch channel NEO is one of our successful initiatives to bring more synergy between branch channel and NEO, we have integrated operationally NEO into retail assets. This would facilitate the branches to scale up more under retail assets. Now across the bank, we would be in a po

sition to source retail business through branch channel and open market channel. So though the plan is on the anvil, we will be implementing that in different phases during the year with integration.

With respect to the margins, we expect that to be at and around 4% levels till first half of the current year. Our loan book comprises of EBLR book of 44% and MCLR book of 42%. Any policy change would have an effect on the margins. Considering our branch expansion and additional manpower plan, our cost-to-income ratio would be around 50% in financial year '25. Our efforts on recoveries would continue and expect the momentum gained in last year would be retained in this year also.

We have achieved ROA of 1.63% in financial year '24 and 1.76% in the last quarter. We had guided in financial year '21 that we would be 1% plus in financial year '24. We were able to cross it much earlier and above 1.5% throughout all the four quarters of last year. We expect we will continue to maintain this trend. We are clear that focusing on margins is the key to sustainable profitability and long-term success. It also reflects the health and efficiency of bank's operations.

Our effort would be to focus on sustaining our growth momentum with healthy margins to ensure that our ROA is above 1.6% or 1.65% levels at all times. I am grateful to all the

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investors, analysts and stakeholders for their confidence and continued support, which we will reciprocate to our better performance in the days to come.

Now I'll be glad to respond to your questions, please.

Moderator: The first question is from the line of Rakesh Kumar from B & K Securities.

Rakesh Kumar: Very good set of numbers for this quarter, sir. Especially on the margin front, we managed to hold the margin, like comparing that we had one-off in the Q3. So quite good set of numbers.

Sir, just on the TD cost, term deposit costs, so how do we see term deposit cost being out in FY '25? Because you have given the guidance for the first half. So just to understand that part slightly better.

B. Ramesh Babu: Thanks, Rakesh, for the participation and good words. So TD cost, if the current position continues, it may be continued at the more or less same level. As I was mentioning in the remarks -- opening remarks, liquidity is not an issue. Cost is an issue. Tomorrow, if we get better opportunities there to deploy the money, then it makes sense for us to raise the money even at a higher cost, then we can go for that. Or alternatively, if the liquidity is under strain, only by raising the deposit cost, we'll be able to get the deposits. At that time we need to think. Otherwise, currently, so we don't feel that there is a need to increase the TD deposit rates at this stage. So if this be the case, in next three months, more or less with the inflows, what we have, the TD cost will remain more or less the same. And above all, the inflow of time deposits, if you look at it also, majority of them are coming below two years. So that way, it will more or less be same and until unless, we have a problem with the liquidity.

Rakesh Kumar: Understood, sir. Sir, like suppose there is no rate cut even in this entire financial year, then what would be our stand on margin in second half, sir?

B. Ramesh Babu: I'll have to see that. The reason is how the deposit cost, how it was -- because there may not be any rate cut, but the liquidity is under strain. Then we, say, had to raise the deposit cost, then automatically, the margins will be compressed. So if something is not there, at the most, we think between 3.80 to 4% if at all, these sort of situations come up also, at that range, we'll be able to maintain. That's what we feel.

Moderator: The next question is from the line of Prabal Gandhi from Ambit Capital.

Prabal Gandhi: Congratulations on a very good quarter. So

on my first question was, even adjusting for the one-offs in employee cost, the kind of initiatives that you have been highlighting on the productivity side, that does not seem to translate into operating leverage for us. So how do you think about this because our opex to asset even adjusted for all this is extremely high. So how are you looking on this front?

B. Ramesh Babu: Yes. So Prabal, it's a good question. Thanks for the compliment. Now, you see there are two components as far as the employee cost is concerned. One is on account of the onetime one

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account of IBA agreement and wage revision what we had to provide. And second thing also I mentioned about the rate reduction, that way also we had to provide. This is one part.

Second thing is we have been investing on the resources. During the year itself, around more than 2,300 people we have recruited a different position. But more or less, everyone are linked to sales. So your point is what all we are spending is not getting reflected into the numbers. It is simple. Suppose you see the CASA, the fresh acquisition is going on. But simultaneously, other side, the existing to bank, the money is flowing out either into the real estate or next to the market -- our stock market, these sort of things that is happening.

So that way, had we not commenced this sort of initiative, we would have landed into a big negative. So that way, we could insulate ourselves from this. This is one part. Second thing, if you look at it, this is not the question of onetime CASA what we have got. It is acquisition of the relationship. Once we've got the relationship this one, perennially, we'll be able to get deepen this sort of relationship. So overnight, we cannot look at saying that this opex has not been reflected straight into this one.

Next thing also, I'll tell you. It is very easy to balance the ratio of opex to Assets. Suppose if we go for a pool purchase from different organizations around INR10,000 crores. So straight away, there is no additional staff cost is involved there. But the problem there is, I may have to pay around 8.5%, 8.75%. If I raise the deposits at 7.25% and 7.5%, and 8.75% -- suppose if I take this pool, my existing NIM is 4% and spread is also around that, and this 1% will dilute my NIM.

So in that way, I may be reducing the staff cost on one front. Other side, it will be having a bearing on the NIM. There, it will come down by 20 basis points. So that's why what we thought, rather than all these things, the low-yielding assets on the corporate, if we reduce it. If we have not reduced our INR1,600 crores corporates, in addition to that, another INR3,500 crores have we grown there, our opex to assets ratio would have been much better, much better.

So if both the ratios also, if you look at it, other expenditure is not concerned, there is not much growth. Employee cost has gone up. If we do not spend on this employee cost for the branches what we are going to open and the marketing of these CASA accounts what is there, and in addition to that, we have taken more than 1,000 people within the branches for deepening the savings bank accounts. So it may be transitory now because of the market conditions and the real estate phase what is going on, but the initiative what we have taken is going to give and yield results.

So we need to bear with it for the time being, but you need to appreciate one thing, with all these rigmarole and the working what we have, we are able to achieve our ROA what we have committed.

Prabal Gandhi: As well as growth. So congratulations on that. Sir, my second question is, when you shift from retail to say, other segments, what is the yield differential that you can generate? So let's say, 1% decline in a corporate book can generate how much yield differential for you?

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B. Ramesh Babu: I can broadly tell you this way. So let us say, if you see our yield on advance is around 10% plus, okay? Let us say, our commercial is at 11%. Now corporate, if I'm getting out of 8.5%, 8.75%, on a back of the envelope, if you look at it, straight 2%, 2.5% straight you will get on that. So the money what all I'm getting back from a big corporate, INR200 crores, if I deploy straight in the commercial, 10.5%, something like that, they'll get that. So it is around 1.75% to

2% straight we can get that.

So that is the reason, it was a very hard call for us to get out of INR1,600 crores when every bank is striving for top line growth. But we thought saying that we need to bite the bullet. If we need to get these margins well and the same money what all is available if you are able to deploy well other side, why should we go for that? We have gone, negotiated, pleaded with these corporates, we got out of INR1,600 crores.

Prabal Gandhi: All right. So this improvement yield is more a function of loan mix change rather than say...

B. Ramesh Babu: Prabal understand one thing, INR1,500 crores is not going to change the INR75,000 crores loan mix complexion. This is one of the factors I'm telling.

Prabal Gandhi: No, my question was more generic because this quarter also, loan -- the corporate book as overall share was down 1%. So I just want to understand that...

B. Ramesh Babu: This is the reason. That is why I told clearly, INR1,600 crores when we have lost, this quarter also, we have lost in the sense that they are willing to continue with us. We have told them it made more sense for us to rebalance this one.

Prabal Gandhi: Okay. So the intent was to understand are there levers available in terms of yield improvement going ahead? Or the loan mix is the only one that we are sticking to?

B. Ramesh Babu: So agreed, but other levers are available like, let us say, with partnership -- fintech partnership, we have gone for MFI, okay? There the yields are better, but we do not want to go overboard.

So 15%, 16% over, because we have started with the baby steps. And our current portfolio under MFI is around INR135 crores, one year back, we have started.

And initially, we started a partnership with one partner, having got some experience and all, two more new partners who are good, they have entered into partnerships. Those numbers also will kick in over a period of time. Next thing is about the B NPL where the margins are relatively better. So progressively, we have moved to around INR1,000 crores, which we used to have around INR200 crores, INR300 crores continuously.

So with some more experience there, rather than going for a plain vanilla of personal loans where, without any background we do it and all, this B NPL where Amazon also has a background check and our partner has a check, we also have a check. If we grow in those sorts of areas, our margin improvement can be much, much better. And the third one is our commercial banking. Commercial banking, the yields, particularly small business group are relatively better. That is the reason you would have seen that progressively, the loan mix has

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moved from 32% to 34%, it may reach 35%. So these are a few levers, but undue calls and undue risk, we will not take at this stage for the sake of improving the margins.

Prabal Gandhi: Can I have one more question, please?

B. Ramesh Babu: Please, please continue. Yes.

Prabal Gandhi: Sir, on the retail portfolio -- retail loan portfolio, there are only a few segments, which seems to be driving growth for us. When can we expect a more broad-based kind of -- because Dolfy has been driving this business and he has been trying to scale all the parts of this business. So when can we start seeing that -- translating that two numbers?

B. Ram

Ramesh Babu: Prabal, if you can look at the previous numbers two years back, the retail was growing in single digits, sometimes in 6%, 8%. That has moved to 18%, okay. Now it is for us to have this priority, how we need to go for that. We can start with personal loans straight. The growth will be terrific, but we thought we need to grow in a secured way.

Secured way, it happened that way. The mortgages, if you see, around 27% to 30% that is growing that way and home loans also started growing, and you can see some sort of a growth in Jewel loans. Now consciously, the vehicle loans, we are slow. The reason is very simple. The market is so cluttered, the dealer margins what you pay and the delinquencies what you have, the capital cost what you need to maintain on these and the recovery of these vehicle loans once they become NPA are very meagre.

Keepin g all these things in mind, we thought we will give priority to the existing customers.

There should not be a priority area. It may be a priority area for few banks. We consciously thought that if my other products are not firing actually, I can come here. So you compare a vehicle loan with that as a mortgage loan. The mortgage loan la g with cash flows are there, and the yields are much better. And with my LTV of around 75% to 80% is there, tomorrow something happens, my chances of 100% recovery are fair w ith higher yield.

Naturally, as long as I'm able to get the benefit there, we will go ahead. So jewel loan is another area where we can work on. And personal loans, already I have clarified to you, rather than going for plain vanilla, we will work on this BNPL. Educational loan in another area we are working. We have entered a partnership with a good firm. A partner who are experts and

having this experience in the educational loan, we will be working for high-end loans on this. And over a period of time, you'll be able to see some sort of numbers there.

Moderator: Next question is from the line of Anand Dama from Emkay Global.

Anand Dama: You have reported a pretty strong set of results during the current quarter, so hearty congratulations for the same. So my question was on the floating provision. So you -- this quarter also, basically, you have created some floating provisions. Is it more of a precautionary measure? Or do you see some asset quality risk cropping up, number one?

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Number two, you said that you have a BNPL tie-up with Amazon. How are the delinquency trends shaping up over there? How are basically you sharing -- or basically, the Amazon is basically sharing the risk on these loans with you? Whether there is any FLDG arrangement over here? And third, basically, is that what is your ROE expectation for FY '25, wherein basically how the overall your cost and particularly your provisions are going to look like?

B. Ramesh Babu: Yes, Mr. Anand, thank you, thanks for the compliment. So regarding the floating provision, we are not visualizing and foreseeing any sort of stress, though our past numbers also, we have given guidance on each of the front. You would have seen our SMA 30 plus also, which is around less than INR300 crores on a book of INR74,000 crores.

So that way, if something account is not in SMA 30 plus as at the end of 31st March, the chances of that slipping into NPA is remote. So that way, we don't foresee. And the entire team, more or less, they are geared up for monitoring collections, and we have formed a collection team also. Last year -- before last year, I have explained. So that is working well. And across the verticals, they have this awareness that monitoring is very important. I'm not saying that the number will be at INR300 crores. Whatever it is, may go up also here and there. But it is absolutely under control. Floating provision has nothing to do with our share of getting these higher numbers un-

der the stress. So floating provision, prudentially, we provided. It can be for any purpose. Particularly, what we thought, last year, there was a lot of discussion on the ECL from the Reserve Bank of India.

So we thought there are many unknown unknowns how these guidelines will come up and all, how it transpires is not known. As a precautionary measure, we started making the INR25 crores, and we have created the INR100 crores provision. It has nothing to do with the loan loss.

Second thing, coming to BNPL. BNPL, agreed. So the delinquencies are absolutely under control. And it's not the question of Amazon, we are taking the FLDG. The partner who is an NBFC, we have re-entered into an arrangement for the last six months with FLDG arrangement as per the new guidelines, which we have got from Reserve Bank of India. So we have got an FLDG of 5% under that. And the delinquencies what all are there are much below that, and we are absolutely covered under that.

Now coming to the return on assets. So we also mentioned saying that our last whole year is around 1.63%. So we do not know what are the unknown unknowns during the year, which is going to come up. That is the reason we still say that at around 1.6% something like that, we can think of our ROA. If -- you must be seeing our numbers for the last 18 quarters, more or less, what we have been indicating, we are better than that. So our intention is to excel everywhere and no where a possibility and scope is there, we will leave that. So that way, we will continue to strive well and grow well.

Anand Dama: Sure, sir. Sir, secondly, you basically have talked about adding about 80-odd branches in FY '25. Happy to hear basically the branch expansion from your side. So what is your thought process in terms of why you want to add branches incrementally? Is it more that you're going

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to focus more on the liability side of it? Which are the areas where basically you could add these branches? What is going to be the overall impact of this branch addition on the cost metrics?

B. Ramesh Babu: Yes, you are perfectly right in saying that. Okay, because you may think that digitally you can acquire, but the Indian mindset is somewhere a nearby physical branch is there, in case of necessity, I'll be able to have touch base, and I can get it clarified. But that situation and necessity may not come up at all in the digital world, but the feeling that I can approach

someone is much better.

So that is the reason what we thought, let us go for 20 branches full-fledged where they'll grow very well, both in advances as well as the liabilities. And rest of the 80 branches where they will be lite branches, their major focus will be on the liabilities with a lean structure and all, but they'll be going simultaneously for the cross-sell as well as upsell. We will be going for a hub-and-spoke arrangement, wherein they'll be linked to a hub. So that hub will be taken care of the sort of requirements of the advances and other things and all. So the feeder will be the spoke and how we'll handle these things, so there's the experiment we wish to make so that our presence is being felt in different locations.

Moderator: Next question is from the right of M.B. Mahesh from Kotak Securities.

M.B. Mahesh: Sir, just one question. These guidelines with respect to the infra one, it also covers commercial real estate. We know that most banks do have this particular book, including yours. Can I just clarify as to whether this guideline is applicable based on the exposure norms that you give to us in the annual report? Is it a meaningful one or not a meaningful one?

J. Natarajan : Yes. So you are basically talking about that infrastructure and the DCCO, right, Mahesh?

M.B. Mahesh: And also for commercial real estate, sir. Because if you look at the annual report, your commercial real estate exposures tend to be high because you have some collateral there. So if you just kind of clarify on that one as well?

J. Natarajan : Yes. So there is a regulatory guideline on what is a project. So if you are doing your real estate, taking a land and constructing a building with large scale, we can classify under the project. Similarly, for the other manufacturing companies, wherever they are starting from the scratch, we call it as a project.

So there is basically an infrastructure project like putting up the industries or the real estate construction projects. This is what normally we classify. And if you take in our bank, both put together, both the infrastructure manufacturing and the real estate put together, it will be a very less than 12 or 14 numbers. And if you talk about in terms of DCCO out of that, so only hardly 1 or 2 DCCO cases we are facing. As such, these circular guidelines are not material to our bank.

M.B. Mahesh: Perfect sir. Sir, as you also clarify, let's say a textile company was to put a project, will that also be part of it?

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B. Ramesh Babu: Textile company wants to put up a project...

J. Natarajan : Yes. So that's what I'm saying. For example, if they are acquiring some more machineries, for example, existing textile unit, buying a solar or this windmill, we don't classify it under the project. But if a textile business is starting from the scratch, buying a plant, putting up the building and buying machineries, entire infrastructure creating it, normally, we call it as a project.

Moderator: Next question is from the line of Suraj Das from Sundaram Mutual Fund.

Suraj Das: Congratulation on a good set of numbers. Sir, a couple of questions. In terms of non-interest income over the last couple of years, obviously, you have done the franchisee and non-interest income growth has been very good, but what is the trajectory from here on? Can we expect still higher the loan growth income in the non-interest side? And also within this, I think last year, we did something like INR200 crores of T.W.O recovery. This year, nine month, the number was something like INR220 crores. So I'm assuming for the full year, that number would be higher. So I mean, what is the visibility there in terms of this T.W.O recovery supporting the overall non-interest income also. So yes, that is the first question.

B. Ramesh Babu: I think the first point I need to clarify. In our initial guidance note itself, I have mentioned, this year, the write-off recovery is INR342 crores. So it is much, much higher than the last year number, okay? So that way, it is much better. And coming to the non-interest income, there are many levers. It can be the letters of credit, guarantees and cross-sell. So cross-sell income also, if you look at it, compared to last year, it has grown very well. And we are trying to have few more partners and grow it much better. Whereas under the LCs and guarantees, if the textile sector is doing well, we would have got good business under the letters of credit, import and all these things. For the last three years, textile sector is actually struggling.

One good thing is we didn't have any other stress on account of the textile because our customers are good, but the transactions which have come up are down. So that way we may not expect much from the LC, but we are focusing on the guaranteed business. So wherein the non-fund-based business will be there. So that may give us some sort of an edge over that. Coming to the recovery and the write-offs, that is one of our focus areas and we are further

strengthening our recovery wing for the growth -- for the recovery in the write-off. So that way, what I feel this trajectory, what we had for the last two to three years, it will continue, and we'll be able to do better.

Suraj D

as: Okay. Sure. Understood. And sir, on the floating provision, so for last quarter, you have done it. So will it continue for next financial year as well since this is a good time, and you will continue to create provision in the next...

B. Ramesh Babu: No. That is a call Board will take after the results, something is there. But for the time being, what we thought, some good times are there, INR100 crores we have provided. So maybe next quarter, there is a call to be taken by the Board for the next year.

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Suraj Das: Okay. Understood. And sir, last question on the CASA side. I mean, anything -- any initiatives there. You are working on in terms of this CASA? I know -- I mean, overall franchise is very granular in terms of liability. But still, I mean, in terms of, let us say, current account growth, I mean, has been relatively slower versus, let's say, overall, the SME segment loan growth. So in terms of, let us say, on the CASA side, what are your thoughts to improve this CASA going ahead?

B. Ramesh Babu: So there are many initiatives we have taken that one. So what we thought is on the sales channel, what we have created. So first level, we have taken around 1,200 people. And it took some time for us to activate them because many of them have come from different banks.

When they have come from different banks, understanding our culture and having a unified approach was difficult.

And one good thing is they have brought out the best practices what others are following, we could get that. In the process, more than 24 variants of products we have structured internally.

The team itself they did and all. We have brought into forth. And IT deployment is going on. With that, we'll be taking it forward.

So that way, once these are in place, so the fresh acquisition will start working. Next thing what we thought was revitalizing the branch channel. The branch channel currently, they were acquiring some sort of an NTB who comes once in a way, but with the sales channel doing these sort of things, we thought we can ask the branches to focus more on the deepening. So for that reason, we started taking customer relationship management and branch relationship managers into the branches so that they will look after the deepening as well as the cross-selling.

So we want to further increase the number of Feet on Street on the sales channel that more number of branches can be covered. We also took another set of people. It's around 1,200 people at the branch level. We call them as a branch sales and service executives. These people at the lowest level we have taken. Their job is to deepen these accounts and to get more balances under the CASA. So digital is becoming -- this one and all both integration is happening.

And the next is focusing on the business correspondent channel. There also, we have got the platform now. IT integration is getting completed. By June, once we complete, more or less around 500 business correspondents at different locations, we would like to go further. So that way, we are trying to take many initiatives to take care of the NRI, HNI, BC, forex, Trade Finance, all these different sub-verticals we have created. Each one, once they start firing, so we'll be able to see some sort of attraction on all these fronts.

Moderator: Next question is from the line of Jai Mundra from ICICI Securities.

Jai Mundra : Congratulations on a very steady performance quarter after quarter. Sir, my first question is on employee head count, right? So they have increased to around 9,000 odd. What is the sense, sir? Are we still adding more people on the Feet on Street at overall level? Or this is likely to stabilize there?

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B. Ramesh Babu: Thanks for the compliment. Now, agreed. Just now in the earlier question, I was responding,

Jai. So we have taken sales channel around 1,300 people. And at the branch level around 1,200 at the lowest level, we have taken. So now earlier, we thought of going for actually 2,600 for

the sales channel, but we stopped it at 1,300 for one reason.

When we started the process, we understood saying that the products what market requires are not there and the digital enablement 's what we need to do to make these people to deliver were not there. Then suddenly, we stopped the recruitment more or less at 1,300. And these people with the available infrastructure started mobilizing the business now. So now during the process of last 8 months, these 24 new products have been added and the digital enablement 's have completed.

So now we are well off to take it forward to the next level. We may see another 600, 800, we had to take it. But because with the earlier 1,300, a set of branches are covered. Now, there is a potential in many other branches. By taking these sales channels, we'll be able to cover other branches also. These are first side on the sales channel.

Second thing on the branch level channel also, if the branches are extremely busy with the routine transactions, their ability to actually handle and meet the customer will be difficult. At the lowest level, what we have taken BSSC, we are trying to have another channel called virtual relationship managers. Beyond a cutoff, there will be centralized virtual relationship managers. They'll be handling a set of customers. And so that is another channel we may be adding that. So that way, if you look at it, both we may be adding, but we will ensure saying that the mobilized deposits what all there are properly deployed. And overall, we'll be able to maintain our ROAs.

Jai Mundra : Understood. Understood, sir. And sir, secondly, on growth, right? So I heard you that you have said that the FY '25 growth would be 14% plus, considering that we have best of the asset quality, our cost of deposit is still one of the lowest amongst peers. 14% growth, of course, you are focusing on profitability as well. But could this be, I mean, a lower end number? Or you would -- at this point of time, you would think that 14% is a good enough number? Or it can actually move up as we deliver or as the new people join, et c.

B. Ramesh Babu: Jai, you would have remembered, last year also, we quoted more or less around 14%, okay? We landed more or less at 18.5%. If I add back the 2.5%, what consciously we left it out. So that way, so the lower end, it will be. Our intention is always to grow much better. But only point is that there is no point in taking a deposit 7.5% and lending at 8.5%. So that only adds my CRR, SLR, capital cost, PSL, opex, provisioning, with all these things.

Our top line may be growing and my ratios may be growing, but it will not make any sense for the bottom line. So this, we are mindful of the fact. So that's why growing in advances because all engines are firing now. The 21% under the commercial banking, if you see, so year -on-year how the growth is coming there. A new set of branches are coming into the fold and existing branches, they have understood how they need to do the business and the TAT has improved.

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With all these things, we will be able to grow well, but provided other side, we need to look at because another constraint is the 85% LDR, loan -to-deposit. So if that is not there, the surplus SLR what all is there, on that we can raise and the borrowings, we can raise and we can lend. So with this framework what all is available, we need to work on this. That is the reason we felt saying that let us give a guidance of 14%.

Jai Mundra : Great, sir. And sir lastly, if you can highlight what is the run rate of NEO on maybe monthly or quarterly disbursement. Has that gone up significantly? Or how is this debt trending?

B. Ramesh Babu: Now. As I said, NEO we are integrating with the main bank now. So from now onwards, both of them will be working together. We have an open market channel working there. So on an average, I can say around INR200 crores, I can say that. So that way, the growth will be coming from that channel. And because they are integrating, overall, the growth will be much better together.

Moderator: Next question is from the line of Chintan Shah from ICICI Securities.

Chintan Shah: Congratulations on very good set of numbers, 1.7% ROA. Sir, just I had one question on the loan rundown. So basically, we are letting go some low -yielding advances in the corporate. So is that now done? Or do we expect some another advances, probably which we could let go in FY '25 with a low yielding? Or some weak asset, as we told around INR1,600 crores of loan we have let go for this year. So any ballpark number. Or is there any still thing in the pipeline? Or now we are done with this?

B. Ramesh Babu: It is a work in progress, Chintan. In fact, if you can look at it, so we have done that. I cannot say anything saying that a readymade list is there where we'll be getting out. It is the question of opportunities other side available. If other side on the RAM front, particularly commercial banking, the engines are firing much better, then automatically the least yielding, which is the asset I need to look at it, and we need to engage with them. We need to get out of that.

While on the other side, mobilizing the deposit and lending will go. Here by rebalancing and redeploying the money from that side to this side, if you are able to get 2% more, why should we leave it? So because there is an ongoing process we see, till such time, the deposits growth improves. And just like a tap, as and when I want if I am able to get the deposit, then growing in corporate should not be an issue.

Otherwise, we have to be mindful of the fact saying that which is making sense only we need to grow. So this work will be continued, though I will not be able to quantify what is the number at this stage.

Chintan Shah: Sure sir, sure. This is very helpful. And sir, secondly, just follow -up on this. So the weak accounts, as we said, so what makes us believe that this account is weak. So how do we arrive at that comment of weakening. INR200 crores, I think, we let go because they were weak accounts. So basically, some stress or some delays in payments or how do we quantify that?

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B. Ramesh Babu: Yes, yes. We have a concept called early warning signals. Early warning signals, we have different parameters are there -- around 40 scenarios are there. If this -- continuously, our systems will be generating the sort of early warning signals. Based on that, we'll be knowing through a predictive analysis, what can happen for these people.

And suppose incipient sickness is there or tomorrow it's going to have a problem, while engaging with them with the market intelligence, what is hearing and all, with all these things, we felt saying that it is better much in advance, we engage with them, we get out of these accounts rather than getting stuck with these things. So that's why it is a question of analytics, early warning signals, market intelligence, all these constraints together, we have come to a conclusion yes saying that we need to exit these accounts.

In fact, the yields there were extremely good, extremely good. So there's another cause of concern. If someone just like that, they are paying that much of yield or pricing, that itself will be the first line of early warning signal for us.

Chintan Shah: sir, we can say that these are standard accounts. We are paying accounts, but only thing is we believe that they might turn bad or they might give some stress, and that is why we are exiting it early?

B. Ramesh

Babu: Very correct. Absolutely, you are correct.

Chintan Shah: Okay. But sir, then how do we exit. So for example, if the repayment is after three years. So do we ask the customer to close the loan? Or how does it work that way?

B. Ramesh Babu: The customer will go to some other bank and it will be taken over by some other banks.

Chintan Shah: So basically, we just -- if the customer comes with a BT out proposal, then we let it go, and we don't ask to retain the customer that way, yes?

B. Ramesh Babu: Not only coming with BT proposal. Few cases, we are initiating the process. For you to engage with some other bankers, they may go to NBFC also. If the banker is not willing to do -- take it and NBFC has a better risk appetite, he may pay a higher price and he may go there. So we initiated the dialogue with the customer that they have to leave it and all. This has been going on for more or less -- because overnight, if you come and tell the customer tomorrow, no one will leave. It's a question of six months to one year, the discussions will be happening. Then progressively, they will leave.

Chintan Shah: Okay. Understood. And sir, just last thing on the recovery from TWO number, can you just -- sorry, data keeping question, the recovery from TWO number for the quarter, if you could just help on that?

B. Ramesh Babu: INR132 crores and for the whole year, it is INR340 crores.

B. Ramesh Babu: So it is INR132 crores, Chintan, for this quarter.

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Moderator: Ladies and gentlemen, we will take that as our last question. I'll now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, for closing comments.

B. Ramesh Babu: Thank you all for your interest in the bank and for the good wishes and the compliments what you have conveyed. We will try to live up to your expectations and take the bank forward.

Thank you once again for sparing time for us. Thank you.

Moderator: Thank you very much. On behalf of Karur Vysya Bank, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Jul 2024

Classification | REGULATORS
IRC:F48:177:348:2024 July 24, 2024

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C-1, 'G' Block,
Bandra- Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Unaudited Financial Results of the Bank for the Quarter ended June 30, 2024

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on July 18, 2024 at 5:30 P.M. (IST), in connection with the Unaudited Financial Results of the Bank for the Quarter ended June 30, 2024.

The same is also made available on the website of the Bank and can be accessed on the following link:

<https://www.kvb.co.in/docs/investor-con-call-transcript-fy25-1.pdf>

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager

Encl: As above

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“Karur Vysya Bank Limited Q1 FY25 Earnings
Conference Call ”

July 18 , 202 4

MANAGEMENT : MR. B. RAMESH BABU – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , KARUR VYSYA BANK
LIMITED

MR. NATARAJAN J. – EXECUTIVE DIRECTOR , KARUR
VYSYA BANK LIMITED

MR. M. S. CHANDRASEKARAN – CHIEF OPERATING
OFFICER , KARUR VYSYA BANK LIMITED

MR. RAMSHANKAR R – CFO, KARUR VYSYA BANK
LIMITED

Karur Vysya Bank Limited

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Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY25 Earnings Conference Call of the Karur Vysya Bank.

We have with us today the Management Team of KVB represented by Mr. Ramesh Babu - MD and CEO ; Mr. Natarajan - Executive Director ; Mr. Chandrasekaran - Chief Operating Officer and Mr. Ram shankar - CFO.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. B . Ramesh Babu - Managing Director and CEO to take us through the highlights of the quarter gone by, after which we will open the floor for questions. Over to you.

B. Ramesh Babu : Thank you, Sagar. Good evening to all of you.

On behalf of Karur Vysya Bank, I welcome you all for our Bank's Earning Call for Quarter 1 of the financial year 2025. We trust that you, your colleagues and family members are keeping well and are in good health. We have uploaded our Financial Results along with the Presentation on our website and I hope you have had a chance to go through it in detail ahead of this call.

Before I go into the numbers, let me begin with senior level changes that happened during the quarter. S hri Natarajan, who was President of the Bank , has been inducted in the Board and designated as Executive Director. He will be overseeing all business verticals including treasury operations. His quadrennial experience in various facets of banking would further shape our future growth . Mr. Dolphy Jose - Chief General M anager looking after Consumer Banking resigned during the month of June and we have already recruited Mr. S T Gopal, who now heads Liability Business. Mr. Gopal has been a domain banker for 34 years and is in the Liability Acquisition Business for more than 16 years . As indicated earlier, Mr. Nitin Rangas wami heads Retail Asse ts Business including Open Market Channel. Earlier,

he was handling the Open

Market Channel . The Bank has now a strong Management Team and business , support and control functions are headed by seasoned executives.

The Bank had another strong quarter of performance built on our guidance on three matrix , growth, profitability and asset quality. Banks performance indicators are in line with our guidance and the Bank is seeing consistent and steady growth. It is encouraging to note our consistent and inclusive performance highlighting a strong start to this financial year. The same will be continued rather we will aim for further improvement of the performance in the ensuing quarters.

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The Bank 's total business stands at Rs. 1,70,059 crore as on 30th June 2024. We were able to sustain the growth impetus during the first quarter as our total business registered a growth of 4%, the advances stand at Rs. 77,710 crores and deposits grew to Rs. 92,349 crore with a growth of 4% each. We have been guiding in our earlier calls about our focus on inclusive growth from all verticals with respect to advances . I am pleased to share that the same is being sustained in RAM verticals with 6% quarter -on-quarter loan growth and the retail advances grew faster at 7% Q-o-Q driven by growth in jewel loans, mortgages and personal loans category .

We have integrated our open market channel that is earlier we were ca lling as a NEO with our branch channel as a combined retail assets team from the beginning of the current year. The integration would help us to accelerate the growth in this segment. Commercial advances

clocked 6% growth quarter-on-quarter and agriculture advances achieved a growth of 4% during the quarter. Corporate book has degrown by 2% during the quarter, mainly due to lower availability in certain seasonal sectors, lower disbursement and repayments and of course few accounts consciously left to due to pricing.

Deposits growth remains one of the key focus areas for the Bank and you are aware that the Bank had initiated various strategies for deposit growth including establishment of sales acquisition channel for both term deposits and CASA growth. Our deposit growth was at 4% during the quarter and term deposits and CASA deposits have grown by 4% each. We have now revamped the liability business model, particularly on the CASA. Besides creating an exclusive acquisition channel, we have launched 24 new variants of CASA products. Further, we have created separate channels for corporate salary, institutional, NRE, government business, trade and FOREX, business correspondent and we have recruited national sales managers from the market to manage this business.

The last year trend of depletion in existing book on account of other opportunities available for the depositors is still being witnessed in the current year also. However, we are confident that our conscious efforts in improvement in our engagement with our customers supported by dedicated channels would result in stemming the above reduction. All of you are aware of the September 2023 master direction of Reserve Bank of India, wherein banks are to follow new regulatory guidelines on classification and valuation of investments effective from 1st April 2024. Accordingly, we have implemented the new guidelines, and the transition is P&L neutral.

The net positive impact on reserves is about Rs. 81 crores.

We had indicated in the last call that NIM would be above 4% levels till first half of current year. I am happy to say that the NIM for the quarter is 4.13%. Our continued journey on shedding away low-yielding corporate advances on one side and focused more on better yielding granular secured advances in RAM verticals both have helped us to retain about 4% NIM levels during the quarter. We are hopeful to continue our effort in maintaining the NIM above 4

% for the next

quarter too. The cost of deposits increased by 12 basis points sequentially and yield on advances by 2 basis points, yield on investments increased by 12 basis points during the quarter. Based on our historical pattern of renewal of deposits and fresh deposit acquisition, we expect moderated

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rise in the cost of deposits by 12 to 15 basis points in the next quarter. Yield on advances expected to go up by 5 basis points and yield on investments would be in the similar range for the first quarter. Considering all these factors, and without taking into any policy rate changes, we expect that the NIM will be above 4% in the next quarter as I told earlier.

We have achieved a ROA of 1.7% in this quarter. We had guided that our effort would be to ensure ROA is always above 1.65 levels and we are confident to maintain the same going forward also. Our gross slippages during the quarter continue to be under control at Rs. 174 crores, which is 0.22%. On an annualized basis, if you see it comes to around 0.89% of the loan book. With our continued close monitoring of accounts, we are confident that we will continue to keep the ratio below 1% as guided in our earlier calls.

Our efforts on recovery of technically written-off accounts are continuing to yield results as we have recovered a sum of Rs. 101 crore during the quarter. Due to lower slippages, recoveries, upgrades and write off our gross NPA has come down to 1.32% and we expect that we will continue to maintain it below the 2% levels. For the quarter under review, we have provided Rs. 100 crores towards NPA migrations and Rs. 33 crores towards standard assets and restructured prudential provisions aggregating Rs. 133 crores which is 0.56% of our advances on an annualized basis. We estimate that the credit cost for the current year would be in the range of 75 basis points as guided earlier. Our net NPA has come down to 0.38% and we would continue to maintain net NPA at less than 1% of our loan book. Our standard restructured loan book is further reduced to 0.85 of our loan book and we hold a provision of 40% of the standard restructured book. Our establishment costs were Rs. 333 crores during the first quarter, which is within our guided range of Rs. 325 to Rs. 350 crore. Operating expenses for Rs. 333 crore sequentially gone up by 4%. Our cost to income ratio is at 47.20 and we will continue our efforts to peg it to and always to maintain within 50%.

Our CRAR Basel III continues to be healthy and is at 16.47 providing us comfortable headroom for growth. Our liquidity coverage ratio continues to be well above the regulatory requirement of 100%. Bank has added two branches during the current quarter. The setting up of the lite branches is under progress and the first set of such branches are expected to function from the beginning of the second-half of the year.

To end, keep moving ahead because action creates momentum, which in turn creates unanticipated opportunities, Nick Vujicic. Our endeavor is to keep up the momentum created, and we have started the year as planned. We are mindful of the challenges particularly on the

liability side and are taking every step to increase the low-cost funds, which would also help us in improving the margins.

I am grateful to all our investors, analysts and stakeholders for the confidence and continued support which we will reciprocate to our better performance in the days to come .

Now, I will be glad to respond to your question s.

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Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra : Sir, few questions , first is sir, on yield on advances, right,

so we had increased MCLR at the beginning of the quarter. And I think we had also revised repo rate link by 5 basis points , in this quarter , corporate book has actually degrown , still the yield on advances rise is only 2 basis points and I think in your opening remarks you mentioned that it could rise by another 5 basis point. So, just wanted to check, ideally the yield on advances should have risen a little bit more. So, I was hoping if you can provide some clarity there?

B. Ramesh Babu : Jai, in fact, if you need to look at it, there are few more aspects here . MCLR , what all is there , our total book is not on the MCLR , so around 40% book is covered under the MCLR , so that way out of that at the time of repricing only , you can pass on this unlike other things and all. So, second thing , so there is some sort of a pricing pressure from other competitors also. So, wherever actually you need to retain a customer because for a long time they are there, if you need to look at the other value , so those cases you may have to give some sort of a concession. The aggregation of all these together and above all, as you have also seen the corporate actually , so few of the accounts where we have this we have degrown also. So, that is why if you look at it overall that 5 basis points you may not be able to find straightaway in the yield, but over a period of time progressively it will start coming , though not now immediately in this quarter.

Jai Mundhra : And secondly, sir there is a sharp growth in the jewel loans and retail segment, right. We have been looking to increase growth in gold loan in retail category, but this 24% Q-o-Q growth , is there any specific reason , have we introduced a new product or new geography or what is giving such kind of a growth especially in this quarter ?

Ramshankar R.: There are two things we need to see, Jai. So, 24% number looks good, but you look at the base, base amount it is not on a Rs. 5,000-Rs. 6,000 crore base or Rs. 10,000 crores base, it is not there because the base is low the percentage looks high , first thing and second thing, yes, we consciously made some sort of efforts in this . Many of the customers with whom we were dealing actually , so on a win back we had a campaign wherein our branches started calling them and stating that this is what we can do, and we start to streamline our delivery numbers what all is there. So, with these things, we are able to see some sort of a traction this quarter under the jewel loans . So, some sort of a conscious effort has been made to win back the existing customers whom currently they are not dealing with us , two years, three years back they were dealing with us. So, this has to some extent supported us and in getting the growth. Product wise , more or less same product going on because of the existing product is quite appealing. I will tell you Jai, in fact, the jewel loan rather than the product and pricing, the major thing is the delivery . If someone comes , how fast you will be able to deliver and the second thing is how fast you are going to release the ornament of , both are important , so that we have focused on that, or anyhow pricing is quite competitive compared to the market what all is there. So, that all factors together it supports us in this quarter.

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Jai Mundhra : And last two data keeping questions, sir. One is if you can quantify the treasury gains in the total fee, I think you had already quantified at TW O recovery at Rs. 101 crore, but what would be the treasury gains in the other income in this quarter and if you have the number of outstanding staff count ?

B. Ramesh Babu : No, it is not that, CFO is mentioning it is Rs. 11 crores . Investment in trading profit is Rs. 11 crores this quarter and last quarter it was Rs. 10 crores, March quarter was

as Rs. 10 and this Rs.

11.

Ramshankar R.: The employees number is 9403 , Jai.

B. Ramesh Babu : But Jai, in fact, it is another point we need to keep in mind, Jai in fact, we used to be Rs. 7700, something like that, but of late whom we have taken , more or less majority are at the bottom in the sense that they are the running sales team who will be on the feet on street, those sort of thing , so that way overall they will be adding value into the sales and growth over a period of

time. So, the higher level taking the people is very few in this lot.

Jai Mundhra : And for all these people that we have added in the last 18 months, they are not on IB A model, right, they are on CTC basis, is that right?

B. Ramesh Babu : Absolutely.

Jai Mundhra : And then, sir, on the total 9400 people, how many would be, let us say, ballpark IBA and CTC?

B. Ramesh Babu : Around 33% would be CTC and the rest of the 67 will be IBA.

Moderator : Thank you. The next question is from the line of Prabal Gandhi from Ambit Capital. Please go ahead.

Prabal Gandhi : Sir, my first question was on the MSME segment. We are seeing the growth of 22% here and it seems that this is largely driven by the increase in ticket sizes. So, how sustainable is this growth?

And have you tweaked any strategy to focus more on the higher end or larger ticket size customers within the MSME segment?

B. Ramesh Babu : Yes, there are few aspects, Prabal, if you see agreed continuously, we have been tracking the average ticket size and based on our past confidence, higher ticket, the relaxations what we have given at the lower ticket, we tried to pass on slightly to a higher level also. We have seen the checks and balances what we have got up to 50 lakhs and the delinquency level is low, and these relaxations, if we give it to 75 lakhs, how it works, so that way we have experimented and we gave few of the relaxations that is working to some extent and second thing, so the teams in the branches and others also they have started working well. And third thing there was some demand. Due to that, the availments also have gone up. So, these three factors have helped us. So, regarding the trend going to continue, I may not say that this 20 %-21%, but our efforts will

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continue, so which may more or less yield. Our focus majority, first of all, if you look at it over a period of the last three years, the commercial segment composition in the total advances has been going continuously up. The simple reason is that is a granular portfolio, secured and better yielding for us out of all the verticals. That is the reason all branches, every resource is working on that. So, we will try to maximize what best we can use get under that MSME segment.

Prabal Gandhi : And will you shift from these 60 lakhs to 75 lakhs? It is the same customer who you are giving higher loans or it is the new customer which is coming?

B. Ramesh Babu : New also, earlier also up to 50 lakhs new customers we were doing and those things actually when we look at and back test, what is the stress we are getting out of that, what is the rating all these things, so over a period of two to three years when we saw, so it is absolutely bearable. That sort of a risk is bearable. Having seen that we thought we can take some more risk with this sort of a relaxation, we have gone ahead in the last six months, but once you do it, it is just like an engine straight away it will not start. Slowly, it started working on this and all. So, over a period of time, we will start seeing an average ticket size going up, but there are three combinations here, one is average ticket size, second thing is the disbursements also have gone up fresh acquisition and third thing availments also have happened. It is a combination of all three has resulted in this growth.

Prabal Gandhi : And sir, we are also seeing current deposits grow on a sequential basis in a seasonally weak quarter. So, is there some correlation of maybe the MSME growth picking up for us and we are also able to tap float for the customers?

B. Ramesh Babu : No, I cannot say that directly that there is an effective linkage is there between these two, so these two are independent levers as it is. So, that way tomorrow MSME growth may be there, current account may not be there because the reason is many of them they may not place their money in current account. So, they are all absolutely conservative. They are conscious about the pricing. Instead of leaving the money in the current account they may keep it in their cash rate account itself so that they will save their interest. So, that is why I cannot say that. Current account growth can be linked to MSME growth.

Prabal Gandhi : And sir, secondly, in the BNPL portfolio, we have been growing that portfolio, but this quarter it seems that we have paused the growth in that portfolio. So, any stress that you are seeing on the ground or maybe it is just the cautious call that you have taken?

B. Ramesh Babu : No Prabal, it is not the question of a cautious call or staying. You see, we used to have around Rs. 350-Rs. 370 crores last March and last year Dussehra as well as Diwali, so there was a huge demand from the Amazon customers. So, that is how it has gone up to Rs. 1,100 crores something like that. So, though we are trying to maintain in those levels, we will see it again, the opportunity come this Dussehra -Diwali, what best can be taken and all, depending upon our risk appetite, we will try to do. Currently, if we look at it, the stress is under control. As we always told earlier also, we have FL DG of 5%. So, that way currently what all default our NPA

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is coming up, so all is covered under FL DG. So, we are not out of pocket as far as the stress is concerned. So, currently, everything is going on well, let us see when the next festival season comes, whether how much we can take, we will see rather than overnight opening the floodgates.

Prabal Gandhi : And so far as per your monitoring systems, there seems to be no challenges on this ?

B. Ramesh Babu : Yes, absolutely. As on date, everything is going on well. And as per the tolerance limits, what we have for the stress, it is moving in those limits only.

Prabal Gandhi : Sir and last question was on the management bandwidth, so I understand that you have got a lot of people from outside at the senior level, but how are you grooming people at the second and the third layer because eventually this also comes with a key man risk. We have seen that happen in recent months that when a senior person leaves there is a risk that the systems below it cannot work that efficiently. So, how are you grooming the second and the third layer in order to make it more institutional ?

B. Ramesh Babu : Yes, we are quite mindful of the fact about the succession planning. So, that is why every senior position, what all is there, we have a buffer for one or two people always under that. That is the reason anytime because someone leaving is not new to the Bank. It has been happening, but we never had that shock anytime in the last few years because the way we have groomed the people, many of them, they can handle multiple tasks, they have expertise in different areas and we have a concept of rotating them in different verticals also. In addition to that, as you mentioned, institutionalizing this one, so we started providing them these institutional training also for developing their management capabilities and so they are effectively working as #2 #3, so that way we have an effective planning mechanism which someone can take over seamlessly if there is a gap.

Moderator : Thank you.

The next question is from the line of Rakesh Kumar from B &K Securities. Please go ahead.

Rakesh Kumar : Sir, just heard a few questions on this quarterly numbers. Firstly, sir this, like you mentioned this, the gain on the treasury book that have got routed into that reserve that is Rs. 23 crores plus Rs. 58 crores that we have reversed, the depreciation of the previous quarter, correct ?

J Natarajan No, this is actually, this is effective from 1st April and the transition day on 1st April when we work out based on 31st March, this is the impact, whatever you mentioned the number that has got the results.

Rakesh Kumar : And sir, the other number which is like from the investment reserve that we have also reversed this quarter. So, if you can explain that number, sir, Rs. 203 crore, which has like transferred from the investment reserve. So, if you can elaborate on that, sir pertaining to the notes to accounts too, sir?

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Ramshankar R.: You have got 2 reserves. One is for investment fluctuation reserve, other is investment reserve. See 2% of the HFT and AFS portfolio we have to transfer it and keep it under the investment fluctuations reserve. If that is adequately covered the guidelines had informed that the investment reserve can be moved to the general reserve. That is what we have done.

J Natarajan For your question, the net impact out of the entire guidelines, whatever that Rs. 82.25 crores we have mentioned is the net impact.

Rakesh Kumar : Correct. So, this is Rs. 23 crores plus Rs. 58 crores reversal of the depreciation ?

B. Ramesh Babu : Correct, 81. That is what that comes to 81.

Ramshankar R.: The total impact is neutral because within the reserve surplus it has moved from investment reserve to general reserve.

Rakesh Kumar : So, the investment reserve plus investment fluctuation reserve both the reserves of Rs. 203 crores transferred to the general reserve?

Ramshankar R.: Investment and fluctuation reserve stands as it is. There is no change in that. It remains as it is. Only the investment reserve has moved from investment reserve to general reserve within the reserves and surplus.

Rakesh Kumar : Which was Rs. 60 crores as on March '23, March '24 numbers we don't have ?

Ramshankar R.: Additional fair value valuation because of that new direction that we have taken to general reserve, Rs. 60 crores.

Rakesh Kumar : And sir, I also saw this, recovery rate that we have seen in the Slide #21 that has improved significantly like if we compare with FY24 number or maybe Q4 FY 24 number, so the recovery what we are doing, the provision right back we are doing on the recovery number that has improved. So, would that stay in that kind of a number ending to the figures there in the slide 21, sir?

B. Ramesh Babu : Now Rakesh, in fact, the recovery, particularly from the written-off and all, so we cannot give any guidance on that because it is dependent on many factors, external factors like courts, NCLT, auctions, these sort of things and all, but our efforts we started having for more than 2 years and

different stages, different cases which are stuck , slowly they are getting released. So, our effort is to push each one of them as much as possible to get that.

Rakesh Kumar : Sir, I was referring to, sir, this recovery number , recovery and upgrade number of Rs. 90 crores and again that provision write back of Rs. 56 crores, so provision write back of Rs. 56 crores on Rs. 90 crores of recovery , I think that number comparable number for previous quarter and
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previous full year, there is a quite lot of improvement that we have seen , so I was looking at that way, sir?

Ramshankar R.: Yes, what your observation is correct.

Rakesh Kumar

: And s ir, thirdly, investment yield numbers are like I saw there is an improvement. So, it is now 6.53 for this quarter and for the March quarter it was 6.41 , but if I look at the previous quarter investment yield which we had given it was slightly lower, so is there any reason for the March quarter investment yield number, sir?

Ramshankar R.: No, actually what happened last March, w hat happened , the YTD numbers were given. See here the entire figures are given quarter wise, end of June quarter, September quarter December quarter, March '24 quarter. Last, in March, this thing it was given till June figure what is the YTD till June.

B. Ramesh Babu : March one was for the whole 12 months, whereas up to December was only for the quarter. So, that is the reason because 12 months when it is equated , so it has come to 6.4 1.

Ramshankar R.: Now , we have given quarter wise to have comparable for all quarter s.

Rakesh Kumar : And s ir, gross security receipts numbers are in March '24 , it was Rs. 378 crore and now the gross security receipt number is Rs. 263 crore s, so I couldn't understand, sir, if you can explain, sir?

B. Ramesh Babu : SRs, some recoveries have come already . Last month also , last quarter also if you see Rs. 54 cores recovery you are able to see that. March quarter, we have a recovery. So, the recoveries are coming in SR s.

Rakesh Kumar : Actually, I was thinking for the closing figure of March and the opening figure of this June, so we don't have that, movement of that n umber?

Ramshankar R.: We will provide you with it Rakesh.

B. Ramesh Babu : movement , what all is there , let us provide.

Moderator : Thank you. The next question is from the line of Anand Dama from Emkay Global. Please go ahead.

Anand Dama : Sir, my first question is regarding this AFS reserve accretion that we have done during the current quarter. So, what is the positive impact on the CET 1 during the quarter?

B. Ramesh Babu : Rs. 5 crores is the AF S reserve for this quarter , whatever the gains under the AF S portfolio, which was transferred to AF S reserves is Rs. 5 crores.

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Anand Dama : So, the CET1 would have improved by Rs. 5 crores that is the way to look at it? And in that case, how much is in the basic point?

B. Ramesh Babu : Rs. 5 c rores on a Rs. 10,000 crore s, so very miniscule.

Anand Dama : Secondly, w hen we look at our basically our loan book because two observations, one is that we are growing a LAP book at a pretty faster pace, and secondly that we have also cut down our NBFC exposure on quarter -on-quarter basis , so any comment over there?

B. Ramesh Babu : No, if you look at it the LTV more or less what we maintain for a home loan as well as LAP, a ll of them , you are 100% secured . Then the options are different options are there . When you want to maximize the yield the cost s of deposits have gone up and you want to maintain the margins. So, we do not want to aggressively go into the unsecured because tomorrow something happens the first fall will be from the unsecured, so that is the reason when we didn't go for that. At least out of these products if you look at it, one is Jewel loan is giving more or less 9.5 %-10%, something like that they are giving , so fully back , that is why we are focused on that and LAP is also giving that 9.5 plus yield where you have full security is there for you and we are not relying only on the security here. We are looking at the cash flows. We are doing the assessment on those lines where we are thoroughly satisfied, their uninte rrupted cash flows are there , you can service this loan , then only we are goi ng for the LAP. That is why when we have seen few years the stress levels under the LAP is quite manageable. That is why we thought saying that when the opportunity is there demand is there. Why can

't we go for that . Now coming to the NB FC,

agreed. So, we have reduced the portfolio, there is a lot of scope available there and all because RBI guidelines have come up for the additional capital what we need to maintain. And second

thing, suppose there is some sort of an issue , automatically NBFCs will have an issue indirectly. We will have the problem. That is the reason we are relatively in a calibrated manner , we have grown on NBFC and here the NBFC exposures we have brought it down , so that is why a manageable level keeping our risk appetite in mind, we are growing in the NBFC and not taking too many exposures on NBFC's.

Anand Dama : Sir, one more thing is that recently Telangana government has announced the farm loan waiver ? So, basically one is that how much is our portfolio in Telangana? And do you see any impact of this farm loan waiver at least intermittently?

B. Ramesh Babu : If you look at it Anandji suppose , our total agriculture even today , 90% is jewel loan, so just jewel loan is 90% . So, out of these Rs. 18,000 crore, hardly less than Rs. 1,800 crore in the whole country would be other than jewel loan. So, that is spread out many locations and many of these cases also absolutely either it is backed by security or cash flows, these sort of things our clean loan off cash on credit card these sort of things are very low , but one more thing we need to keep in mind even if we have a small portfolio in these states , but it is a waiver when we talk about it, government will pay the money and all they are not asking Bank to bear the brunt so that way the question of we will get the money, but there can be a small shift in the culture of the people

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for the repayment , but we don't feel that sort of an issue agriculture , so much of deep penetrated other than jewel loan portfolio is there in Telangana for us.

Anand Dama : So, jewel basically is going to be collateral for you, right , but if the customer says he is going to get the waiver, he is not going to pay , right?

B. Ramesh Babu : Correct, we will be releasing the gold only after we receive our dues only. Before that, I cannot release it. So, why, anyhow, LTV is 75% is there , 25% even if fluctuations also I have the money with me , so that way there worry should not be much because I have a backing here.

Anand Dama : So, what will happen is that if the customer, the farmer doesn't pay, it will slip into NPA, y our provisioning will be lower because you have security backing ?

B. Ramesh Babu : Correct, provisioning in the sense that the entire amount will be able to recover because if LTV is 125% then the problem is there. So, if I go and sell for sale instead of supposing Rs. 100, I may be getting Rs. 90 and my outstanding is Rs. 75, I will be able to recover my money and balance I can return it to the customer.

Moderator : Thank you. The next question is from the line of Mahesh from Kotak Securities. Please go ahead.

Mahesh : Sir, just couple of questions , one, I know it is a small number, but just still trying to analyze the slippages that you are seeing on the retail side , is there any product segment which is contributing to it because it has been driving on a consistent basis in recent quarters ?

B. Ramesh Babu : Rising in the sense that you see Mahesh, in fact our total portfolio and retail unsecured is marginal and the rest of the product, what all is there, everything is backed by either a home loan or LAP, these two are having comfortable security. Sometimes what happens if you get these sort of slippages in the first and second quarter, it is relatively better for the Bank . The reason is you will have enough time for enforcing the SARFAESI , getting it and all . By the time third, fourth quarter comes, many of them, the SARFAESI process is going on itself. They will com

e

for a compromise and settle it . So, that way we encourage suppose a more or less here and there, sort of an account is there , instead of prolonging this pain, it is better we provide the bullet and initiate the resolution process so that your ability to recover the money will be much faster. So, that way everything is backed by security. It is the question of time we will be able to get , so nothing much to worry about that there are no unsecured portion much in this.

Mahesh : Second question on the OPEX line which is currently running at about a little over 25%, the non - staff, right , any direction as to how you are looking at that number?

B. Ramesh Babu : Non-staff, as earlier also I was guiding , so normal course what all is there it will be growing just linked to the inflation , but so we have planned for around 100 branches this year , out of that 80 branches can be lite and 20 branches can be normal branches which we want to open . And these things are there , naturally the overhead cost for these sort of things can go up, but we need not

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do all those things. But if we do not do it, raising the liability, getting the leads and many areas which is the suburb developing and all, we will be missing the opportunities there. That is the reason what we thought maybe it is better we bear the cost for one or two years, then by the time one and half years, two years, they get breakeven , but next 10 years we will be able to reap the benefit of it. Other than that, routinely, if you look at it, normal OPEX is going on, no spikes will be there, if at all something is there, we may spend on IT upgradation these sort of things. And second thing is the branch openings and the cost for that . These are the issues only which

can come up , other than that nothing much .

Mahesh : Sir, last question. In the last two quarters, you reported this 25% of floating provision . In this quarter you reported under other prudential provisions? Is there any difference in these?

B. Ramesh Babu : And it is a good question Mahesh, in fact, I will tell you when we were commencing this particular provisioning we clearly mentioned that because at that time unknown unknown s guidelines were there actually where we will be landing as far as ECL is concerned. So, we thought that let us provide something . When we have provided Rs. 100 crore s and the calculations when we made more or less the provision, what we have made would be sufficient enough to take care of any shock if the RB I releases the g uidelines . So, that is the reason there is no point in bloating that particular provision Rs. 200 cores, Rs. 300 cores and all it doesn't make any sense for us. So, that is the reason we have shifted this side so that it can be helpful on the stress side, if at all tomorrow comes up, those things will be even tually can be taken care of. That is i t.

Moderator : Thank you. The next question is from the line of Nagesh Mota marri, an Individual Investor. Please go ahead.

Nagesh Motammari : Just wanted to know why the tax provision has gone up, sir, when the profit in the last quarter was 573, you have made 117 provision for tax and this year it is out of 612 , 154 has been provided ? That is one question and secondly, any expectations of bonus issue or something because there is a gap of about 6 years which you have done and very small bonus has been given in 2018, 1:10?

B. Ramesh Babu : Regarding the bonus issue, I will tell you , currently there is no thinking as yet in the board also. At the appropriate time, whenever the board feels we can think of, but currently we try to strengthen the capital this because the growth what all is coming , so it requires some sort of a capital. That is why we do not want to make any shift here and t here currently, but as you mentioned that at the appropri

iate time when the board feels , definitely we will keep that particular point in mind, sir.

Nagesh Motammari : The reserves have gone up more than Rs. 10,000 crores for the first time?

B. Ramesh Babu : I know, sir, but you see the other side, the retail growth is also going at 21%. So, there in the meanwhile, RB I has also increased the risk weights for the capital for many of the products and
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sectors. So, these things we need to take care of that. So, we will gauge all these things and all what I call has to be taken by the board , appropriate call, we will take it, sir, we will keep that point in mind.

Ramshankar R.: From the provision for taxation, I just want to clarify, see the last year in the beginning of first up to third quarter, we are not so clear on the amount of what will be the IBA settlement bipartite, how much amount though we are being pro viding it, whether , only when it is paid before March or when it is finalized then only you can claim it as a deduction . There were lot of unknown unknowns were there , so our provisions were around 25% plus for taxation and when the March quarter when you have the full year view whatever what we had made for the three quarters and the balance year for the taxation for the full year was taken care in the , fourth quarter . Even if you see the first quarter also , the effective tax rate comes to around 25.2% which is as per the tax rates for corporates.

Moderator : Thank you. Ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to Mr. B . Ramesh Babu - MD and CEO for closing comments.

B. Ramesh Babu : Thank you all for your interest and for the participation and serious questions you people ask, which are quite insightful. Thank you very much. As we assured earlier, we will strive to further show better results than what we have been doing and with the support and guidance of all of you. Thank you very much once again . Good day to all of you.

Moderator : Thank you. On behalf of Karur Vysya Bank that concludes this conference . Thank you all for joining us , you may now disconnect your line s.

Call: Oct 2024

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IRC:F48: 242:468:2024 October 22 , 2024

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Exchange Plaza, 5th Floor,
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Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Unaudited Financial Results of the Bank for the quarter and half -year ended September 30, 2024

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on October 17 , 2024 at 5:30 P.M. (IST), in connection with the Unaudited Financial Results of the Bank for the quarter and half -year ended September 30, 2024.

The same is also made available on the website of the Bank and can be accessed on the following link:

<https://www.kvb.co.in/docs/investor-con-call-transcript-fy25-2.pdf>

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager

Encl: As above

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"Karur Vysya Bank Limited
Q2 FY'25 Earnings Conference Call"
October 17, 2024

MANAGEMENT : MR. B. RAMESH BABU – MANAGING DIRECTOR AND

CHIEF EXECUTIVE OFFICER – KARUR VYSYA BANK
LIMITED
MR. NATARAJAN – EXECUTIVE DIRECTOR – KARUR
VYSYA BANK LIMITED
MR. RAMSHANKAR – CHIEF FINANCIAL OFFICER –
KARUR VYSYA BANK LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY'25 Earnings Conference Call of the Karur Vysya Bank. We have with us today the management team of KVB, represented by Mr. Ramesh Babu, MD and CEO; Mr. Natarajan, Executive Director; and Mr. Ramshankar, CFO.

As a reminder, all participant lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, to take us through the highlights of the quarter gone by, after which we will open the floor for questions. Over to you, sir.

B. Ramesh Babu: Thank you. Thank you very much. Good evening to all of you. On behalf of Karur Vysya Bank, I welcome you all for our bank's earnings call for the quarter 2 of the financial year 2025. So we trust that you, your colleagues and family members are keeping well and are in good health. So we have uploaded our financial results along with the presentation on our website and I hope you have had a chance to go through it in detail and ahead of this call. I am pleased to mention that the bank continued to have another strong quarter of performance built on our guidance of three metrics; growth, profitability and asset quality. Bank's performance indicators are in line with our guidance, and the bank is seeing consistent and steady growth. It is encouraging to note that our team was able to sustain the growth momentum witnessed in the first quarter. And I am confident that the same will continue in the ensuing quarters.

The bank's total business stands at INR1,76,138 crores as on 30th September 2024. We were able to sustain the growth impetus created during the first quarter as our total business registered a growth of 4%. The advances stand at INR80,299 crores and deposits grew to INR95,839 crores with a growth of 3% and 4%, respectively. We have

been guiding in our

earlier calls about our focus on inclusive growth from all verticals with respect to advances.

I am pleased to share that the same is being sustained in the RAM verticals with 5% quarter-on-quarter loan growth. Commercial advances clocked 6% growth. Retail advance and agriculture advances grew by 4% each. Retail growth was predominantly driven by mortgages, which grew 10% during the quarter. Housing loans grew by 3% and jewel loans by 7%. Our BNPL book remained flat during the quarter. Agri Jewel loan book grew by 4%, corporate book has degrown by 4% during the quarter, mainly due to lower availments in certain seasonal sectors, lower disbursements, repayments. And of course, as I always say, wherever the pricing was not conducive enough, so on our own we have exited those accounts.

Deposit growth remains one of the key focus areas for the bank, and you are aware that the bank had initiated various strategies for deposit growth, including establishment of sales acquisition channel for both term deposits and CASA growth.

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Our total deposit growth was at 4% during the quarter. Depletion and balances in existing CASA book has resulted in growth of only 1% sequentially. Term deposits grew by 5% during the quarter.

We had indicated in the last call that NIM would be above 4% levels till first half of the

current year. I'm happy to say that the NIM for the quarter is at 4.11%, and for the half year, it is 4.12%.

Our continued journey on shedding away low -yielding corporate advances on one side and focused more on better yielding granular secured advances in RAM and prudent treasury operations have helped us to retain above 4.1% level s of NIM during the quarter in spite of 8 basis points increase in the cost of deposits.

The cost of deposits increased by 8 basis points and the yield on advances reduced by 2 basis points sequentially. Yield on investments increased by 2 basis points during the quarter. Based on our historical pattern of renewal of deposits and fresh deposits acquisition, we expect moderated rise in the cost of deposits by 10 basis points in the next quarter.

Yield on advances is expected to be flat, and yield on investments would be in the similar range for the second quarter -- of the second quarter. Considering all these factors and without taking into any policy rate changes, we expect that NIM will be around 4% in the next quarter.

We have achieved ROA of 1.72% in this quarter. We had guided that our effort would be to ensure ROA is above 1.65% levels and we are confident to maintain the same going forward also.

Our gross slippages during the quarter continued to be under control at INR181 crores, which is 0.23% . On an annualized basis , it comes to 0.9% of our loan book. With our continued close monitoring of accounts we are confident that we'll continue to keep the ratio below 1% as guided in our earlier call. Our efforts on recovery of technically written -off books is continuing to yield results as we have recovered a sum of INR180 crores during the quarter.

Due to lower slippages, recoveries, upgrades and write -offs, our gross NPA has come down to 1.1%. We expect that we will continue to maintain at below 2% levels as advised earlier. For the quarter under review, we have provided INR155 crores towards NPA migrations and INR10 crores towards standard assets and reduction in restructured assets provision by INR9 crores on account of reduction in balances aggregating INR156 crores, which is 0.78% of our advances on an annualized basis.

Apart from this, we have provided a prudential provision of INR25 crores as was done in the previous quarter. Our net NPA has come down to 0.28%, and we will continue to maintain net NPA at less than 1% of our loan book. Our standard restructured loan book is further reduced to 0.79%

of our loan book, and we hold a provision of 39.85% of the standard restructured book.

The BNPL book balance is at INR1,030 crores as at the end of September, that is which comes to 1.28% of our portfolio, and it is performing well. Our overall unsecured portfolio ,including

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the BNPL , of the total advances comes to 2.04%. Our MFI portfolio, which we started just two years back and we have started taking baby steps in that now stands at INR298 crores as at the end of 30th September '24. We are taking a very cautious approach in this segment.

We have tied up with three business correspondents who have sort of an expertise in this as partners, and we'll be mindful in growing selectively in states where position is relatively better.

Our establishment costs were INR357 crores during the quarter, increased by 7% sequentially, mainly on account of AS -15 actuarial provisions, which were up by INR13 crores compared to previous quarter due to steep fall in the discount rates. Operating expenses were at INR358 crores , sequentially gone up by 7%. Our cost -to-income ratio is at 46.72%, and we will continue our efforts to peg it within 50%.

Our CRAR, as per Basel III continues to be healthy and is at 16.27%, providing us comfortable headroom for growth. Our liquidity coverage ratio continues to be well above the regulatory requirement of 100%.

So bank added one branch during the quarter. And the setting up of the lite branches is under progress and the first set of such branches are expected to function on the third quarter of this current year.

Our endeavour is to continue the current momentum in the next half of the year. As planned, we are mindful of the challenges, particularly on the liability side and are taking every step to increase the low -cost funds, which would also help us to improve the margins.

I am grateful to all our investors, analysts and stakeholders for the confidence and the continued support, which we will reciprocate to our better performance in the days to come. Now I'll be glad to respond to your questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question

is from the line of Jay Mundhra from ICICI Securities.

Jay Mundhra : Congratulations on a great set of numbers. Sir, first question is -- on your loan growth, right , so we can see that we have been following a profitable loan growth approach, and we have been growing 20% Y-o-Y in retail, agri, MSME, but the total growth is slightly constrained by degrowing corporate book. And from the last time when we had spoken, from this quarter, there has been a little bit moderation in the systemic loan growth. What would be your assessment considering the approach that you have taken? I mean, would you still be comfortable going 15% above , or how should one look at it?

B. Ramesh Babu: Yes. Thank you, Ja y. In fact, Jay, if you look at it, the question is the composition of the deposit growth. So still we find that the CASA book as we planned, it is not growing at the same pace what we planned. Until such time that composition comes up, so it will not make much sense to raise the deposit at 7.6 . Suppose senior citizen is there at 8.1 also we are taking and many of the corporates, if they expect between 9, 9.25 and all. So 8.1 CRR, SLR, credit

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costs, standard asset provision, operating costs, with all these things, it doesn't make much sense rather than just bloating the book and top line growth. So that's why we would just want to wait and watch.

Another point I want to say. So it is interest rate sensitive that is elastic as far as corporate is concerned. So for the rest of them, why we are fuelling the growth in rest of the RAM segment

is if you reduce the momentum there, getting back the momentum from the whole team will become absolutely difficult because it's granular, and many people on the ground, they are working on that.

As far as corporate is concerned, it is interest rate sensitive. So the moment you are able to offer a better rate, so you'll be able to come back. I'll just give you an example. Our NBFC portfolio, which used to be 8.5% of the total book at a point of time. Now it has come down to around 5% plus. 3% we have brought it down many of the NBFCs there. Suppose tomorrow if you have a reasonable amount of money, the 3% of this INR80,000 crores itself comes to INR2,000 crores odd. So that way, growing should not be a problem, but we want to be conservative seeing the position. The moment we get a hold on the CASA book, it is growing there and all, so we will release the pipe towards CAG also.

Jay Mundhra : Right. No, understood, sir. So yes, so that is understood. Secondly, sir, is there any -- there were media reports? Or is there any -- I mean do you have not given the gold loan book, total gold loan book, at least I could not figure out from the presentation.

B. Ramesh Babu: No, we have given slide on the gold loan. So 26%, you can see that. We have mentioned saying that last 4 years how the gold loan is moving, what is its LTV, what's the SMA, everything is provided.

Ramshankar: Slide 15.

B. Ramesh Babu: Slide 15, if you look at it, so we have given jewel loan portfolio, SMA, LTV; everything is there in that.

Jay Mundhra : Right. So okay, sir, is there any difference in the agri gold loan and retail gold loan growth? Are you seeing anything -- any trend change there?

B. Ramesh Babu: Yes, we are able to see that particularly in the first quarter of this year, so we could see some sort of non -agri jewel loans also coming up, but it got slightly reduced in the second quarter. So that first quarter was a good quarter for the jewel loan growth.

So second thing also, we will grow in the jewel loan growth. We are not disputing that. But our intention is to focus on the core. Otherwise, once we totally move into non -agri growth there, so a set of complacency may come up and all, we may not go in the core products. So that's why we wanted to grow in a balanced way.

And 1 more thing also 2 to 3 years back also this question was coming up, how much is the amount of the gold loan out of your portal portfolio. So 3 years back itself, we have given an

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indication that we would like to go up to around 30% because too much of concentration in a particular product also is risky.

So now if you look at 25.1% has become 26% now. So because not only agri, as I said also, we are coming up and on. So we will grow in that. Demand wise, there is no problem because RBI has also issued a circular on 30th. So many of the compliances, we are in line with that and all. So we will grow in a measured way as far as the gold loan is concerned.

Jay Mundhra : Sure, sir. And sir, I have some data keeping question. If you can highlight the LCR percentage for the quarter and the number of staff.

B. Ramesh Babu: LCR is 128% now. Number of staff now comes to more or less because we have taken many other feet on street and particularly for the liabilities, those who need to be at the lowest level, likewise in the counter also from the deepening the book also at the lowest level. So we have taken a set of people. It comes to around 9,500 something like that, we can think of now.

Jay Mundhra : So sir, the LCR 128% on a reported basis, right, there is a dip from last quarter. Whatever, let's say, change in the methodology. I mean, was there any change in methodology? And if that was the case, is this now sorted that -- or do you think there could be any other changes in that also?

Ramshankar: Ramshankar her

e. It has been fully sorted out. It started in last week of June, the revised methodology. And this full quarter, it has been fully on the revised methodology only -- so -- and it varies, for example, the 128% on an average basis for 90 days. 2 days back, say latest, it's 135%. So it varies here and there in a sort depending on the composition of the HQLA, High Quality liquid assets, it keeps on varying, but it is sorted out fully.

Jay Mundhra : And so this should not be any constraint for your growth or margin, right? I mean the LCR optically falling from much higher level to 128%. Could this have any bearing on the growth or margins?

B. Ramesh Babu: That's what is a tight rope walk for everyone. In fact, we need to keep in mind all these factors and all. Accordingly, we need to go for our planning. That's it. Yes. In fact, every vertical, including treasury, we are aware of this, how we need to plan, our ALCO is also on the job.

Accordingly, we are planning.

Natarajan: But this 128% is a sufficient cushion, headroom is available for growth.

Moderator: The next question is from the line of Roshan Chutke from ICICI Prudential Mutual Fund.

Roshan Chutke : I just wanted to understand how is the situation among the textile sector, MSME customers, if you can give any view around that?

B. Ramesh Babu: No, agreed. So compared to 2 to 3 years back, because up to COVID, post -COVID it was doing well , spinning and all. Later, there was a lull because external factors were creating a problem. Now if you look at it slowly, the position is improving. I will not say that the limits have been used sufficiently and all these things and all. So the fact that in a few other

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locations, they are placing the boards that we require people, these sort of a thing. And second thing is absolutely everything is happening in -house without much outsourcing and they are able to manage. So their order quality and their margins are relatively much better compared to others.

So spinning mills also those with 25,000 spindles and above. So they are there and all their order book is good, they are able to manage well. And below 25,000 , they need to still -- wait for some more time. Otherwise, overall, if you look at it, the position which was there prevailing one year back has improved now, and they are hopeful saying that in the next six months, the position will further improve.

So next thing is as far as our accounts are concerned, you would have seen that the worst times also, we have passed through more or less. So that way, the portfolio, what we have is reasonably well that we are managing and all. We are continuously engaging with these customers to show what is happening on the ground.

Moderator: The next question is from the line of Anand Dama from Emkay Global.

Anand Dama : Congratulations for great share of results. Sir, the first question that I have is related to higher other income. So what basically is the treasury gain during the current quarter, recovery from written -off? If you can provide some...

Ramshankar: Recovery from written -offs is INR181 crores.

Anand Dama : And how much was treasury?

Ramshankar: Trading profit we are around INR 23 crores.

Anand Dama : So bulk of, basically, it's like recovery of written -off account seems to be on a higher side for us during the current quarter. Do you see this sustaining over the next two quarters?

B. Ramesh Babu: No. Anand, I'll respond on that. You see , these are the efforts we have been making for the last 2 to 3 years. You must be knowing that. So there are external factors are also involved. So

unlike a normal loan growth and deposit growth, we cannot give a dotted line response saying that this is what we'll be able to do, but our efforts are on. But on the whole, if you look at it year-on-year, numbers are coming up.

It can be one quarter it may be more and in second quarter, it may be low. But overall, as far as the year is concerned, the ROA, what we have given a guidance, we will be able to do that. That's the first point. Second point, we didn't take much advantage of the traditional recovery of write-off what all has come up because if you look at it, the provisioning what we made around 65 basis points for the written-on assets, if you look at it, it has come to that. And in the normal course, if you look at it, with our 0.28% of net NPA, that much of provisioning is not required. For a standard asset, if you had to make on an average INR10 crores to INR15 crores per year we had to make and migration is something we had to make.

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And these things are required. Restructured already 40% is already provided. There also doesn't require.

So what we thought when good times are there when these sort of something comes up and all, instead of taking that as a profit, we need to strengthen the balance sheet and all, we have additionally provided there. So that way additional what all we have got has gone into the provision, we didn't take much benefit of that additional write-off what we have got.

Anand Dama : That's good to hear. Sir, secondly, is there -- your LAP book is actually growing at a much more faster pace. All these LAPs that you are basically mobilizing right now is the branch-sourced LAP or you have a tie-up over there ? That's why we are talking this kind of a thing.

B. Ramesh Babu: No, no, no tie-up. It's all to set the feet on street our people, what are they are recovering that's coming from that. No question of any outsourcing, these things are not there at all, everything internal team, what they are doing, that is the growth.

Anand Dama : Okay. And sir, what is the typical ticket size of this LAP? And what is the yield that you're generating for this LAP book?

B. Ramesh Babu: Yield is more or less 9.5% plus we will be getting it. Ticket size, I need to look at it. Our CFO will come back to you on that.

Anand Dama : Okay. And bulk of this LAP is being generated in Southern India or like...

B. Ramesh Babu: Majority in Southern India. Majority Southern India, correct.

Anand Dama : And may be again in Tamil Nadu, right?

B. Ramesh Babu: No, not only Tamil Nadu ; Tamil Nadu, Andhra, Telangana Karnataka, all these are there. But 1 more thing just to provide some more comfort to you, Anand, just I'll share some point with you. At the point of time, 3, 4 years back, what we were doing, actually, we were relying on the legal someone expert outside of whoever legal is there and panel lawyers and the valuers we were doing.

So we thought we need a third eye to look at; tomorrow at the time of disposal of these properties, we should not be caught unaware. So we have internally created a technical evaluation team wherein a set of people who have experienced this are there and at divisional office levels also, we have put engineers there and all. So what all we had to give for a valuation, so no one has a discretion.

On a round robin basis that goes to the valuer on a surprise basis. And what all it comes, it will be vetted at the local level, at the divisional office level, it will go to centralized cell also. They will also look at these things and all comparable valuation elsewhere, what all is there, legally other things are okay. After seeing all these things, they will clear it. In the process, we are declining many cases.

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So we took a call saying that maybe it may not result in a business growth, but it will be safer now, so that tomorrow if issue comes up and all, you're unable to dispose off, the purpose will not be served. So that way, we

have strengthen this mechanism and the different checks and balance at different levels to see that the enforcement really will work.

Moderator: The next question is from the line of Abhijeet Vara from Axis Mutual Fund.

Abhijeet Vara : I have a couple of questions. First one is, in the other opex , the growth rate has been around 25% for the last couple of quarters. I know you have given guidance on cost to income, but specifically on this, do you think this growth rate will continue or it will moderate?

B. Ramesh Babu: No. In fact, there are 2 aspects I need to share with you. There are a few costs consciously we thought of spending; one is we are strengthening our IT and information security. So because we cannot take any sort of a risk on this, so more than what is required and all we started actually spending on that. The next thing is we have got for an ambitious plan for having 100 branches this year. And last year, also 35 branches we have opened, before last year we have opened.

And the additional cost of these branches, what all we have opened started kicking in. And the next branches, what all are there already the furniture and fixture, this all coming up. And so we have front -loaded the staff numbers also for these branches. Once everything is ready, if you do not have the staff, you will be paying the rent, you will be stuck.

So those staff are also more or less ready that way. With all these things, some sort of costing is coming, the value of all these things we will be seeing over a period of time. But a few more things also we look at it because when we are spending on these things naturally over a period of time, depreciation also will kick in and DICGC, all these things are there.

So with these things, if you look at it, overall, we are having a control on this, but we will still try to see which are the cases where expenses we can control further and one more just point, no, it is not a justification, just for the sake of clarity, I want to say. You see last year, more or less around INR1,000 crores odd this corporate, we have brought it down the portfolio. And this year also, if you look at it INR600 crores, INR700 crores has been brought down.

So INR1,700 crores to INR1,800 crores, it has brought down. In addition to that, had we grown in the corporate in these 2 years, another INR1,300 crores would have come. INR1,300 crores plus INR1,700 crores, INR3,000 crores of assets because of the constraint on the CASA, we are forced to release. And as and when the position improves, we'll be able to getting them back.

So that way, it also had a bearing in the denominator that base effect is 7 to 8 basis points that also is creating an issue. Overall, if you look at it, so we are focusing more on the rest of the ratios currently than our cost of assets. So if you are able to earn on the spending what we are doing, okay, we may have to spend it. But your point is well taken. We will keep that particular point in mind, how to have a decent cost to assets.

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Abhijeet Vara : Right, sir. The second question is what is the total prudential provisions or floating provisions the bank holds? And do you include it in PCR calculation? Just for clarification.

B. Ramesh Babu: Yes. Last quarter, INR25 crores; this quarter, INR25 crores, that way it comes to INR50 crores. This is the floating provision -- with the prudential provision we have. Floating provision is concerned; last year, what we have provided, 4 quarters, INR25 crores each we have provided. So that INR100 crores is still there that way. And whether for the PCR purpose it is there or not.

Ramshankar: Floating provisions, we don't take. Prudential provisions, we take.

B. Ramesh Babu: Prudential will be taken and all; floating, we are not taking it.

Abhijeet Vara : Right. Okay. And sir, in the

retail portfolio, just 1 observation is this quarter, the bulk of the write -offs have come in from retail portion itself, retail portfolio. So just wanted to understand what are these loans?

B. Ramesh Babu: I'll just tell you. No, no, it is deceptive. If you look at it, now what happens -- you look at our total gross NPA itself has come down to INR886 crores now. Earlier when we were having money, what we did, so first of all, we focused on the corporate. Majority of the corporate book, what all is there, we have provided. That is the reason if you look at it, so the corporate is concerned, not to be provided -- yet to be provided is a very small amount.

So next -- that way, they are going step -by-step with other verticals. So that way, this quarter, we would have taken few other accounts in the retail. That doesn't mean saying that these are absolutely unrecoverable accounts, that is not an issue at all.

Abhijeet Vara : Okay. Sure. Last thing, do you provide loan growth guidance and deposit growth?

B. Ramesh Babu: Deposit growth earlier, we have given, we stand too with that. So 14%, we have told them, saying that annual growth. But if you look at it, the complexion of that. So overall, it comes to 14%. But if you look at it, the RAM portfolio is concerned, more or less 18% to 20% we are growing because that is an engine which has to propel the bank to take forward.

So if that engine stop, it will become difficult for us. So with these constraints on the liabilities also, we are more or less managing to take the RAM book at that 18% to 20%. So that continues. If at all, we have a big leeway and we are able to get a reasonable cost of deposits then we will revise our guidance and all, we'll be able to take it forward. Particularly, as I said earlier, growing in CIG, it requires relatively lower effort compared to the RAM book. So that is the reason. Once lower cost funds are there, we will reopen the tap of corporate.

Moderator: The next question is from the line of Prabal Gandhi from Ambit Capital.

Prabal Gandhi : Sir, my first question was we have been shifting away from the corporate segment. But out loan yields are not reflecting, they have been stagnant for the last 3, 4 quarters. Why is that?

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B. Ramesh Babu: First point is we need to revise the statement. We are not getting away from corporate, okay? It is lying low at this stage. As and when the composition of the liabilities comes back to a normal state, we may go back to the corporate. That is not an issue that way.

And yields, if you look at it that way, you see more or less the RBI rates, what all are they?

They are more or less stagnant now. So under these circumstances, when there is no change, MCLR is concerned. The cost of deposit, what all is there will be automatically passed on. So EBLR is concerned because when there is no change in the repo rate, you will not be able to increase that one. So that's the reason there's a limitation beyond which you will not be able to do that.

So overall, if you look at it, if you are able to maintain these yields at this level, so I can give a part of the credit to the reduction in the corporate also. Otherwise, the yields would have come down. One more thing I'll tell you, when we are in the competitive market, getting every loan at 10% odd may not be possible. There can be a mix of loans in a different -- suppose agriculture is there, it can be 9.5% only. There can be agriculture, 9.25%. But I cannot take it in isolation, the agriculture will be reckoned for the purpose of my PSL.

If I go and buy the PSL, I had to pay 2% there. So indirectly, I'm getting 2% plus 9.5%, 11.5% I'm getting. So the composition of advances, whichever bucket it grows depends on that. So despite the growth in lower yielding wherever something is there, because corporate to some

extent we have lost, overall, we are able to maintain our yields.

Prabal Gandhi : And sir, what are we doing to improve our fee income? That also has sort of remained there despite we increasing the share of retail loans.

B. Ramesh Babu: I agree. The fee income, there are different components are there. Now earlier, corporate, we were doing the fund based. Now the focus what we are trying to do is, so we have reoriented our focus and our corporate banking unit started focusing on the non -fund based business. So overnight, if you have to shift the gear, it will take some time. Otherwise, they are on the job, first thing.

And second thing, third -party income. Third -party income, which used to be pretty low in the bank. But overnight, again, you cannot press the accelerator button, it will lead to mis selling and all. So lot of effort we are making on that. So that way, we are trying to double that income every year, this is coming up.

And the third thing is there is a hit to some extent because corporate, if you grow aggressively, the processing charge is what you get will be pretty good because you are not going in the corporate at the rate at which you have to do it and all. So you have to make it up in the retail segment. That's why if you look at it overall compared to last quarter also, the overall fee is up despite not getting relatively the same amount of processing charges from the corporate, which we were getting.

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Our focus is on that. So various assets what all are there, it can be guarantees, third -party income, LCs, all these things, we are working on that. We will see what best can be done and all, how to maximize.

Prabal Gandhi : Sir, how do we improve? How are you measuring productivity at a branch level and employee level that seems to be -- will you explain that there are some costs involved which are -- which will come down, but how do you measure the productivity at the employee and the branch

level?

B. Ramesh Babu: Yes. We have a very structured way of metrics is there, which covers for each branch around 40 parameters. So we will give the target. And based on that target, the score will be given there and all the consolidated position of this for 100 mark score it counts and each branch will be rated based on the century's score of 100 marks.

Now many of the elements is what they get, they are linked to the score what they get. If someone is not getting the minimum score what they are supposed to get, they will not get and this will be reckoned for the purpose of their rating also, year -ending what the rating they get it, half yearly they get it and all, and it will be useful for the promotions. It will be useful for the transfer. All these will be reckoned.

So likewise, at the year -end, if you are paying ex -gratia to those who are over performing , these metrics, what we have created, it works well. And absolutely, it has been stabilized. This is dynamic. And every quarter, we'll be changing depending upon the priorities, what bank has and all those corporate priorities, which Board feels , our management feels that will be dove -tailed into this century score model and all. And everyone in the branch, they'll be knowing on these lines. So that way, we have a robust laid -down and tested mechanism for testing the productivity of the branches.

Moderator: The next question is from the line of Rakesh Kumar from B&K Securities.

Rakesh Kumar : Quite a good set of numbers this quarter. So just had a couple of questions, sir. So firstly, sir, on this risk profile of the corporate banking book in the Slide 17. So there is some fluctuation between A and above and BB book from September '23 to June '24 and coming to September '24. Is this just the volatility for the time being? Or how we read this BB composition coming to 28% approximate

ly, if you can help us sir please?

B. Ramesh Babu: Yes, absolutely. You see there are different circulars which have come from Reserve Bank of India, particularly on the NBFC for different risk weights on the capital risk weights. So we look at all those things and what we thought, actually, if you're confining to AAA accounts, the yields, what you get and the capital risk, what you are maintaining, all these things are not commensurate.

And second thing, the deposit cost at which it is growing, the margins are getting squeezed day by day , and many of these corporates with AAA. So they ask for the finest rate. Otherwise, they can raise the money elsewhere the market. So that's why we took a call. Earlier, when

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actually we had a big problem with the corporate, so then the retail engine was not efficiently functioning at that time, so we parked the majority of our resources in the AAA, AA and all. So later what we thought when we have strengthened our internal monitoring mechanism, relationship managers, service managers, credit analysts; with all these things, we thought now we are better placed to -- because we have further granularized the portfolio also, the same slide what you are quoting. Other side, if you look at it, the percentage of the above 150 also has come down to 220, 2.2 and the average ticket size is at INR36 crores, we thought we'll be able to take relatively better -- that is a risk where the pricing and yields are better. So that is the reason we were selectively moved to a few of the BB rated accounts also overall, so that the margins can be maintained. But with all these things also, we can look at it, our risk-weighted asset movement, more or less, it is at 56, 54 that we're only running and all, it didn't cross the roof and all it has not gone to 65 and 70. So within the overall profile, what all is there, we are managing total risk -- and this is only a tactical shift what we have made to see that the yields improve and where we can manage the risk, those sort of exposures we have taken.

Rakesh Kumar : Very nice , sir. Just one question, if I could ask. This question is pertaining to the gold loan, jewel loan book. So in the non -agri segment, we approximately have INR900 crores in MSME if I'm correct. Can you kindly correct me if I'm wrong, sir. So how that book is growing sir, the non-agri jewel loan in the MSME segment?

B. Ramesh Babu: Let me be frank with you . That is not a focus area for us , because it is someone comes, an MSME customer who wants a gold loan. So we cannot deny that one. Our focus still continues on the core MSME only. If you open the tap on that count, so this growth in the MSME only will come over a period of time will forget the core original MSME. So that is the reason we may be focusing on the retail side and on the agriculture side, MSME is just like if someone requirement is there, he has come, being the banker, you need to honor, you've honored it.

Ramshankar: Just one correction I just wanted to make, one question was asked on the PCR, whether prudential provisions and floating provisions are considered? I had mentioned that prudential

we have taken. I just want to correct myself. We don't take either of them. We don't take prudential provisions . We do not take floating provisions also. Only NPA provisions are considered for PCR. I just want to clarify.

Moderator: Ladies and gentlemen, we will take that as the last question. I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, for closing comments.

B. Ramesh Babu: So thank you all for the compliments what you have given, the encouraging words, it is the guidance and encouraging words that have brought us to this stage . We will try to meet your expectations. And once again, thanks for taking out time and showing interest in the investor call and

asking these questions. So from the entire team KVB, seasons greetings to all of you and Happy Diwali in advance. Thank you all.

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Moderator: On behalf of Karur Vysya Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2025

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IRC:F48: 17:29:2025 January 24, 2025

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C -1, 'G' Block,
Bandra - Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Unaudited Financial Results of the Bank for the quarter and nine months ended December 31, 2024

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on January 20, 2025 at 5:30 P.M. (IST), in connection with the Unaudited Financial Results of the Bank for the quarter and nine months ended December 31, 2024.

The same is also made available on the website of the Bank and can be accessed on the following link:

<https://www.kvb.co.in/docs/investor-con-call-transcript-fy25-3.pdf>

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager

Encl: As above

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MANAGEMENT : MR. B RAMESH BABU – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – KARUR VYSYA BANK
LIMITED
MR. NATARAJAN JAGANNATHAN – EXECUTIVE
DIRECTOR – KARUR VYSYA BANK LIMITED
MR. M.S. CHANDRASEKARAN – CHIEF OPERATING
OFFICER – KARUR VYSYA BANK LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '25 Earnings Conference Call of the Karur Vysya Bank. We have with us today the management team of KVB represented by Mr. B Ramesh Babu, MD and CEO; Mr. Natarajan Jagannathan, Executive Director; Mr. M.S. Chandrasekaran, Chief Operating Officer and Mr. Ramshankar R, CFO.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. B. Ramesh Babu MD and CEO to take us through the highlights of the quarter gone by, after which we will open the floor for questions. Over to you, sir.

B. Ramesh Babu: Thank you. Thank you very much. So good evening to all of you. On behalf of Karur Vysya Bank, I welcome you all for our bank's earnings call for the quarter 3 of the financial year 2025. We trust that you, your colleagues and your family members are keeping well and are in good health. We have uploaded our financial results along with the presentation on our website and I hope you have had a chance to go through it in detail ahead of this call.

I am pleased to mention that bank continued to have another strong quarter of performance built on our guidance of three metrics: growth; profitability and asset quality. Bank's performance indicators are in line with our guidance and the bank is seeing a steady and consistent growth.

It is encouraging to note that our team was able to sustain the growth momentum witnessed in the previous quarters. And I'm confident that the same will continue in the last quarter of this financial year too. The bank's total business stands at INR181,993 crores as on 31st December 2024. We were able to sustain the growth impetus created during the

previous quarters as our

total business registered a growth of 3%.

The advances stand at INR82,838 crores and deposits grew to INR99,155 crores with a growth of 3% each respectively. Our loan book has grown by 14% year-on-year and 3% during the quarter. Under the RAM segment, we have shown a growth of 20% year-on-year and 4% during the quarter. We continue to focus on inclusive growth and our guidance of 14% growth during the year will hold good.

Retail banking has grown by 20% year-on-year mainly on mortgages and jewel loans. During the beginning of the current financial year, we have made certain structural changes by merging the branch channel and open market channel which we were calling it as a NEO. In the first phase, we have implemented this initiative in 244 branches, wherein these branches were able to use open market channel also for sourcing retail business.

This will be expanded further so that all potential branches can use their customer data and support open market channel for sourcing business. Bank continues to focus on commercial banking business including MSME, considering satisfactory performance of the portfolio and

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higher yield and collateral coverage. To ensure consistent growth and best practices under this segment, bank has engaged one of the leading consultancy firms to support the bank.

After a diagnostic study for a period of 3 months, the consultancy firm started supporting the bank in implementation phase in the month of January 2025. Loan book under agricultural banking is also consistently growing. And during the quarter, it has grown by 5% and majority of the growth is from jewel loan. We have fully complied with recent regulatory directives and advisories of RBI and our rural and semi-urban branches continue to focus on this segment. Corporate loan book has degrown by 2% during the quarter, mainly due to our cautious approach in expanding our loan book with lower yields and particularly exposure to certain specific sectors. Further, our focus is more on fund-based exposure of less than INR100 crores and non-fund-based business.

Deposit growth continues to remain one of our key focus areas for the bank and you are aware that the bank had initiated various strategies for deposit growth including establishment of sales acquisition channel for both term deposits and CASA growth. Our total deposit growth was 3% during the quarter. Term deposits grew by 5% during the quarter. We saw uptick in retail deposits during the third quarter as compared to previous quarters.

However, challenges in CASA balances continue to remain as we saw a reduction in the CASA book by 0.23% sequentially. Our efforts of branch sales and service team would focus more on deepening the relationships. Initiatives like reconnect with the customers have been launched in all the branches to arrest the depletion in the ETB book. We had indicated that in the previous call that NIM would be above 4% levels in the third quarter of the current year. I'm happy to say that we were able to maintain NIM for the third quarter at 4.03% and for the 9 months at 4.09%. Our continued journey on shedding away low-yielding corporate advances on one side and focused more on better yielding granular secured advances in RAM sector and prudent treasury operations have helped us to retain above 4% levels during the quarter in spite of 10 basis points increase in the cost of deposits.

The cost of deposits increased by 10 basis points and the yield on advance improved by 8 basis points sequentially. Yield on investment increased by 6 basis points during the quarter. Based on our historical pattern of renewal of deposits and fresh deposit acquisition, we expect moderated raise in cost of deposits by 10 basis points in the next quarter. Yield on advances may vary

depending upon the policy rate changes which is expected next month.

Yield on investments would be in a similar range for the fourth quarter also. Considering all these factors and taking into any policy rate changes, we expect that NIM will be around 3.85% in the next quarter. Operating profit remained flat at INR815 crores for the quarter as compared to previous quarter. You are aware that for keeping an eye on the long-term growth, bank has started various initiatives like recruiting new sales acquisition vertical, branch sales and service executive team for deepening the branches, expanding the branch network, etcetera.

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There's a lag in witnessing the business growth in proportion to the expenses spent on such initiatives, resulting in lower incremental operating profit. We are confident that the benefits would accrue to us going forward. We have achieved ROA of 1.74% in this quarter. We have guided that our effort would be to ensure ROA is above 1.65% levels and we are confident to maintain the same going forward also.

Our gross slippages during the quarter continued to be under control at INR 139 crores which is 0.17%. If we annualize that, it comes to 0.68% of our loan book. With our continued close monitoring of the accounts, we are confident that we will continue to keep the ratio below 1% as guided in our earlier calls. Our efforts on recovery of technically written-off book is continuing to yield results as we have recovered a sum of INR175 crores during the quarter. Due to lower slippages, recoveries, upgrades and write-off, our gross NPA has come down to below 1%, that is 0.83% and we expect that we will continue to maintain at below 2% levels. So for the quarter under review, we have provided INR 101 crores towards NPA migrations and INR 9 crores towards the standard assets and INR 17 crores towards the restructured assets. Apart from this, we have provided prudential provision of INR25 crores as done in the previous two quarters. Our net NPA has come down to 0.2% and we would continue to maintain net NPA at less than 1% of our loan book.

We hold a provision of 44.81% of the standard restructured book. The BNPL book balance of INR977 crores as at the end of 31st December, which comes to 1.18% of our portfolio and it is performing well. Our overall unsecured portfolio to total advances is currently at 2.42%. Our MFI portfolio stands at INR350 crores as at 31st December 2024. We are taking various cautious approach -- very cautious approach in this segment.

We have tied up with 4 business correspondents as partners and we'll be mindful in growing selectively in the states where position is relatively better. Our establishment costs were at INR374 crores during the quarter increased by 5% sequentially, mainly on account of AS -15 actuarial provisions which were up by INR5 crores compared to previous quarter due to fall in discount rates.

Operating expenses were marginally down by INR2 crores at INR357 crores compared to last quarter. Our cost-to-income ratio is at 47.27% and we will continue our efforts to peg it down and to -- it will be within 50%. Our CRAR Basel III continues to be healthy and is at 15.91%, providing us comfortable headroom for growth.

Our liquidity coverage ratio continues to be well above the regulatory requirement of 100%.

Bank added 25 branches, including 19 light branches during the current quarter and we have a plan to open around 22 branches in the fourth quarter. Our endeavor is to continue the current momentum to the next quarter.

We are mindful of the challenges, particularly on the liability side and are taking every step to increase the low-cost funds and which would also help us in improving our margins. The guidance we had given at the beginning of the year on the following parameters

would hold

good for the fourth quarter also. Credit growth 14% plus, deposit growth 14% plus, NIM

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3.85% for the last quarter, credit cost 0.75%, GNPA less than 2% and net NPA of less than 1%, ROA above 1.65%, cost-to-income below 50%.

I am grateful to all our investors, analysts and stakeholders for their confidence and continued support which we will reciprocate through our better performance in the days to come. Now I'll be glad to respond to your questions. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from Rikin Shah from IIFL Securities. Please go ahead.

Rikin Shah: Good evening sir. Thank you for the opportunity. I have four questions. The first one is on the statement that you made in your opening remarks that the regulator has been tightening certain regulations pertaining to the gold loans. If you could elaborate on what exactly is the requirement and what are the business process changes we have done to comply with those regulations? So that's the first one?

The second question is on restructured provision that we took in this quarter. I noticed that the restructured loan book has gone down. Any particular account against which we have provided? The third one is on your internal estimates what would be the ECL provisioning impact, if at all, there is any? And lastly, in terms of -- sorry, I forgot the fourth one. I'll probably come back in the queue once I recall that?

B. Ramesh Babu: Thank you, Rikin. Thanks for the question. And first of all, regarding the jewel loan is concerned, all of you would have seen the September ending Reserve Bank of India guidelines. So what I mean to say is those guidelines what all Reserve Bank has given, so we are in compliance of that. So that's what. So that's why there are many measures what we need to see for the documentary evidence, the purpose for which we have given there and all - mentioned, we are in compliance of that. That is the intent of my statement.

Coming to the restructured provisions, absolutely we are not finding any additional stress out of that. So what we thought is prudentially it is better. We create when good times are there always I mentioned that, we should not forget about the bad times. That is the reason as a prudential measure, we have provided for that and nothing beyond that, there is no need for any sort of a panicky situation as far as restructured book is concerned, you would have observed that.

Total book itself is around 0.7%. So that too majority of those accounts particularly under the retail segment and the commercial segment, they are all backed by security. Even if tomorrow eventuality comes, they may become NPA also. In a gap of 1 year or so, 1 year, 1.5 years, we'll be able to recover the money, but the situation will not be there that way. Coming to ECL, our CFO, will respond. Yes.

Ramshankar R : Yes. Good evening, Rikin. See, the draft guidelines have been there for almost last 7 months to 8 months. And we have been filing the pro forma statements half yearly for the last 3 years to 4 years. And still the final guidance yet to be given, but what we are -- sufficiently what we

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have done in the last 2 years sufficiently covered, sufficient cushions have been made available there, floating provision of almost INR100 crores we have done.

And similarly, this year also, almost -- each quarter we have been providing INR 25 crores. So INR75 crores we have provided. So based on this, we think we are sufficiently taken care of for any eventuality if at all if ECL comes into play, sufficiently covered.

Rikin Shah: Got it. And just to clarify on my first question, while tracki

ng the end use for the gold loan is

what we have already implemented in our process. Is there a requirement from the regulator to convert the gold loan EMIs like gold loan repayment by customers in the EMI format rather than the bullet format? And are the gold loans allowed to be rolled over before issuing the new loans? Those are the two extended questions on the first one?

And I just recalled a couple of other clarifications which I wanted was the MFI partnership with a few BCs. You did mention that we are entering in the states where the stress signs are not there. If you could elaborate which are the states where we are venturing into MFI? And lastly, if time permits it would be great if you could also talk about what's the provisioning policy that we follow in terms of when we write off and what are the provisioning when the loan becomes empty in different segments? Those are all my questions?

B. Ramesh Babu: Okay. Coming to the jewel loans, what we've said is suppose when we are taking a documentary evidence that he is a farmer and he is having the farming activity, that itself will ensure saying that we are lending to a farmer and not for any other purpose for speculative purpose. So coming to the rollover of these things, even before RBI started giving these guidelines itself, we have stopped long back the rollover. So someone will have to close the loan and all, they had to take it.

So that way what I say, so we are in compliance with the RBI guidelines. That's what my point is. Coming to MFI is concerned for partners, but you would have seen that more or less 2 years back we have started the MFI business, but with all these things also because we are very cautious in going through that one, the total portfolio as on date is around INR350 crores. So what -- my point is if we are trying to grow, Telangana is one of the state where the recoveries are good.

And to some extent that way, Karnataka is also recoveries are pretty good that way. And a few districts of Tamil Nadu also the point is good. So for the time being, we are not extending much our operations in the Kerala. Otherwise, North and a little Bihar, Chandigarh, Punjab rest we do not have any other operations. Hardly, it is majorly in the Telangana, Karnataka and Tamil Nadu.

So now coming to the provisioning policies, internal policy what we have. But my point is, if you look at it the overall net NPA is around INR160 crores and we have sufficiently provided for that. So I think there is no point in having a separate discussion on the policy because the Board has -- we have discussed with them and all. So what we need to do accordingly, we are doing it.

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Rikin Shah: Fair enough. Thank you very much for answering all the questions. Very helpful.

Moderator: Thank you. The next question comes from Jai Mundra from ICICI Securities. Please go ahead.

Jai Mundra: Hi, good evening sir and congratulations on a very good set of numbers. Sir, first question I have is on TWO recovery. So we have done INR 175 crores in this quarter and last quarter and the quarter before that was also we did a very healthy numbers. If I calculate, I mean, the total TWO book outstanding is roughly INR4,700 crores, INR 4,800 crores. We have been writing off also.

So that pool may get bigger and bigger, but the recovery percentage even if I look at this quarter INR 175 crores on maybe, let's say, roughly INR5,000 -odd crores book is also non-annualized 3%, 4% roughly. So how -- I mean, what is your sense as to from a 12 months perspective, this number can be? Can we do like, let's say, INR400 crores, INR500 crores recovery for the next four quarters or what could be a more reasonable number for that TWO recovery?

B. Ramesh Babu: Thank you, Jai. Thanks for the good question, actually. So what you said makes sense. But, you need to see the color of our write-off book because at a point of time we were having

many big corporate accounts, INR 200 crores, INR250 crores, many of those things are there. When they have become NPA, we are also in queue along with many other lenders in the NCLT.

And how much it comes out and what will be the final realization, so we will not be able to tell. Many of the cases are with the Courts/ Tribunals -- legally they are going on. Suppose the INR4,600 something number what you have mentioned, I agree. So if we exclude all of them where we can lay our hands for the recovery where security is there, those things we need to go. It will come to around INR 1,800 crores to some extent, INR2,000 crores something maximum it may come up and all.

So what we tried to do was we have strengthened our legal team because even whenever you are trying to go for a SARFAESI also, straight away, immediately someone will file a suit in the DRT and it may run for 3 years or 4 years. So that way accounts are getting stuck and we are able to get all these legal hassles completed and all, we can recover the money. So we are strengthening our position for handling the legal issues in the bank, already strengthened. And likewise, the disposal team also for the assets also, we have strengthened that way.

So the importance of getting the money back is made known to everyone. That is the reason you are able to see some traction. So I feel that with the traction what we have created, next four quarters, what you said it makes sense that way, INR400 crores what you are saying. So I think definitely we can think of, it can go ahead. We are also planning that way only.

Every effort what we need to put in because this is one area we need to get back our money. So we need to do. One more thing also, Jai, now that you see when the interest rates for the deposits cannot come down and the yields have plateaued at all when the rates come down, automatically, you may have an impact on the NIM.

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So that is the reason we started working aggressively on this write-off recovery also. To some extent, it can compensate us overall. We can keep afloat as far as the net interest and noninterest is concerned. So that is the reason. So our focus is there. As you said, INR400 crores to INR500 crores we can definitely think off.

Jai Mundra : Thank you, sir. A question on fee growth. So fee and maybe CASA growth, if you can take it together also. What I thought is, of course, there is a challenge on the fee, there is a challenge on CASA growth, but what I remember or what we were trying to do is we had put in a lot of feet on street to boost both the CASA as well as fee growth. And this quarter -- I mean, before this quarter, fee growth was more or less similar or marginally ahead of the loan growth only. And this quarter, it has come down to 4% Y-o-Y. Similarly, while I understand that CASA is a challenge at the system level, but I thought that we had -- because we had put in additional feet on street, we can -- we would have had one slightly better outcomes. So your thoughts on both fee and CASA growth?

B. Ramesh Babu: You are very correct. CASA, if we split the entire issue into two parts, one is acquisition, second one is the retention. So acquisition is concerned the sales team. So they are trying their level best and all, we are able to get some numbers, but the problem is mainly coming in respect of the retention part. So because the existing money what all is there, either it may be going to mutual fund or real estate, these sort of things what is happening.

So the acquisition totally what all have come is not getting reflected in the overall growth. That is the reason what we are doing, we have divided the whole problem into two parts. One is for

the retention, we have got a servicing team where these people they are going to connect, reconnect with the customers for the retention and to get back the money from other banks also wherever that is there and all, so that to protect our existing balance as well as to increase the balance. That is one portion.

Second thing, the acquisition is also working on this. So that way we are getting the money, but the outflow is much more that is overall we are struggling. Coming to the fee, Fee, there are a few components we need to look at it. While the distribution fee, cross-sell fee, these things are going up, you would have seen that consciously we have reduced our corporate advances.

So it has come down by INR 1,000 crores and more than that. With all these things, ideally, had we grown another INR1,500 crores there and the INR1,000 crores degrowth is not there. On those INR2,500 crores, the fee income what we were getting as a processing fee, others and all we would have got it. But why we didn't do was actually there are two reasons because the limited resources what we are acquiring.

So naturally the security as well as the yield in respect of the retail is much better, particularly in the commercial as well as the retail segment. So we are deploying the money there. That's

the first thing. Second thing is the engine and the people operating team who are running on the ground for the retail. If we do not feed them with these resources, if they stop actually functioning, getting back the momentum will become very difficult for us.

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So that is the reason the available fuel, first of all, we are feeding for the commercial as well as the retail and agriculture. So you're able to see 20% growth. There you cannot expect the sort of a fee like corporate, what we get the processing fee, other things and all. So that is another dampener. Once we get some sort of a hold on the deposits and the system actually supports getting these deposits and all, we'll be back on the corporate again and we'll be able to move forward. So this is what actually happening on the fee front.

Jai Mundra : Understood. So okay. And sir, is there any connection of this lower PL, BNPL that has slight -- while it is not a very big proportion anyway, but does that also have a bearing on the fee side also or not that much ?

B. Ramesh Babu: No, that can definitely have a bearing on our NIM because this PL as well as suppose, particularly BNPL is concerned, majority we'll be getting a higher 12% interest with FLDG.

But the issue is when entire market is talking about the personal loans, that too below INR50,000, where the stress can go up and a few banks which are able to see that, we thought saying that otherwise growing there from INR1,000 crores to INR2,000 crores and opening up the gate is very easy. Easiest is that.

And not only that, when we have got 50 lakh BNPL customers of us and if we can select a 5 lakhs of them and if we start giving personal loans to them, that itself will run INR 1,000 crores easily. But what we thought is this is not the right time to take those sort of plunge because the external environment is not that conducive. So that is the reason we are holding. You would have seen that INR 1,300 crores has gone to BNPL.

It has come down to INR 970 crores now. This is a cautious approach we have taken. So otherwise that window is already open for us any time once normalcy restores, we can think of.

Jai Mundra : Right, sir. And sir, last question is in the month of December we had reduced EBLR by 5 basis points. There was no change in the MCLR. And I can see that cost of deposit is still going up. So let us say hypothetically -- and you mentioned that cost of deposit will may inch up by 10 basis points more. Now hypothetically if RBI were to cut interest rate

, your MCLR will still be going up only while EBLR will, of course, revise downwards, but your MCLR should not be impacted.

And the reason if you can mention why did you cut the EBLR by 5 basis points, other banks don't seem to have done anything on that front?

J Natarajan : So Jai, with regard to the MCLR, the templated formula given by RBI is, yes, you are right, majorly on the cost of deposit, but it's not only cost of deposit, cost of borrowing, operating cost, the negative carry CRR, all these things after adjustments only we are arriving the rate. So even though there is -- the deposit cost is continuously going up, so there are the chances that the operating cost or the negative CRR increase, whatever is there that impact always will be there, 5 basis points the impact always will be there.

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B. Ramesh Babu: That's why, Jai, what you said is MCLR, suppose this reduction even if opex comes down also and the cost of deposit is much more than that MCLR will not come down. So whereas EBLR is concerned, it's straight case when RBI cuts, it's straight through process, it may hit us.

Jai Mundra : Right. And sir just a small clarification to the Rikin's question on gold loan circular that circular is clearly in effect now that there is no, let us say -- I mean, it has already been implemented and there is no negative, let's say, implication on either growth or maybe customer acquisition or I mean, asset quality should not be challenged, but this does not impact -- or there is no remaining impact out of this circular ? Is that the way to look at it?

J Natarajan : Jai, I will give some more clarity. See, the at least three or four points of the recent advisory circular doesn't applicable to our bank. For example, engaging the third-party for sourcing business, but we are not doing it. All the business is done only through the branches. And if

you leave alone other important areas what the spirit behind whatever the directives and advisories are particularly on the scale of finance, that should be accepted process and the identification of a farmer, the documentary evidence that it should be required.

And third is the end use. So all these things, the bank has put in place a proper process model before 2 years and we have been implementing it. And the latest one is the rollover of the account. So the earlier the banks have the habit of rolling over the account by collecting only the interest amount. That also RBI says that it's ever greening it's not possible. Not also we stopped, not now even 1 or 2 years back itself.

So whatever are the regulatory direct advisory on the spirit of the guidelines, everything that bank has implemented through validated process.

Ramshankar R : One more point to further clarify, you see the agriculture growth is 5% quarter -on-quarter. Similarly if you see the risk-weighted assets which has come down by 2%, mainly account of higher gold loans which we did during the last quarter. It clearly says that the tempo still is going on.

J Natarajan : And we are not in the subvention model. So we are giving a direct agricultural loan without subvention. We do not have any loan, Jai which is under subvention where we need to claim the subvention. This is not there at all.

Jai Mundra: Okay. Understood. Great, sir. That's all from my side. Thank you and all the very best.

Moderator: Thank you. The next question comes from Suraj Das from Sundaram Mutual Funds. Please go ahead.

Suraj Das: Hi, sir. Thanks for the opportunity. Sir, just a few questions have already been answered. A couple of questions. The mortgage, the LAP piece has been growing well for you for last so many quarters. If you can give some color around this book, I mean, how do you see the growth going ahead and also what could be the average LTV in this

book?

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The second question is on the SME side. The SME customers, the book is again growing well. The customers that you were acquiring, does they open current account with you all so or is this just the asset side customers and don't have any kind of liability or something like that?

B. Ramesh Babu: Sorry, sorry, Suraj, that SME question, can you repeat once again, please?

Suraj Das: Sir, I'm saying that the SME customers that you are acquiring, does also they open current account with you?

B. Ramesh Babu: Okay. Understood. Yes. These are two questions?

Suraj Das: Yes.

B. Ramesh Babu: Yes. Coming to the LAP is concerned, you see majority of them they are going for the lower ticket size. If you look at it, the ticket size is below INR1 crores and to some extent, bigger accounts come up also INR3 crores to INR 4 crores, if it goes there. But the purpose for which they are taking and the cash flows for servicing the loan, this is the main criteria we are looking at it. So security definitely is needed.

But in addition to that, cash flows as well as the serviceability, ability to service, this is the key we are seeing. That's why if you look at it, it may be done by any vertical. Overall, if we look at it the stress is under this portfolio is absolutely dismal and minimal. So the onboarding, what all checks and balance are required that we have thoroughly strengthened. So that's the reason. So we can say that because second thing is, if you see the percentage is going up by 20%, 30% that way and all. So it is not that way we need to see because the base itself is low, the percentage is high. If the base is high, actually, what -- compared to the potential what all is available whatever growth is absolutely doable and all we can do. So that's why it is not a cause of concern LAP as it is for us.

Coming to the SME is concerned. SME is concerned, now actually suppose if someone is availing a term loan and there is no working capital loan, naturally he requires a current account for making his tax payments, all these things and all, but suppose if someone is also having a working capital account, you may ask for a current account. But what will prompt him to keep the money in current account without any return - any payout of rate of interest and other side for the same money paying interest in the cash credit. So they'll ask.

But it is difficult actually impractical for us also to insist that you maintain a current account and keep some balance in that. It is nothing but penalizing him. So wherever they do not have a cash credit account, that is working capital account, definitely, we maintain the current account and all. So we'll use it for operating purposes.

J Natarajan : Okay. See, in the working capital accounts also, generally they operate in the working capital account. But wherever the retail rates, for example, we're giving POS machines, QR code, all

these things, naturally he has to operate through current account only. So in such cases, they will run the current account and then frequently, they transfer to CC account.

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Suraj Das: Sure sir. Got it. Thanks so much. That's all from my side.

Moderator: Thank you. The next question comes from Pritesh Bumb from DAM Capital Advisors. Please go ahead.

Pritesh Bumb: Sir, two questions. So one is on the NIM outlook. You mentioned that in Q4, you could see NIM coming down towards like 3.85%, but can you give some outlook in FY '26? How do you see the NIMs? Should it stabilize there? Can it come above 4% again? Of course, you have given some commentary around the RBI cutting rates and the impact on margins, but any levers we can pull it, pull the NIM up?

B. Ramesh Babu:

See, Pritesh, it is too early to talk about next year because the position has become so dynamic. What is going to happen at this stage, we do not know because what will be the cost of deposits, how the yields move, what RBI cuts, all these things, so many permutations, combinations are there. That's why get assessment of one quarter at the most the visibility we'll have.

But one thing I will tell you, you yourselves you have responded. The rates on the deposits will not come down and the RBI is going to cut down the rates. Even then if it has to be above 4%, the only one way it will be above 4%. Our current composition suppose, let us say, unsecured is at 2.4%. I had to make it 10% or 15%, is it -- why is it? Because taking so much of risk on the book straight away when the rest of the industry is struggling with this unsecured and all at the wrong time for the sake of protecting the NIM.

Do we need to do that or we need to lie low at this stage till such time normalcy comes back and all, then we have our own forces as far as the BNPL, other things also for the unsecured going forward to take it forward. So that's what the time will tell. Maybe after the March results, we'll be able to have a better understanding. At that time, I'll be able to guide you on what are our thoughts on the next year NIM.

Pritesh Bumb: Sure. Just a follow-up on that, sir. Then you guided to maintain your ROA at above 1.65%. If NIM is uncertainty because if you look at the point, your credit cost is already very low, the cost efficiency is there and fees are doing relatively okay. Then what gives you the confidence that your ROA will be maintained at about 1.65%, 1.7%?

B. Ramesh Babu: It is pretty simple. If you look at it, the provisioning there is a stage where we may not be able to make further provision because you see the net NPA, what all is there INR160 crores. If really if you are serious, you can provide in one quarter itself and get out of that. So currently, INR25 crores prudentially we have provided more or less last year four quarters and this year three quarters we have provided, in future, it may not be required also. If the Board takes a call, those things may not be required that way.

So likewise, many of the prudential provisions what we have been making. So stage will come where the bank and the Board gets the confidence saying that if any eventuality comes tomorrow, the bank will be able to absorb the shock sufficiently, not a problem at all. At the

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time, we can definitely either prune down or reduce or stop the provision that will straight away flow into ROA only. So that's why 1.65% getting an ROA should not be a major issue.

Pritesh Bumb: Got it, sir. That's very clear. Last question was on corporate book. You have been shedding it down. But what will be that inflection point where you stop shedding it and grow? I mean, is it the spread which is -- because you've mentioned in previous calls also that the spread is not that great to continue corporate, but what will be that inflection point for you to again start growing or not degrow the book from here on?

B. Ramesh Babu: No, absolutely. Inflection point was yesterday. Why I'm telling you this point is we are willing to grow. But the point is we need to have a businessman mindset. When I am getting INR100, this INR 100 where should I deploy? If some sort of an avenue where I'm getting 10% fully collateral, private sector coverage is coming up and all, the capital risk is low and all. So this sort of avenue is available.

Second side, actually, someone says you give me at 9% and absolutely it's a higher amount and all it's NBFC, all these things someone is talking. So then naturally I need to take a call where I need to deploy the money. Suppose on the retail side, where the scope becomes a

absolutely

limited on the pricing front, collateral front, all these things, then if I have huge money which is beyond the requirement, what I can deploy in the retail, definitely, that money will go into corporate.

So it's a tactical timely investment pattern what we have taken, it is not sacrosanct. So once the normalcy in the business comes up and all. Suppose let us say one more thing, if you are going to raise a deposit at 8.1%, If you lend it at 9% after CRR, SLR and all, it will not make much sense for us. So that way 9-9.25% if we had to lend, we need to sufficiently look at it whether I cannot lend elsewhere.

So that in reflection point, very difficult to tell. As and when there is an absolute Chinese wall on the other side on the RAM, then automatically the funds will move this side.

Pritesh Bumb: Got it sir. Thank you so much for answering all the questions. Thank you. All the best.

Moderator: Thank you. The next question comes from Abhijith Vara from Axis Mutual Fund. Please go ahead.

Abhijith Vara : Thank you for taking my question. Sir, first of all, congratulations on a very good set of numbers, especially in challenging macro. So the first question sir is on capital. I just wanted to check even though risk-weighted assets density has gone down, the ratios have not improved. In fact, they have come off. Why is it so?

B. Ramesh Babu: Yes. Thank you, Abhijith. Thanks for the compliments. So we need to understand one thing.

As far as the CRAR concerned, so the earned profit of the last three quarters, we will be clubbing for the purpose of CRAR only in the March. So rest of the period, you may be earning, but it will not be counted. During this process, the profit what all was there up to March of last year, that will be reckoned and net owned funds, what all is there.

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And the assets are going up. Naturally, there can be a depletion, but all these things will be made good in the month of March. If you can -- that is March quarter. If you can look at the past performance also, it will be on those lines.

Abhijith Vara : Sure, sir. Got it. Sir, the second question is on cost-to-income. Sorry if I missed your earlier comments. Can you please help us understand how to look at growth trajectory for the cost as such opex?

B. Ramesh Babu: The cost if you look at it, there are two aspects we need to look at it. One is employee cost and second thing are other expenses. Employee cost what we did, we understood it 2 years back and the liabilities is going to be a big stop for the bank and all that's why. We invested in the last 1 year, something on the sourcing team, acquisition team for the liabilities which comes to around 1,200 to 1,300 people.

Likewise, we also felt saying that the branch level servicing and engaging with the customer is equally important. Otherwise, retention will be very difficult. We have taken low-cost resources of around 1,600, 1,700 at the branch level also. So these people, they are coming and all settling down. They need to understand the bank. They need to start doing their job seriously. So these 3,000 people in the last 2,800 people, I can say that in the last 1, 1.5 years, that has had a bearing on the employee cost.

Coming to other expense also, if you look at it, a lot of branches, 5 years, we didn't open many branches and last 2 years, 2.5 years, we started opening the branches. This year also we plan for around 80 branches something like that. Already a few branches have been opened, rest we'll try to do it in the fourth quarter. So when the branch is open, you are incurring a cost and you will need to run for more or less 2 years to get a breakeven.

But if you do not invest today, tomorrow, there will be absolute darkness and now you will not be able to get the value out of that. So that

is the reason a few of the costs we have front-

loaded and we are taking it. So correspondingly, expecting on the other side in the income side may not go up, particularly earlier also, I mentioned about the corporate when it's not growing, the processing fee, all these things we are not getting.

So this is what is the balancing we are doing, but with all these things also, we have indicated that we would like to maintain our cost-to-income ratio at around below 50%.

Abhijith Vara : Sure, sir, that's very clear. Thank you for answering all my questions and all the best for future quarters.

Moderator: Thank you. Ladies and gentlemen, we would take that as our last question for today. I would now like to hand the conference over to Mr. B. Ramesh Babu, MD and CEO for closing comments.

B. Ramesh Babu: So once again, thank you all for the pains you have taken and the interest what you have shown in coming to the call and asking the questions and all. So as I mentioned in my initial inaugural remarks, so we are on the job. And what best needs to be done, we will try to do and

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we'll try to meet the expectations. Thank you very much and good day to all of you. Thank you.

Moderator: Thank you. On behalf of The Karur Vysya Bank, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2025

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IRC:F48: 80:158:2025 May 23, 2025

The Manager,
National Stock Exchange of India Ltd,
Exchange Plaza, 5th Floor,
Plot No. C -1, 'G' Block,
Bandra - Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Audited Financial Results of the Bank for the quarter and year ended March 31, 2025

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on May 19, 2025 at 5:30 P.M. (IST), in connection with the Audited Financial Results of the Bank for the quarter and year ended March 31, 2025.

The same is also made available on the website of the Bank and can be accessed on the following link:

[https://www.kvb.co.in/docs/investor -con-call-transcript -fy25-4.pdf](https://www.kvb.co.in/docs/investor-con-call-transcript-fy25-4.pdf)

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager

Encl: As above

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"Karur Vysya Bank Limited Q4 FY '25 Earnings
Conference Call"

May 19, 2025

MANAGEMENT : MR. B RAMESH BABU – MANAGING DIRECTOR &
CHIEF EXECUTIVE OFFICER , KARUR VYSYA BANK
LIMITED
MR. NATARAJAN – EXECUTIVE DIRECTOR , KARUR
VYSYA BANK LIMITED
MR. SANKAR BALABHADRAPATRUNI – EXECUTIVE
DIRECTOR , KARUR VYSYA BANK LIMITED
MR. CHANDRASEKARAN – CHIEF OPERATING
OFFICER , KARUR VYSYA BANK LIMITED
MR. RAMSHANKAR – CHIEF FINANCIAL OFFICER ,
KARUR VYSYA BANK LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Q4 FY '25 Earnings Conference Call of the Karur Vysya Bank.

We have with us today the Management Team of KVB represented by Mr. Ramesh Babu - MD and CEO ; Mr. Natarajan - Executive Director ; Mr. Sankar Balabhadra patruni - Executive Director ; Mr. Chandrasekaran - Chief Operating Officer and Mr. Ram shankar – CFO.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. B Ramesh Babu - MD and CEO to take us through the highlights of the quarter gone by, after which we will open the floor for questions. Thank you and over to you , sir.

B Ramesh Babu : Thank you. Thank you very much. Good evening to all of you. On behalf of Karur Vysya Bank, I welcome you all to our Bank 's Earning Call for Quarter 4 of the Financial Year 2025 . We have uploaded our financial results along with the presentation on our website and I hope you have had a chance to go through it in detail ahead of this call . Before going to our performance , I heartily welcome Mr. Sankar Balabhadra patruni to the con -call, who has joined our Bank as Executive Director . Mr. Sankar, a seasoned banker and a former DMD , Deputy Managing Director of State Bank of India, has more than 3-1/2 decades of professional banking experience in various areas in the banking domain.

We are pleased to share that our performance indicators are in line with our guidance that we had spelt out in the beginning of the Financial Year ' 24-25 and it is encouraging to note that our consistent and inclusive performance is well above our guidance on 3 metrics, growth, profitability and asset quality. The Bank 's total business stands at Rs. 1,86,569 crore s as on 31st March 25 as compared to previous year Rs. 1,63,536 crore, registering a growth of 14%. The advances stand at Rs. 84,491 crores and deposits grew to Rs. 1,02,078 crore s with the growth of 14% each .

We had indicated at the beginning of the year with respect to the business mix of our advance s portfolio with more focus on RAM vertical. In tune with that RAM verticals have grown by 20% year-on-year t hat is 3% quarter -on-quarter constituting 86% of the overall advances portfolio . Commercial loan book increased its share to 36% and both retail and agriculture gro wth had a share of 25% each. The commercial business continued to grow at 21% over the previous year, with significant contributions from various channels during the year. In spite of various challenges, the agriculture loan book had a growth of 20% year-on-year, 6% quarter -on-quarter and achieved all the targets and sub targets under priority sector for all the quarters of the year and priority sector advances as a percentage to ANBC as on 31st March 2025.

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We are very cautious with our MFI portfolio, which we ventured in a small way 2 years back. We have commenced covering under CG FMU from 1st April 2025. The total outstanding is currently only 0.37% of the overall portfolio. Though it is small, we are cautious in ramping up and shall wait for one or two quarters more. You are aware that we integrated open market channel with the branch channel as Consumer Banking Department – Asset s asset at the beginning of the year. The synergy has resulted in growth of 18% during the year under review. Mortgage loans grew by 34% over last year. The focus is more on cash flows rather than solely relying on collateral . We have strengthened our monitoring

mechanism using predictive

analytics too, to spot the stress much early. With the experience gained all along, we found it reasonable to ramp up this book as it is fully secure and offers a reasonable risk reward. Retail gold loans also grew by 61% and housing loans by 12% over the previous year.

Our co-lending Amazon BNPL program is performing well, and the book is around Rs. 844 crores. In view of the household elevated leverage, we are cautious in ramping up this book. We have further tightened our onboarding norms to exercise caution at present and shall review periodically to relax and to ramp up the book in due course as all the enablers are in place. Corporate and institutional book had a degrowth of 14% during the year. This resonates with our indication during the quarterly calls of our preference over margins than the topline growth. Repayments and closures amounted to Rs. 1,269 crore during the year. Also, we have decided to wind up the precious metal division, which we started in 2019 as it was not ROA accretive. We had outstanding of Rs. 674 crores at the beginning of the year and reduced to Rs. 41 crores on 31/03/2025. The above factors resulted a degrowth in the corporate portfolio. However, the vertical explored investing in corporate instruments of corporates where lending margins were low as credit substitutes during the year and investments outstanding Rs. 350 crores were made as at the end of March 25. This will continue for the coming year too.

In view of the tightness in raising CASA resulting in elevated cost of deposits lending to corporate still do not appear to be margin accretive. Hence for the first half of 2025-26 also, we may adopt same strategy to focus on RAM till proper mix of deposits comes back. Transaction Banking Group continues to support the Bank for a diversified portfolio and anchors top corporate relationships. We are in the final stages of upgradation of the platform to meet the requirements of the business and we will focus on this area too in the periods to come. Our partnerships for co-lending with NBFCs continue to perform well and the loan book under this segment is above Rs. 472 crores. We have consciously lowered this book due to lower margins. We will ramp up once the mix of deposits returns to normalcy. As our RAM verticals are sustaining their organic growth momentum, we would keep this co-lending as secondary to our organic growth. Our unsecured loan book is 2.22% of the total advances as at the end of 31st March, which is very low among the peers. The low base offers us a tremendous opportunity to offer various personal loans and other products to those curated and tested customers of our BNPL book. Currently, we will be low on this, and we have this opportunity to grow with partners in due course.

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The Bank's liability business constitutes 55% of the total business of the Bank. With respect to liabilities, Financial Year '24-25 threw many challenges like shift in customer preferences with respect to investment needs just in time disbursement of funds by the government departments, this resulted in lot of pressure in sourcing liability business. Most of the banks launched special FD schemes for shorter periods.

In spite of all these challenges, I am very happy to say that our deposit figure crossed the landmark figure of 1 trillion during this year. Deposit growth continued to remain one of the key focus areas for the Bank and you are aware that the Bank had initiated various strategies for deposits including the establishment of an acquisition channel for both term deposit and CASA growth. Our term deposit growth during the year is at 20%. The share of short-term deposits or total deposits increased for all banks in the industry, so we are not an exception. Our CASA grew by

3% over the previous year. Financial Year '24-25 was the first full year of our acquisition channel. The Bank had also launched new variants in CASA products. This resulted in opening more than 19,000 plus accounts with balances more than Rs. 400 crores. Specific segments have been formed under CASA acquisition channel, targeting institutional clients, corporate salary accounts, trade and FOREX customers. While our CASA acquisition numbers are progressing well, there is depletion in the existing with book on account of other opportunities available for the depositor resulting in lower growth under this segment. Our asset verticals also have started mobilizing deposits as we introduced the self-funding concept during the year.

With respect to margins, the Financial Year '24-25 was a year where margins were under pressure throughout the year. Raising cost of funds, expected rate cuts though happened only in the last quarter increasing floating rate asset book all kept the banks in tenterhooks throughout the year. Considering the above factors, we had indicated in the last call that our NIM would be around 3.85 at the exit quarter of the year. I am happy to say that we were able to maintain NIM for the 4th quarter at 4.05% and for the full year at 4.09%. NIM dropped during the year by 11 basis points from 4.2 during the previous year. Our continued rebalancing of the portfolios with more focus on better yielding, granular, secured advances in RAM verticals has helped us to maintain the margin above 4% level.

The cost of deposits increased by 8 basis points sequentially as against 10 basis points guided

by us in the last call. For the full year, the cost of deposits was 5.61% showing an increase of 42 basis points from 5.19% of the previous year. The yield on advances increased by 3 basis points during the quarter in spite of the rate cut. For the full year, the yield on advances was 10.15%, showing an increase of 20 basis points from 9.95% of the previous year. Our continued efforts on rebalancing of the portfolio with focus on high yielding products falling within our risk appetite in RAM verticals has resulted in this growth. The yield on investments has increased by 14 basis points during the quarter. For the full year, the yield on investments was at 6.61%, showing an increase of 38 basis points from 6.23% of the previous year.

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Given our expectation that interest rates will stabilize at current levels or potentially decline slightly, we plan to maintain the current duration, thereby rebalancing interest rate risk and investment returns. We have achieved operating profit of Rs. 835 crores for the quarter and Rs. 3,212 crores for the full year, a growth of 20% over the previous year. Our net profit touched a high of Rs. 513 crores for the quarter and Rs. 1,942 crores for the full year. Our operating expense for the quarter is at Rs. 764 crores, establishment expenses were at Rs. 385 crores increased sequentially by Rs. 12 crores, mainly on account of the increase in pension obligations on account of drop in yields. Other OPEX increased to Rs. 379 crores from Rs. 357 crores sequentially, mainly on account of increasing channel related fee, DSA commissions and tech related expenses.

For the full year under review, OPEX has gone up by 9% over the previous year. For the quarter under review, we have provided a sum of Rs. 136 crores towards NPA migrations, standard assets and prudential provisions and credit costs work out to 0.64% on an annualized basis. As done in the last 3 quarters, we have provided a sum of Rs. 25 crores towards the prudential provisions and cumulative provision available under this is Rs. 100 crores. Our gross slippage during the quarter was at Rs. 179 crores and for the full year it was Rs. 482 crores which is

0.57% of our loan book. SMA 30+ numbers were at Rs. 254 crores as at 31/03/2025, which is 0.3% of our loan book reduced from 0.38% of the previous year, indicating continued maintenance of control over this aspect. With our persistent focus on recovery from technically written-off books, we were able to recover a sum of Rs. 182 crores during the quarter. Total recovery during the year is Rs. 638 crores as against Rs. 341 crores of Financial Year '23-24. Due to lower slippages, recoveries, upgrades, and write-off, our gross NPA has come down to 0.76%. Our net NPA remains at a level of 0.2 and we would continue to maintain the net NPA at less than 1% of our book.

Our standard restructured loan book is further reduced to 0.64% of the loan book and is performing well and we do not foresee any major setbacks or slippages from the book. Above all, many of them are backed by the collateral, and we were holding 41.24% provision for the said book. Our cost-to-income ratio for the quarter is 47.77% for the quarter and 47.25% for the full year, which is within the guided range of below 50%. Our CRAR Basel-III continues to be healthy and is at 18.17% providing us comfortable headroom for growth. There may not be any need to raise money in Financial Year '25-26 for the growth plan.

Our digital transactions grew by 115% in Financial Year '25 and the share of digital transactions stands at 98%. We have rolled out our new version of our mobile DLite App with enhanced features during the year. I am happy to say that the rating for the App is 4.7 in Google Play Store and 4.1 in Apple Store and there are 1.3 million monthly active users for our DLite App and 5 million downloads for our DLite App.

We have achieved a ROA of 1.73 in this quarter. It could be noticed that our ROA has consistently improved from 0.19% in December 20 and grown sequentially in the last 21 quarters, which is the result of our concerted efforts in stimulating the various levers of ROA

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and enabled us to achieve this parameter well ahead of timelines. I am happy to share that we have declared a dividend of 130% as against 120% last year and this is subject to shareholder's approval.

Now, let me move on to what we intend to do in '25-26:

The financial landscape is witnessing a dramatic transformation globally as well as in India, driven by technological innovations, changing consumer preferences and emergence of alternative business models. The Reserve Bank of India is expected to adopt a more accommodative monetary policy stands. This could involve further rate cuts to stimulate domestic demand and support economic growth. The sudden escalation at the border in the last few days has also added more uncertainties for the coming year. Considering the above, the

outlook for the Financial Year '25-26 remains cautiously optimistic, we need to navigate margin pressures too and monitor asset quality closely. We expect our credit growth to be more than 2% over the industry growth.

Our RAM verticals would continue to sustain the momentum with an eye on the margins. Corporate book has come down to 14%, however, this is a temporary phenomenon which would come back once liabilities pressure eases off, the moment liability pressure eases off, we will have the proper mix of liabilities. Given our diversified corporate exposure to NBFCs and other corporate entities, we see merit in exploring great opportunities through investment route, particularly in the corporate rated AA - and below where risk adjusted returns remain attractive. We would continue to look for credit substitutes, opportunities in corporate vertical as we did last year.

The credit growth would align with our growth in liabilities. We are sanguine that the branch and sales acquisition channel would continue with greater rigour for so

urcing the raw material

and our branch channel team would put their efforts to maintain the balance in the ETB books. The CD ratio would be maintained at around 85% levels during the coming year too. We have added 50 branches during the Financial Year '24-25, so 38 branches were Lite branches, and 12 branches are regular branches. With respect to branch expansion for the current year, we have planned opening 19 lite branches and 9 regular branches before the end of the first half of the current year, mostly in the Southern and Western parts of the country. We believe the peak in retail and wholesale deposit rates is now behind us and we are witnessing a decline in deposit rates accompanied by a drop in CD rates. Given the lagged impact of deposit cost movements, we anticipate a decrease in the cost of deposits for the banks starting from the second quarter of this financial year.

With respect to margins, as two more rate cuts are expected, we expect that NIM to be in the range of 3.7 -3.75 for the full year. Our loan book comprises of EBLR book of 52% and MCLR book of 37%. Considering the uncertainties in the market, there may be fluctuations during the quarter. However, our endeavor is to maintain within the above range for the full year.

Considering our branch expansion and additional manpower plan, our cost to income ratio

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would continue to be around 50% in '25-26. Our efforts on recoveries should continue and we expect the momentum gained in the last year will be retained in the Financial Year '26 too.

GNP A is expected to be less than 150 basis points and net NPA to be less than 1% for the full year. Slippages would be expected to be below 1% of our asset book. We have achieved a ROA of 1.72 in Financial Year '25 and 1.73 for the last quarter. Quarter-on-quarter, we have been improving this and our ROA was at above 1.5 throughout all the quarters for the last 2 years. We expect with the reasons adduced above, we will continue to maintain our ROA. It will be in the range of 1.55 -1.65.

Renowned Warren Buffett recently mentioned when asked about protecting progress, he mentioned "the question is how do you keep it and how do you improve it." We want to protect progress by focusing on margins, which is the key to sustainable profitability and long-term success. It is a hallmark for the health and efficiency of Bank's operation. This does not mean saying that we will be totally compromising on the topline. So, as I said earlier, our topline growth under advances can be 2% above the industry. I am grateful to all investors, analysts and stakeholders for the confidence and continued support which we will reciprocate through our better performance in the days to come.

Before I conclude, I would like to thank our E D, Mr. J. Natarajan, who is demitting office on Wednesday for his excellent support and guidance for the growth of the Bank over the years. On behalf of all, we wish him the best in all his future endeavors.

Now, I am glad to respond to your questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. We will take our first question from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Hi, good evening, sir and congratulations on good numbers. Sir, few questions, first on gold loans, sir, you said that you have closed down the precious division, is it something to do with the new RBI circular and do you see any changes or fine tuning in your gold loan business basis the recent draft guideline by RBI?

B Ramesh Babu: Hi Jai, first of all, thanks for the greetings and Jai, in fact these two are different sets of operations. What we are talking about, the RBI jewel loans is what in the branches we dispense that will continue as we are doing both under agricultur

e as well as the retail segment. This was

another segment which we have created precious metal. So giving a bullion loan to the manufacturers of jewellers, so that being because the margins are very few and what we thought

is it is not accru al to the whole ROA and above all on those lines where margins are low also, you need to maintain a CD ratio. On one side, the deposit cost has gone up. It is not making much sense for us overall also. So that is the reason what we thought is there is no point because last 4 -5 years, if you look at it, the overall book we have built is Rs. 650 crores. So that is why we thought that. So let us focus our rest of the things and all . We have come out that way , these two are altogether different.

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Jai Mundhra : Sir, the retail gold loan business , agri plus non -agri that should not have any material impact after the RBI draft circular , right that there is no fine tuning that you need to do or any material changes that you need to do ?

B Ramesh Babu : Yes. Jai, in fact, I will tell you RBI circular , which the draft circular has come , final circular is about to come. So, one first good thing is all players will have the same platform now. No one will have a differentiated platform that gives us a better edge. And the major impact in the appraisal of the gold loans, what they say in the circular is you have to treat it as a production loan, but the process can be elaborate and would consume both manpower and time. It may lead to a higher tax and disposal of such loans . Currently, if you are able to dispose of in 20 minutes, it may take slightly higher time . For that what we need to do, we are planning to do is training the front end staff on the finer aspects of handling and appraisal as a production loans. The second thing is we want to develop user friendly templates to reduce the processing time and various t echnology interventions measures to reduce the ta x. So that way, if we take these measures, because this is not only for KVB , the whole banking industry, NB FCs, everyone , they need to pass through this one . So, it may take 2-3 months for fixing all these things, but we are reasonably confident it will not have a major bearing on the portfolio .

Jai Mundhra : Right. Sure, sir. Secondly, sir, there is some Rs. 26 crores of NPI and other provisions. If you can just elaborate, is this related to security receipts or is this related to some , what exactly is that and the bifurcation of other income , core income you have given , but non -core fee , how much is recovery from write -off or maybe treasury or some other line item?

Ramshankar R : This is Ramshankar here. It is the SRs which we received for our existing NPA account, but it was a form of InvITs trust investments . Based on the new circ ular, it has to be valued at 1. So I have to do it in the base loan which is already an NPA classification continues in the new form also, so we have to keep it as NP I only. So I have to make a provision for that investment . That is what the provision is there.

B Ramesh Babu : Jai, in fact, coming to the recovery from write -off in my inaugural guidance , so I have convey ed that quarter as well as year.

Jai Mundhra : Yes. No , but s ir, if you have this number out of Rs. 245 crores of other fee, how much is recovery from TW O or treasury income separately?

Ramshankar R : Rs. 182 cr is the recovery from write -off for this quarter.

Jai Mundhra : Sure. And lastly, sir, you have given elaborate guidance on NIM and fairly range bound on ROA. There is likely to be pressure on NIM as you have also mentioned. But is it fair to assume that the contingency that we are providing Rs. 100 crores which is actually 8 -9 basis point s ROA that is the buffer you have, right? What I am trying to understand is this RO A guidance , you hav

e the flexibility, or let us say, choosing between contingency and ROA, what would you

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prefer? Contingency is flexibility or do you think that you can continue to do contingency and still report RO A of 1.5 -1.65?

B Ramesh Babu : Contingency, whether we will be able to continue or not that I cannot say at this stage because the Board has to take a call . When the position is becoming tight on the margin front , so Board will have to go and brief them also on this point . So now the contingency for using this contingency, it is like a fire extinguisher we want to use it . As and when absolute necessity is there, then we can use . In the meanwhile, the Bank is able to generate its own revenues in the normal course, it is bet ter we meet from that, and the contingency will keep it aside. So, I am not saying that Rs. 25 crores with provision and without provision, I cannot say on that point now. But going forward, the need for contingency may not be there. That is what the Board has to take a call.

Jai Mundhra : Right. Sure, sir. Thank you so much. I will come back in the queue, s ir.

B Ramesh Babu : Thank you. Thanks , Jai. Thanks.

Moderator : Thank you. We will take our next question from the line of Akshat Agarwal from S mifs. Please go ahead. Akshat , please unmute your microphone and go ahead with your question , please.

Akshat Agarwal : Good evening, sir. Thanks for the opportunity and congrats on a good set of numbers. S ir, my

first question is on fee income growth. It was quite strong around 13% Q-o-Q. So where is it coming from given we have like negative growth on corporate, right? So, is it like to sustain going forward?

B Ramesh Babu : What do you mean by negative? Sorry, what is the negative growth?

Akshat Agarwal : Corporate lending, we have like a weak growth, right?

B Ramesh Babu : Understood. Yes, please go ahead.

Akshat Agarwal : So that was my first question, sir.

B Ramesh Babu : No, fee income, it has different components there as we mentioned earlier. It includes the write-off income also is there other income. So that has come up a good source of fee-income for us.

I agree corporate had we grown in the normal course, our processing fee, all these things would have come up. But other verticals are there, including agriculture, jewel loan also we started charging, processing fee and commercial as well as retail, all these started giving some fee. So now corporate is going for a muted performance this year because we do not know whether the cost of funds what all we acquire with majority coming from fixed deposit will support our corporate funding or not. We want to focus on the non-fund-based business this year and already we are on the job on that. So that way, we shortfall what all we are going to get under the NII, net interest income. Partially, we want to make it through our fee income also. That is our

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endeavor. So, this year also the same tempo we would like to continue on the recovery from write-off accounts as well as the other income what all we are getting from the processing fee, others also. So that is what is our plan of action.

Akshat Agarwal : Right, sir.

B Ramesh Babu : One more point, Akshat. Now, 3 years, 4 years back when we were taking baby steps as far as a third party products are concerned that is cross sell, so we were growing at Rs. 25-Rs. 30 crores that sort of a range. So, we have ramped up and activated all channels. So, with that progressively it is more or less reaching around Rs. 180 crores this year. So that way, we have still lot of scope available there. So, we will make up from third party products marketing also. In fact, wealth management also, another tie up we have entered into that also should support us.

Akshat Agarwal : Right, sir. So, this recovery from write-off, is it a part of the others or the part of the fee income because they are like Rs. 264 crores on the fee income and Rs. 245 crores from other, right? So, this I would assume that recovery from write-off is coming into this other line, right?

Management : Yes, absolutely, you are right, from others only.

Akshat Agarwal : OK, so this core fee income Rs. 264 crore, 13% Q-o-Q is broadly from all this is core part of the non-interest income?

B Ramesh Babu : Absolutely, Rs. 264 cr as against last Rs. 238 cr, it is from the core fee only, absolute you are right.

Akshat Agarwal : That is great, sir. And my second question is on cost. You mentioned C 21 to be around 50% versus current 47%. So, is there like what is the outlook for the OPEX floor? Do you expect it to go above operating income growth or is it expected to go below operating income growth given elevated staff hiring in the recent past as well as do we expect continued higher growth from non-staff expense?

B Ramesh Babu : No. In fact, what all the broad hiring we need to do for the acquisition channel as well as the service channel we have completed. So this year, the same intensity with which we did earlier years may not be there, but to some extent the branches what we have opened last one year and this year what we are going to open, these sort of things will kick in, but the point what we need to look at it is so the OPEX, rest of the things, you see employee cost may go up to some extent because the yields when they are coming down, so naturally what you need to provide for this pension fund and all these things will go up and all. So factoring all these things what we thought, correspondingly, there may not be an increase in the income because the net interest income will take a hit on account of two factors, one is the yield on advances may come down because of the EBLR, second thing is the cost of deposits may continue to have this sort of an elevated issue for 2-3 quarters. So, both sides there can be a compression. So, with these things, we thought that it would be around 50. Otherwise, what will happen, if I need to contain the cost to income

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at 47, so fewer the developmental activities, what we are trying to do, it will take a back seat.

So, we do not want to do that. It is a transitory phase currently we are having. At this stage, if you are able to pass through that one, later, we will be able to get the benefit of that.

Akshat Agarwal : That is great, sir. Thank you for answering my questions in a very detailed manner.

B Ramesh Babu : Thank you, Akshat. Thank you.

Moderator : Thank you. We will take our next question from the line of Pritesh Bumb from Dam Capital Advisors. Please go ahead.

Pritesh Bumb : Good evening. Congrats on a great state of numbers, a few questions. First is on the loan growth. I think you were quite clear in terms of aligning loan growth, deposit growth and CD ratio at 85, but the guidance was that you will grow 200 bps above the industry. Considering the initial numbers which have come from the RBI, it looks like the industry growth is about 10.5. So how do you see that basically and because the guidance is 200 basis points higher, so it will be like 11.5%-12%, maybe you can pick up in the second half, but how do you see that?

B Ramesh Babu : Yes, I agree with you, your estimates what we have mentioned, but look at one thing, when we are talking about a loan growth of it can be 12-13, whatever it is you say, now, the composition undergoes a change. Suppose if the corporate still goes down and to that extent, we need to compensate the growth in the RAM vertical. This year also you can see that 20% when RAM vertical has grown, 14% reduction in the corporate has

been set off. And even with that, we could achieve our final number guidance given. So, I somehow feel the current mix of deposits what we are getting, this may continue for some more time. So that is the reason our focus on the RAM continues and though all engines are working well because if the margin is not accruing further, we may not grow that aggressively on the RAM, but whatever it is, you look at 20% when we have done last year, it cannot suddenly come down to 12%. So that way, the mix is more towards RAM and corporate low lying. With all these things, what you said is around 12%-13% we can think of.

Pritesh Bumb : Got it, sir. It is quite clear. Second was on asset quality, a couple of points there. First is, we have seen certain banks showing slightly higher stress in MSME. Now, there could be different pockets to that stress, but how are we seeing in our books going ahead? And also, as you said that RAM is the focus area, how do you see the new book building up in terms of asset quality?

B Ramesh Babu : No, I agree because MSME is vulnerable. But somehow in 2019, Bank has gone for a digital lending, wherein every account needs to pass through the loan origination software with so many checks and balances, so that has really helped us. If pre-LOS and post-LOS, if you look at it, so more or less 10%-20% of the pre-LOS stress numbers are there only in the post-LOS. So, our SMA 30+ what we have disclosed, it includes MSME book also, so that itself is around Rs. 300 crores and a portfolio of Rs. 85,000 crore. So, we can think saying that the portfolio is still under control and above all, we are using the early warning signals also as I said earlier, predictive
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analytics and all. So much in advance, we are trying to take some sort of a measure to rectify or fix these issues, but last but not the least is we will think of Loss Given Default. The majority of our MSME book is backed by collateral which is more than 100%. So if at all those situations arrive at so we are sufficiently guarded through the collateral, but otherwise we are for the time being confident saying that sort of an overnight stress will not come up in our MSME book because we are cautious, our collection teams are active and the monitoring team is active and continuously focus what we give on business growth, equal focus we are giving on the monitoring tool.

Pritesh Bumb : Got it, sir. A couple of questions on the deposit side, one is that the current account deposit seems to be slightly muted given that this is a year end and again peer banks have seen a very strong flow. Maybe on average it may not be that great, but on period end basis we have not seen that kind of flow. Is there anything that has not led the flow to us?

B Ramesh Babu : In fact, from March 1st onwards, we are very conscious about one point if some sort of a windfall comes in the last week and goes out in the first week of April, it may not support us a lot. So that is the reason what we thought throughout the next year you need to bleed, so we didn't make any conscious efforts to go for these 10 days, 15 days during the month of March. So, what all organically what we need to say that we got it and all, so that we can continue the growth this way.

Pritesh Bumb : And second point on deposits was, as you mentioned that you are de-growth your corporate book, just wanted to check how much will be deposits contributed by these corporates because these will be generally bulk and just trying to check if the bulk deposit also from them will have come down?

B Ramesh Babu : I agree, but that usually we will not share actually, because the self-funding is a concept which we have started a year back. But still, I can very well say that many of the corporate banking units are active, they are able to

mobilize. As you said, the majority has come in the form of a time deposit, but money is money. Now, even if I go and mobilize in the retail front or this side and all coming up and all, so a decent progress has been made by the corporate wing in mobilization of the deposit, our intention is over a period of time to bring it around 50% self-

funding ratio for the corporates.

Pritesh Bumb : 50%, got it. And sir, the very last question was basically on your margin side, you mentioned that 3.7 -3.75 is the range which you see . And you said it will be volatile between the quarters, but as a trajectory , do you see the first half to be a little bit higher because if you look at the average for full year, then your second -half will be better, right , because you will be cutting deposit?

B Ramesh Babu : Absolutely. It will be like that. Absolutely , a simple calculation, let us say 1% the repo is cut. Our EBLR portfolio is 52%, so 50%, 50 basis points there can be a hit straight to the NIM . So, 4.05 minus 50, so it have to be 3.55, but we are taking many measures out of that. So that way

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we have guided overall 3.7 -3.75 because first half will support us and second -half we have issues. Overall, we need to manage this way.

Pritesh Bumb : Got it, sir. Thank you so much. Thank you for these answers. All the best.

B Ramesh Babu : Thank you.

Moderator : Thank you. We will take our next question from the line of Akshay Badlani from HDFC Securities. Please go ahead.

Akshay Badlani : Yes. Hi. Thank you for taking my question. My first question would be around the commercial loan book. Our average ticket size has been increasing in the last 2 -3 years. I just wanted to understand , is this by strategy that we are going for higher ticket sizes or some , in terms of asset quality , if you could get some color as to amongst the ticket sizes that we disclosed is the higher ticket size performing better or something like that?

B Ramesh Babu : Absolutely. You are on dot, Akshay. Because we started with a low average ticket size to test the waters. We have verified all the parameters, how they are working because the onboarding conditions are one and the same. So then progressively, initially we thought of Rs. 50 lakhs . The average ticket size used to be Rs. 25 lakhs, Rs. 30 lakhs and all . Then we started pushing the verticals for slightly higher because the advantage is with the lower labor, actually you will get a higher growth there. So that we have been encouraging and in fact we have been giving a target also to the verticals about the average ticket size which they need to reach. So that way everyone knows. So, I have to balance this way because when we saw the stress is under control, we can take that amount of reasonable risk so that it will reduce the loan and increase the growth.

Akshay Badlani : Understood. And would that be like yield accretive or because probably in lower ticket sizes , it would slightly be more ROA accretive?

B Ramesh Babu : Slightly here and there, there can be 5 basis points here and there in the yield, but you understand the amount of OPEX what we need to spend on servicing this account. If I am saving there these 5 basis points and on the OPEX, so it is more or less neutral for me.

Akshay Badlani : Got it. Just my second question was around the incremental branches that we are opening. So, what is the strategy there going forward? How much would be non -Tamil Nadu and how much would be from the home state and how are we seeing like a 3–5-year view ? How is our view there in terms of geographical expansion?

B Ramesh Babu : No, very true. In fact, Tamil Nadu and South more or less , Tamil Nadu, we have good number of branches , but whereas in respect of Andhra and Telangana, still we have a scope. We are not deep into the markets there

e. So that way there exist some scope there. And Karnataka also offers some scope there because we are not so deeply penetrated there . Our next preference is always Maharashtra and Gujarat because we want to go in a contiguous area so that the connection is

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there and all. So that way we will complete South. Simultaneously , we will work on the West also. So, depending upon the opportunities available, we will not miss North, but East can be the last preference. First of all , the potential what we are getting here is much better. We will try to exhaust because the same cost if you are able to get the better business there and all , we want to exploit on those lines.

Akshay Badlani : Got it. Thank you. Thank you for answering my questions .

B Ramesh Babu : Thank you.

Moderator : Thank you. Ladies and gentlemen, we will take that as the last question for today. I now hand the conference over to Mr. B Ramesh Babu - MD and CEO for closing comments. Over to you , sir.

B Ramesh Babu : Yes. Thank you all for going through our presentation and showing so much of interest in asking questions and all. As I said earlier , we will strive further to see that the momentum is maintained, and the expectations are met. Thank you all. Thanks.

Moderator : Thank you. On behalf of the Karur Vysya Bank, that concludes this conference. Thank you for

joining us and you may now disconnect your lines.

Call: Jul 2025

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Call: Oct 2025

(no extractable text — likely a scanned image PDF)

Call: Jan 2026

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IRC:F48: 14:28:2026 January 30, 2026

The Manager,
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Bandra - Kurla Complex,
Bandra (East), Mumbai - 400051 The Manager,
BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400001

Scrip Code: KARURVYSYA Scrip Code: 590003

Dear Sir/Madam,

Sub: Intimation under Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 – Transcript of the Conference Call held with respect to the Unaudited Financial Results of the Bank for the quarter ended December 31, 2025

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we have enclosed herewith the Transcript of Conference Call held on January 23, 2026, at 6:00 P.M. (IST), in connection with the Unaudited Financial Results of the Bank for the quarter ended December 31, 2025 .

The same is also made available on the website of the Bank and can be accessed on the following link:

<https://www.kvb.bank.in/docs/investor-con-call-transcript-fy26-3.pdf>

Kindly take the same on record.

Yours faithfully,

Srinivasa Rao M
Company Secretary &
Deputy General Manager

Encl: As above

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MANAGEMENT : MR. RAMESH BABU – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – KARUR VYSYA BANK
LIMITED
MR. SANKAR BALABHADRAPATRUNI – EXECUTIVE
DIRECTOR – KARUR VYSYA BANK LIMITED
MR. CHANDRASEKARAN M S – CHIEF OPERATING
OFFICER – KARUR VYSYA BANK LIMITED
MR. RAMSHANKAR R– CHIEF FINANCIAL OFFICER –

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Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '26 Earnings Conference Call of the Karur Vysya Bank. We have with us today the management team of KVB, represented by Mr. Ramesh Babu, MD and CEO; Mr. Sankar Balabhadrapatruni, Executive Director; Mr. Chandrasekaran, Chief Operating Officer; and Mr. Ramshankar, CFO.

As a reminder, all participant lines are in a listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. B.

Ramesh Babu, MD and CEO, to take us through the highlights of the quarter gone by, after which we will open the floor for questions. Thank you, and over to you, sir.

Ramesh Babu Boddu: Thank you. Thank you very much. Good evening to all of you. On behalf of Karur Vysya Bank, I would like to extend a cordial welcome to all participants joining our Q3 earnings call for the financial year '26. Our financial results and the accompanying presentation are available on our website, and we trust you have reviewed them prior to this meeting.

As discussed during our previous call, we maintain a cautiously optimistic outlook while underscoring the importance of managing margin pressures and diligently monitoring asset quality. Our current performance indicators remain aligned with the guidance previously issued. The stability across all 3 key metrics, growth, profitability and asset quality demonstrate the sustained robustness and resilience of our operations since the beginning of the year.

As of 31st December 2025, the bank's total business reached INR2,11,647 crores, reflecting our sustained growth momentum in the third quarter with an overall business increase of 4% quarter-on-quarter and year-on-year increase by 16%. Advances rose to INR97,052 crores, representing a growth of 5% quarter-on-quarter, while deposits increased to INR1,14,595 crores, achieving a quarter-on-quarter growth rate of 4%.

Advance and deposits grew by 17% and 16%, respectively, on year-on-year basis. Business mix remained same with RAM verticals constituting 86% of the business, while corporate banking 14% of the business. RAM verticals grew by 4% quarter-on-quarter basis and 19% on year-on-year basis. Commercial business constituted 36%, followed by retail at 26% and ABG constituting 24%. Retail advances rose by 6% quarter-on-quarter, largely attributable to the growth in jewel loans and mortgage loans.

The collaboration between the branch channel and open market channel demonstrated ongoing progress, reflected in a 14% increase in mortgage loan volumes during the quarter. Early asset bookings are facilitating steady interest income generation throughout the year. Given the low yields and heightened competition, we have mellowed down towards housing loans and vehicle loans. The commercial business segment recorded 3% growth over the previous quarter. Disbursements in the commercial segment increased by 21% year-on-year to enhance MSME business. We have launched the small business group relationship model across 79 branches identified for their growth potential in this segment, relationship managers are tasked with

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acquiring new small business customers, ensuring quality disbursements and sustained customer engagement through the financial year-end before transferring the relationship to the branches. Under commercial segment, we had also exited a few weaker accounts consciously. Conscious of acquisition of accounts, both in terms of quality and pricing allowed few accounts to be taken over

by others due to lower pricing, which did not fit into scheme of things for our bank. We had also witnessed lower utilizations in sectors like textiles during the quarter.

Our focus on commercial continues and also our approach of balancing risk reward continued during this quarter 2. The agriculture loan portfolio experienced a 4% growth during the quarter. Agri-jewel loans accounted for 91% of the portfolio, while other agriculture loans comprised of remaining 9%. The loan-to-value ratio for agri-jewel loans is at 55.59%, demonstrating adequate margin availability.

Our continued focus on improving the PAT and customer connect have supported us in

agriculture portfolio growing at 4% during the quarter despite competition. As the portfolio is growing and gold prices are also soaring, we are mindful of maintaining higher margin, and we have also strengthened our monitoring mechanism to address inherent risks, if any.

The corporate portfolio recorded a 6% quarter -on-quarter growth despite the current interest rate environment presenting challenges for expanding the corporate portfolio, we have identified opportunities in select segments such as commercial real estate, capital markets, EPC contractors. These areas enable continued portfolio growth while maintaining the desired spread and aligning the bank's risk appetite.

Our corporate advances portfolio, inclusive of credit substitutes grew by 6% during the quarter and registered a 14% year -on-year increase. The bank's liability business constitutes the 54% of the total business of the bank. Total deposits increased by 4% during the third quarter, driven by gains in both retail term deposits and CASA. CASA balances grew by 2% over the same period. Demand deposits grew by 1% and savings deposits grew by 2%.

Additionally, more than the anticipated end of the quarter inflows into the current accounts further supported overall deposit growth. Our strategy to prioritize higher balance variance in savings accounts through both branch and sales channels is showing positive results with year -on-year growth of 6% in savings account balances for new -to-bank customers. Similarly, new -to-bank current accounts value also increased by 10% year -on-year.

Retail deposits grew by 2% during the quarter, a flat growth, reflecting the competition in sourcing of deposits and these deposits grew by 13% year -on-year. With respect to net interest margins, we previously provided guidance in the range of 3.7% to 3.75 % for financial year '25 - '26. I am pleased to announce that we successfully navigated the quarter, achieving an expansion in margins to 3.99%.

This represents a 22 basis points increase from the prior quarter, primarily driven by a 16 basis points reduction in cost of funds and 6 basis points increase in yield of funds. The cost of deposits reduced by 13 basis points on a sequential basis as major part of the deposits are repriced during

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the quarter. The yield on advances increased by 1 basis point during the quarter. We were able to stem the reduction by improving our fixed rate loans in our asset portfolio mix.

Our fixed rate loan book, which was at 15% in total book as at the end of September, has now increased to 23% at the end of December '25. MCLR loan book has reduced from 29% to 20%. During the same period, EBLR book increased from 54% to 55% Yield on investments improved by 4 basis points during the quarter.

This was primarily due to reinvestment and incremental deployment being made at higher yields with a preference for SDLs offering better spreads over central government securities.

Additionally, a selective increase in the NSLR portfolio contributed to the overall enhancement in portfolio yields.

Our NIM YTD is 3.88% that is excluding one -off item of the quarter 2. Considering the rate cut of 0.25% in December, which would have full effect in Q4. We expect NIM for the full year to be in the range of 3.9% to 3.95%. That's what we presume we need to look at it. Operating profit for the quarter was at INR1,005 crores, representing a 23% increase compared to the same quarter in the prior year.

While the sequential figure appears lower, excluding the onetime interest recovery of INR139 crores in Q2, which it will result in a growth rate of 14%. Noninterest income for the period stood at INR509 crores. Recoveries from written -off accounts amounted to INR179 crores during the quarter. We had guided recoveries from written -off accounts would be around INR600 crores for the full year, and we have achieved INR601 crores till the end of December, including the interest recovery.

We had made income by way of sale of PSLC certificates amounting to INR3.35 crores during the quarter and totally INR14.06 crores in the end of 9 -month period. Our income from bancassurance was INR133 crores YTD as against INR99 crores achieved during the previous year, a growth of 33%. We are continuing our focus on improving our income from bancassurance and non -fund-based business.

Our operating expenses for the quarter stood at INR743 crores, representing a sequential decline of INR14 crores. Establishment expenses, salaries and allowances remained flat quarter -on-quarter. With respect to the new labour codes, we have assessed the impact of these changes to the extent possible and have made an incremental provision of INR1.64 crores during the quarter.

The cost -to-income ratio for the 9 months period ended was 43.98%, which remains within the

guided range of less than 50%. Net profit for the quarter is at INR689.96 crores, an increase of 20% quarter -on-quarter and 25% year -on-year. Fresh slippages for the quarter are INR154.14 crores, that comes to 0.63% on an annualized basis compared to INR350 crores in the preceding quarter.

SMA 30 -plus levels have come down to 0.24% from 0.27% of the previous quarter. And this is for the whole portfolio. That's what all verticals are covered here. It is 0.24%, and we are

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confident in our ability to maintain the slippage ratio below 1% levels as we have previously indicated. During the quarter under review, an allocation of INR114 crores was made towards the NPA migration.

NPA migration comes to INR81 crores, standard assets comes to INR17 crores and restructured and other advances INR16 crores, resulting in an annualized credit cost of 0.47% for the quarter and 0.67% for the 9 -month period ended 31st December 2025. Our gross NPA has slightly decreased from 0.76% to 0.71%. Our net NPA remains steady at 0.19%. The proportion of standard restructured loan portfolio has further decreased to 0.45% of our total loans and continues to perform satisfactorily.

At present, we do not anticipate any significant setbacks or slippages within this segment, notably, a substantial portion is secured by collateral, and we maintain a provision of 44% for this portfolio. Our unsecured portfolio is only 1.91% of the total advances. Here, we wish to mention saying that so without increasing the unsecured advances to 5% and 10%, we are able to manage rest of the parameters, and we are able to get this NIM of 3.99%. The ROA for the quarter stands at 2.05% improved from 1.81% sequentially and 1.87% for the 9 months period. Our CRAR Basel III continues to be healthy and is at 16.05% without reckoning the current year profit that provides us comfortable headroom for growth. Our liquidity coverage ratio continues to be well above the regulatory requirement of 100%. We had opened 10 branches in the 9 -month period ended, comprising of 7 light branches and 3 regular branches. We have a plan to open another 6 branches in the last quarter of the year.

I would like to

touch upon some of the new initiatives which the bank is working on now. We are in the process of revamping our credit card business and likely to launch with new variants by the end of this quarter, but we will grow in a measured way, and we will look at various factors, then only we'll scale it up. We have started affordable housing loans in a small manner, and we are in the final stages of technical integration with the co -lending partner also in addition to the lending. Otherwise, we have planned for the affordable housing in this segment. Now our MFI portfolio stands at INR207.83 crores as of the end of 31st December, reduced from INR333 crores since 31st December 2024. The MFIN guardrails introduced by the self -regulatory organizations have encouraged MLIs to adopt more prudent, quality -conscious lending practices, prioritizing risk management and long -term portfolio stability. The past concerns about multi -lender risk and delinquency have been addressed to a great extent. The bank is in a better position to manage and ramp up the portfolio when the segment picked up again in the next year. So all of you know that from April onwards, we started covering under the guarantee cover. So all fresh exposures are covered under the guarantee cover. I would like to express my sincere gratitude to all the investors, analysts and stakeholders for their continued confidence and ongoing support. We are committed to upholding this trust through continued strong performance in the future.

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To sum up, our guidance for credit growth of above 2% of the industry growth continues for the whole year. NIM for the full year will be in the range of 3.9% to 3.95% ROA expected to be above 1.85%, gross net NPA is expected to be less than 1.5% and net NP A to be less than 1%, slippages to be less than 1% of our book.

Before I conclude, I wish to convey that so December 2020, our net profit was INR35 crores and in 5 years, December 2025, our net profit is slightly short of INR10 crores – INR700 crores which has grown by 20x during this 5 years. I sincerely thank each one of you. Many of you have given tons of guidance to us, and they have been giving us feedback also. All this has

helped us to perform this journey. We are grateful to each one of you for this wonderful journey, how you have helped us. So now I'll be glad to respond to your questions. Thank you.

Moderator: We'll take our first question from the line of Jai Mundhra from ICICI Securities.

Jai Mundhra: Congratulations on a fantastic number. Sir, my first question is on NII, right? So last quarter, we had said that cost of deposit may not decline as much, whereas there was anyway pressure on yields. You mentioned the change in the loan mix in terms of floating things, etc. But apart from that, was there any other one-off, any other non-business as usual thing, which would have added either interest income or cost of deposit?

Ramesh Babu Boddu: Jai, thank you very much for the good words. Nothing actually because I'll tell you, last time also when we were mentioning, when we looked at our repricing of the deposit, major chunk of the deposits have come up in this quarter for the repricing. That has really helped us to reprice the deposit.

Other than that, no one-off item like last quarter to what we had, nothing is there you also know how much of importance we give for the transparency. Last quarter also when it was there, we have shown everywhere with and without if had we had that sort of a number this time, we would have definitely shown there is absolutely no one-off. It is absolutely the sweat.

Jai Mundhra: Sure. No, no. I trusted so, but the number looks incredibly good. So that was the question...?

Ramesh Babu Boddu: I'll tell you what is the reason also. The reason is a lot of emphasis is given o

n the yields. Suppose

there is very absolutely, it is very easy to grow the top line because many banks are offering competitive rates and all. Had we given those rates, we would have grown. So we have compromised to some extent on the growth of the advances because other side, when there is an issue as far as deposits is concerned, you cannot be so liberal in the pricing.

So every committee, every committee headed by ED, CGM, everyone, including the Board-level committees, they are appreciated by the fact that risk reward needs to be maintained. That helped us a lot.

Jai Mundhra: Right, sir. And sir, this fixed to floating to fixed rate is mainly gold, right? And it may continue considering we have a lot of gold loan portfolio, right? So as and when it gets renewed, it can be converted?

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Ramesh Babu Boddu: That's the reason you have seen that. So the gold loan portfolio, even after we made it fixed. So there is no dip. The same tempo is continuing. Here, the differentiator is the customer connect and the TAT, what our branches and the counter teams they maintain, that is helping us a lot to continue the growth with the fixed rate at a higher rate, that also.

Jai Mundhra: Right. So -- and sir, as you guided that ROA will be above 1.85%. So -- and as you mentioned, there is no one-off sort of a thing and there are no asset quality risk on horizon. This is now a step-up, right? Earlier, we were saying 1.6%, 1.65%. Now this is clearly we are on the next level in terms of ROA trajectory as of now?

Ramesh Babu Boddu: Jai, it looks like that. It looks like that actually because when we are focusing on what we are supposed to do, the numbers have derived from the efforts what we have made. But now if you look at it, everything is more or less organically what all we have done, no one-off and nothing has come here.

Jai Mundhra: Right, sir. Sir, 2 questions more. One is any quantum of this -- have any customer of ours who are into exporting things, have they come and asked for any dispensation under that trade relief measure? Or any -- I mean, last time you had given some number in terms of how sensitive is the portfolio? Anything quantification there?

Ramesh Babu Boddu: Yes. In fact, only one customer out of the entire lot, they have come and they ask for a very small portion of that. They have asked for dispensation. For the benefit of others also, I'll just share what is happening on the ground. And we have been continuously in touch with the exporters who are dealing with the exporters. And currently, none of them, they have approached us for an additional funding or any sort of issues.

When we are talking to them also, they said that -- so big firms in U.S., still they are continuing. And a few of them, they also mentioned that up to March 2026, their order book is there. So diversifying into other countries is not that easy, though we may think of that because U.S. offers scale and other countries are there, each one they have a customization, small, small quantities need to be manufactured.

So that's why this sort of a course correction will take some time. But good thing is the customers have that sort of a strength. They are able to manage the show and all. So we didn't find any issues even for the dispensation also as on date.

Jai Mundhra: Right, sir. And my last question is, sir, on your term extension, right? So we are now 6 months

ahead of the -- broadly 6 months behind this thing. Just wanted to check, sir, when -- I mean, has your proposal -- I mean, when does the Board send the name to RBI and if you can clarify anything from your intent. I'm not asking you to speculate on regulator, but your term extension, sir.

Ramesh Babu Boddu: No, no. Jai, I think you have not seen 5.00 o'clock, we have already uploaded in the stock exchange about my extension.

tension.

Jai Mundhra: Okay. Sorry, sir. I missed that...

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Ramesh Babu Boddu: Board has -- let me be very frank with all of you. Board has been insisting for a 3-year term extension for me. And they are very comfortable. They were saying that I need to take it. So then I felt saying that because I need to balance the bank as well as my personal commitments also. So finally, I took a call for an extension of 2 years.

That will practically, if you look at it, 2.5 years from now onwards, so I'll be continuing there and all. In the meanwhile, what all other things are there for that, all these things will be taken care of smoother transition and all. So that way at 5:00, we have uploaded about my extension for 2 years. And RBI will be approached and for the approval.

Moderator: We'll take our next question from the line of Rikin Shah from IIFL.

Rikin Shah: Congratulations on again one more quarter of good numbers. Sir, just 2 questions. The first one is on yield on advances. Even adjusted for the one-off in the last quarter, the yield on advances are broadly stable. So have you not seen any pricing pressure or even repricing of the earlier repo rate cuts or MCLR into your loan mix? Or is it the mix is changing favourably, which is why you are able to sustain your advance yields? So that's the first one.

And the second one is, given that agri book has been a reasonably big book, and we have seen some large private banks seeing some regulatory actions taken against the PSL classification. So if you could talk about what's the issue at hand and whether that is something that even we need to watch out here?

Ramesh Babu Boddu: Thank you, Rikin. Thank you. First thing is regarding the yield on advances, what you said is correct because last -- if we leave the December rate cut, September 6, more or less first week, second week, all our earlier loans got repriced. So that way we felt saying that second quarter is concerned, at least a few months, we have got the benefit of interest at a higher rate. But whereas in the third quarter, right from October 1 onwards, we were getting at a lower rate only.

Ideally, had we left it that way, we would have got a hit. But what we did, some of the low-yielding accounts, what all are there, either exiting or engaging with them for a higher pricing. And not only that shifting the rates, floating to fixed rate at a higher rate, all these things have supported us. So that way, we are able to maintain 9.76% to 9.77%, same levels we are able to maintain that.

But next quarter, if you look at it, so it may not be the same way because this 25 basis point rate cut of December will kick in. So we need to see how it works out there. Coming to the ABG's concern, agriculture. So the -- our 91% of the portfolio is agri culture -jewel loans. Last year, luckily, Reserve Bank of India has consolidated and gave a clarity. And later, when banks have represented, they have given so many relaxations on that.

So up to some amount, actually, you need not do these things and all. So we have followed all those things. And April 1 onwards, all these guidelines will kick in. But in the meanwhile, also what all is required, we are working on that. And I can tell you, before the RBI guidelines itself, even for the gold loans, more than 1, 1.5 years back itself, we started working, so like

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background check, verification, the document, what they have, centralized teams creation of all these things and all.

So whether the scale of finance is followed, all these things, even for the gold loans also we started. That is the reason as and when the RBI guidelines have come, it was relatively easier for us to seamlessly to migrate to the new system. So that way, in t

ernally, we have been looking at

this particular point and all. We feel we are in line with the guidelines.

Rikin Shah: Got it, sir. And no issues regarding the tagging of the PSLs or the end user of the...

Ramesh Babu Boddu: No, no nothing, nothing there.

Moderator: We'll take our next question from the line of Suraj Das from Sundaram Mutual Fund. Since there is no response, we'll move on to the next question. The next question is from the line of Rohan Mandora from Equirus Securities.

Rohan Mandora: Congrats on a good set of numbers. Sir, you made a comment that on the deposit side, a good amount of repricing is done. But if I look at the peak TD rates, we had seen a good cut of around 65-odd basis points from May to July. So should the repricing of this not be there in the forthcoming 2 quarters? Just trying to understand how the cost of funds can move incrementally here.

Ramesh Babu Boddu: I agree with you. Yes, it may not move the same way as the benefit what we have got because when we bucket it quarter-wise, what all the accounts, what are the deposits to be repriced. So it got bunched up majority because we started a product like 400, 44 4 days, those sort of products when we have launched 1.5 years back, they got majority matured in this quarter. That's why we could get the benefit of it.

Next quarter onwards, it will be normalcy. In fact, when we look at it, there are a few deposits which are having a lower pricing than currently we are offering for a lower period. Those deposits, if they get repriced, we may have to pay a higher price on the deposit also, but that may not be much. But overall, if you look at it, what all the benefit we have got it in this quarter may not continue in the next quarter for the deposit cost.

Rohan Mandora: Sure sir, any quantify on what proportion of our term deposits would have repriced this quarter?

Ramesh Babu Boddu: This quarter around 20%, something like that got repriced.

Rohan Mandora: 20% more or less. And sir, second is on the technical write-off pool, like what is the outstanding number? And what kind of recoveries can we expect in FY '27?

Ramesh Babu Boddu: No, I agreed, but I'll tell you it's slightly a deceptive thing of thinking because the technical write-off accounts are there with NCLT. So you will not have any visibility when the money will come out because legal proceedings are going on. And second thing, even if finally, NCLT, these things come out also, how much is the value we are going to get out of that is also not known.

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So that's why what we are doing wherever these sort of securities are there, where we are able to get the court orders, we are expediting the courts also for taking the physical position. On a running basis, we have put special teams on this job and getting that -- and we have put teams for the asset disposal also. One, we have put a team for the legal, centralized legal team. They are exclusively working on expediting the legal cases and getting the physical position. Second side, asset disposal team also we have created. And these 2, that wherever assets are there, our focus is on that, and we are trying to push them, giving a fixed number like in advances, how much you can grow deposit because there are so many ifs and buts are there, which are not under control. So we may not be able to give any guidance on that number at this stage for '27.

But this year, we had some sort of a visibility. That is the reason around first quarter, second quarter when this number has been asked by one of the analysts, we are told around INR600 crores. We are on track as far as the guidance is concerned.

Rohan Mandora: Right. But from a pool outstanding perspective, what would that number be?

Ramesh Babu Boddu: Pool outstanding, that's what I'm saying. Suppose the securities, wh

at all are available can be

around INR2,500 crores. Let's assume where landed properties are available. The point is the moment you go for that, there can be an injunction. So then it gets stuck.

So that way straight away, you cannot say the INR2,500 crores this year, I'll get INR1,500 crores.

It's not like that because legality issues are there and all. So many things we need to work out what best can be done to salvage and get the money, we are on the job.

Rohan Mandora: Got it. Got it. Because -- so this 1.85% plus guidance, does it hold for FY '27 as well, ROA?

Ramesh Babu Boddu: No, no, '27, I have not yet spoken anything. Still we are in '26. Let us get the '26 numbers March. When the March numbers, when we come, we'll spell out what are our thoughts on the guidance.

Moderator: Next question is from the line of Param Subramanian from Investec.

Param Subramanian: Congrats on the quarter. Sir, I wanted to ask what is the LCR for this quarter? And what is the impact of the LCR circular for us that applies from FY '27?

Ramesh Babu Boddu: I agree. But you see in my initial statement, I mentioned we are always above 100%. It hovers around 120%, 133%. But even if this sort of effect is there, it can be around 5 basis points...

Param Subramanian: Sorry, sir, 133% was the average for last quarter...

Ramesh Babu Boddu: Not average. Average for last quarter is 133%. If this effect is there, it can be around 5 basis points here and there can happen.

Ramshankar : Not 5 basis points. 2% to 3%

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Ramesh Babu Boddu: 10 basis points, 2% to 3% -- sorry, not basis points percentage. Percentage, 2 to 3 percentage can come down. You take it that way, 5% on upper limit, you take it that way, which can have a bearing.

Param Subramanian: Okay, sir. So 133%, so can fall by 2, 3 percentage points. And last quarter, you were at 135%. So it has not fallen much, your LCR in this...

Ramesh Babu Boddu: Quarter 2 to quarter 3, you are talking?

Param Subramanian: Yes, yes, yes.

Ramesh Babu Boddu: Yes, yes, true.

Param Subramanian: Okay. Okay. And sir, have any of your exposures across exporters, have they seen -- have any of them taken the moratorium benefit from RBI or even that ...?

Ramesh Babu Boddu: Not moratorium actually, a small benefit, only one customer, very small accounts, they have taken it. Other than that, no one has approached us also.

Param Subramanian: Okay. Okay. And sir, could you talk a little bit about, say, your loan growth outlook, sir, for next year?

Ramesh Babu Boddu: It is too early here because the reason is every quarter, we need to pass through. The question is not the question of growing in the loan book. All loan vertical engines are firing. Now whether we'll be able to fund them with proper raw material. I understand, I suppose if you give 0.5% more on the deposit, you will be able to raise money, then it doesn't look nice, having taking a bearing on the margins and the sort of money.

So if we are able to get the proper money, which we can deploy actually, loan verticals are fine.

So we need to work more on the deposit front to get the -- to fund these loan verticals. That's it.

Param Subramanian: But you are very comfortable at an LCR of 133%. I mean you're way above the private bank peers. So I mean, because...

Ramesh Babu Boddu: Understand one thing, not only LCR, you have a CD ratio also you have to keep in mind. So various things are there within which you need to balance that way. So that's the reason we also started seeing -- we started investing in the credit substitutes. These NCDs, we have started pushing that there also. So various things, what can be done, we are doing. So let us see, but next year, this thing, we will see next quarter when the quarter end results will come, we'll give a guidance for that.

Param Subramani

an: Congrats on your tenure extension.

Moderator: We'll take our next question from the line of Anand Dama from Emkay Global.

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Anand Dama: Congratulations on a great set of results and 2 years extension that you have taken, we would have loved to have you for more years. But nevertheless, sir, what is the succession plan that the bank is looking at, whether we will...

Ramesh Babu Boddu: Today, 5:00 only we uploaded. You are talking about succession. Give some time yaar.

Anand Dama: No, no. Sir, when I think you would have asked for a 2-year extension, I think they would have...

Ramesh Babu Boddu: Board and myself will sit together, we'll plan for that, 2.5 years' time is there from now because it's 2028 July, end of July. So that enough time is there. Don't worry. Absolutely will be taken care of. So it will be absolutely seamless. Don't worry on that.

Anand Dama: Got it. Because I think City Union Bank also had a similar situation, and they already had the CEO and they have done it pretty smooth. We expect that also to happen with Karur Vysya Bank. That is what we would request...

Ramesh Babu Boddu: No, no, we'll do that. We'll do that. Don't worry on that, please.

Anand Dama: Sure, sure. Sir, secondly, we have been growing our LAP book meaningfully. So what is basically driving that book? Is it that we have become more aggressive? Is the market basically opened up for us? We have hired someone. If you can just basically talk about the LAP book, that will be very helpful.

Ramesh Babu Boddu: No, no. You see LAP book, actually, market opening up, it started 4, 5 years back itself when we have experimented with NEO and open market channel. We have done that. Later, what we did, the learnings what we have got in the vertical, we started institutionalizing them in the branches also. In addition to that, what we did, we have started around 20 branches on mortgage - focused branches, the existing branches, wherever focus is there, we started mobilizing LAP and other loans related to mortgage loans in these branches.

And to some extent, so the good practices of the OMC channel have been brought into these branches. After that, a few more branches we have identified in a blended model, we are going for that. So that way, the number of branches as well as the acquisition teams, which are working on this have been going up year-on-year. So that is showing up in the LAP book.

Moderator: Next question is from the line of Parth Gutka from 360 ONE Capital.

Parth Gutka: Sir, what's happening -- it's been de-growing on a quarter-on-quarter basis for last several quarters.

Ramesh Babu Boddu: Which one? Sorry, your voice got broken. De-growing ...?

Parth Gutka: I'll repeat myself. Sir, within the vehicle book, it's been de-growing on a quarter-on-quarter basis for the last several quarters ...?

Ramesh Babu Boddu: I can give a guidance to you for the next year also. Okay. It will de-grow subsequently also. The reason is very simple. When the rates were there actually at a high level also, so that is a case

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where the delinquency levels are high. And absolutely, the capital cost is 150%. And with these things, the LGD is also high. Loss given default, once you possess -- repossess the vehicle, sell it with all these things and the upfront commission.

What you need to pay to the dealer, which you need to amortize over a period of time, with all these things, we thought if we have a better avenue for deploying the fund, it is better. We do that. But when the deposits business is absolutely for growth itself is difficult for many banks. When we are able to have other alternative deployment avenues, we did go for that.

So now if the rates are the lowest, it doesn't make

much sense to go for a fixed rate loan at such

a lowest rate for 3 years, 4 years, 5 years. So we may not have even much focus on the vehicle loan for some more time.

Parth Gutka: Sure, sir. And my next question is, what proportion of your deposits repriced in Q4, repriced downwards, I mean?

Ramesh Babu Boddu: No, around -- yes, between 10% to 15%. I think lower side also, you can think around 10%, you can think of that because last quarter, only 20% to 25% was there. That sort of a number is not there in this quarter. And above that what I told in the earlier response also you would have seen, there are a few deposits with lower pricing than currently we are offering, they are also getting repriced.

So on those cases, you may have to pay the current pricing also. So overall, net debt, that is a very small portion, I'm saying that. But overall, the benefit what we have got in quarter 3, we may not be able to get in quarter 4.

Parth Gutka: Sure, sir. And my last question is also borrowings have gone up on a Q-o-Q basis substantially despite we seeing good deposit growth. So anything to read into it?

Ramesh Babu Boddu: No, you see the question is simple. If the cost of borrowing is relatively cheaper than what I am raising as a deposit. So it makes sense for us to borrow the money. And next thing, suppose if you are investing in the credit substitutes and other things and all, so naturally, suppose both of them to match each other that way.

So you are able to make money from the borrowings as well as the investment treasury instruments, what you have invested there. So that is only a tactical call to manage the treasury nothing beyond that. So if the deposit comes at a cheaper rate, definitely, we'll go for that.

Moderator: Next question is from the line of Jignesh Shial from Ambit Capital.

Jignesh Shial: Congrats on a good set of numbers. I just had on borrowings, I also had the same question, but now that as you answered. Similar manner, sir, if we see your slippages, if I adjust for that INR200 crores plus kind of slippage for last quarter that has happened from your 2 corporate accounts, sequentially, we are seeing the overall fresh slippages have seen a kind of a surge. So can you just elaborate what is it exactly that are we seeing it, which accounts or which areas?

Ramesh Babu Boddu: No, no. Where did you find that sort of a surge? Surge is ...

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Jignesh Shial: Yes. So basically, last quarter slippages that there have been 2 large accounts that we -- 2 corporate accounts we have basically recognized, right? And that basically, yes. So if I adjust for it, then I'll see that apart from it, that if I adjust for it, then sequentially, I'm seeing a kind of a rise. Is it coming up from -- again from corporates or how -- if you can give some color on the fresh slippages.

Ramesh Babu Boddu: This quarter, there is no slippage from the corporate majorly, I'll tell you. So, it has come from rest of the RAM verticals only. It can be a commercial or somewhere some sort of MFI accounts, what all is there earlier, what all INR203 crore s balance and all that have come up and all few retail accounts would have come. So -- but one thing we need to see that majority slippages, what all they come up, 5 years back and now there's a difference. 5, 7 years back, these slippages were majority unsecured and corporate.

Now even if the slippages have come up also, they are more or less backed by security. So though not now we'll be able to recover the money in a matter of 1, 1.5 years that way because we are equally active. So you don't get worried because the slippages i s absolutely under control. It is spread over all the verticals, and there is no bunching up in a particular vertical.

Jignesh Shial: Perfect. Secondly, even if you see, sir, the write-off pool, I mean,

total write-offs that we have

done during this -- I mean, this 9 months, that also seems to be a little higher number. So any particular thing -- I mean, any reason for it? Or how do we r ead into it?

Ramesh Babu Boddu: No, no, nothing particular. What we did simple is -- suppose if we have a gross NPA and we have money, we have provided for that. When good times are there, it is better, we provide that. So automatically, after reduction only, you show a net NPA. So every one knows what is a net NPA, how much we have provided by just writing it off -- writing it off, both on the asset side as well as the provision side, we are reducing it just to clean it up.

In fact, in the whole process, we are a loser because had we retained these numbers, our credit growth numbers would have been much better. Because we are writing it off, we are a loser. Still what we felt is making a clean balance sheet is much better tha n showing a number for getting a credit growth and these sort of things.

Jignesh Shial: Understood. But is it fair to assume that because it's a little looking higher than what your historical average has been? So is it fair to assume that this kind of trend will continue in coming periods? Or it is kind of this year only?

Ramesh Babu Boddu: Point you would have seen our total gross NPAs are in the range of INR600 crores, INR650 crores. So you cannot write off the amounts also what you require and our net NPA is below INR200 crores. INR400 crores has already been provided. So there is nothing needed to write off from now onwards. So it may mellow down from now onwards.

Jignesh Shial: Understood. Understood. Secondly, sir, this -- you already have answered, but our investment yields have been doing pretty -- I mean, has been improving or remaining quite stronger. So this is to the shift that you are talking about, right, from this side to -- and that's the reason why this is -- and this strategy is going to continue going forward as well.

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Ramesh Babu Boddu: No, not only that you see. One is G -Sec to that. Second thing, when we started investing in the corporate bonds, corporate bonds, which is fitting into our risk appetite, in fact, a few of the corporate bonds, there are our customers also instead of taking an exposure as a cash credit or a term loan in our books, we have taken other side where the operating cost is relatively low and you are able to lock the funding there also.

You do not have the issue of the priority sector for the investments what you have made there and all. So that way, a few of the cases from this side, we have booked there. We are getting a better yield compared to placing the money in a G -Sec.

Jignesh Shial: Understood. Understood. Finally, on the branches and the opex front, sir. So we have added, I think, 10 branches this 9 months, right, out of which 7 lite branches and 6 more you are planning to add up in the 4Q. Is this correct?

Ramesh Babu Boddu: Correct, correct. You're right.

Jignesh Shial: Yes. So this is relatively lower than what we have done in previous years and all.

Ramesh Babu Boddu: I agree with you. I fully agree with you what happened. We have been working on them, but we are not getting the suitable premises in few other locations. So to meet our target of branch opening, if we see some sort of a second -rated premises and go for th at, we need to live with that for the next 15, 20 years. That's why we told saying that we will not compromise on the

proper branch premises. Once we get that, then only we'll go for that.

Jignesh Shial: Okay. Understood. So when we are saying that we are opening, say, half of your branch additions, 6 or 7 have been lite branches and all. So even if I see your opex, other opex or more importantly, your employee charge, that looks almost flat sequentially, no major growth and

d all.

So is it to do with this light branches and all? Or how do we see that?

Ramesh Babu Boddu: No, no, Lite branches overall, if you look at it, in the whole scheme of things, it's 40 to 50 branches. So the tail will not be able to wag actually the dog that way. So this is a small portion of that. We have done many things also as far as the staff expenses, the same things are also productivity because the staff numbers, if you look at it, the staff numbers have plateaued and it is lower than the earlier numbers, what all are there.

So that way we look at it where productivity is not up to the mark, we got out of them and the existing teams, how to improve the productivity, we started working on that. Many measures what we have taken are really working and showing in the numbers.

Jignesh Shial: Perfect. That answers it. So can I get the number of employees as on date, as on December and then as on March? Is it possible to get it? The total workforce?

Ramesh Babu Boddu: Yes, yes, absolutely. I'm able to tell that. So ...

Ramshankar: 9,700.

Ramesh Babu Boddu: 9,788. Something there. 9,700 you can take it. Yes, that's it.

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Jignesh Shial: That's quite helpful. Congrats on your extension of 2 years, sir.

Moderator: Next question is from the line of Rohan Mandora from Equirus Securities.

Rohan Mandora: I wanted to know what was the treasury gain this quarter?

Ramesh Babu Boddu: What is it?

Rohan Mandora: An outstanding -- treasury trading gains?

Ramesh Babu Boddu: Treasury trading gains, it is quite marginal because we didn't do too much activities. We didn't sell many of the securities also because we thought when the pricing will come down and all at that time, we can look at it. So that's why we did...

Ramshankar: INR16 crores.

Ramesh Babu Boddu: INR16 crores. That is more or less last time also, if you look at it, December -- September was INR6 crores. Now it is INR16 crores. Last year, December also, if you see, it was INR18 crores.

So it is more or less moving in the same range that way.

Rohan Mandora: Sure, sir. And sir, out of this INR179 crores of TW recoveries, what was the interest component?

Ramesh Babu Boddu: Yes, this is all full normal. Unlike quarter 2, it is not like that this time. So our interest numbers, what we have shown are pure interest gain, what we have actually earned.

Rohan Mandora: Okay. And sir, on Slide 20, the disclosure that you've given on investments, if I look at the outstanding investments as of the quarter end and multiply it with the yield that you have given 6.64 that comes to almost INR500 crores of interest income for the quarter. and we have reported INR498 crores, very close to that number.

So obviously, there would have been some movement of investment book and others. So I just want to understand like what exactly happened in that portfolio because it's like jumped very much on interest on investment?

Ramesh Babu Boddu: That's what I was mentioning. So one thing is rebalancing of the investment portfolio, what we have done, which used to be there in the G-Sec and all, we have shifted somewhere where within our risk appetite, what we can go for the SDLs. Second thing, so corporate book earlier, which we were taking into our own loan book, we have those customers who have the sort of NCDs and treasury instruments.

We have booked the business there actually so that we are getting a better yield there, and we are able to lock in and the operating cost is much lower. And above all, we have the benefit of the Priority sector also for that. So all these things supported us in a better yield on the investments.

Rohan Mandora: But the investment book would have been higher during the quarter, and there has been a runoff towards the end of the quarter? Is that something that would have happened?

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Ramesh Babu Boddu: Investment book, you see INR30,156 crores now. September ending, it is INR28,198 crores. So that way, if you look at it has gone up by INR2,000 crores.

Rohan Mandora: Yes. So that's what I was saying, INR29,780 crores into INR6.6 crores. When we are taking the peak numbers, that is into INR500 crores exactly.

Ramesh Babu Boddu: Correct. But how much is the investment income we have got it ...

Rohan Mandora: INR498 crores is what you are reporting ?

Ramesh Babu Boddu: You cannot count like that. These 2 numbers straight away because the average would be moving here and there. The pricing also, the yield also must be moving here and there.

Rohan Mandora: Okay. So 6.64 is not the average for the quarter ?

Ramesh Babu Boddu: Otherwise, one thing -- we'll do one thing. So CFO will work on that. We'll come back to you on that.

Rohan Mandora: And sir, lastly -- yes, sir, lastly, do you have any refinance facilities?

Ramesh Babu Boddu: Yes, we have the refinance because like I suppose NABARD as well as SIDBI , wherever these refinance facilities are there to the extent possible, we have been drawing the refinance.

Rohan Mandora: Sure. So sir, what will be outstanding or what... ?

Ramesh Babu Boddu: Ideally, I may not be able to tell you that also our CFO will share with you, okay?

Moderator: As there are no further questions from the participants, I now hand the conference over to Mr.

B. Ramesh Babu, MD and CEO, for closing comments. Over to you, sir.

Ramesh Babu Boddu: So once again, thank you all for the wonderful guidance, encouragement and the support given and all. So as assured whole team, KVB will work for making the bank much more stronger and to meet the expectations of all of you. Thank you, very much, and good day, to all of you. Thank you.

Moderator: Thank you, sir. On behalf of the Karur Vysya Bank, that concludes this conference. Thank you for joining us . And you may now disconnect your lines.

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MANAGEMENT : MR. RAMESH BABU – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – KARUR VYSYA BANK
LIMITED
MR. SANKAR BALABHADRAPATRUNI – EXECUTIVE
DIRECTOR – KARUR VYSYA BANK LIMITED
MR. CHANDRASEKARAN M S – CHIEF OPERATING
OFFICER – KARUR VYSYA BANK LIMITED
MR. RAMSHANKAR R– CHIEF FINANCIAL OFFICER –
KARUR VYSYA BANK LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '26 Earnings Conference Call of The Karur Vysya Bank. We have with us today the management team of KVB, represented by Mr. Ramesh Babu, MD and CEO; Mr. Sankar Balabhadrapatruni, Executive Director; Mr. Chandrasekaran, Chief Operating Officer; and Mr. Rams hankar, CFO. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, to take us through the highlights of the quarter gone by, after which we will open the floor for questions. Thank you, and over to you, sir.

B. Ramesh Babu: Yes. Thank you, ma'am. Good evening to all of you. First of all, sincere apologies from our side. There is a technical glitch, and we have been trying for the last 10 minutes, and there's a disturbance in the call. That's why we couldn't. So sorry again, once again for all -- to keep all of you waiting. So again, good evening. And on behalf of Karur Vysya Bank, I extend a warm welcome to all the participants joining our earnings call for the fourth quar ter of the financial year 2026.

Our financial results and accompanying presentation have been made available on our website, and I trust you have reviewed them thoroughly prior to this call. We are pleased to report that our performance indicators for the financial year '25 -'26 are fully aligned with the guidance provided at the outset of the year. This alignment is a testament to the effectiveness of our strategies and operational discipline. It is particularly encouraging to observe that our performance has consistently surpassed our guidance across 3 key metrics , growth, profitability and asset quality.

Our growth trajectory has been robust, reflecting our commitment to expanding business operations and enhancing value for all stakeholders. Profitability has remained strong throughout the year, underscoring our focus on prudent financial management and sustained earnings. Furthermore, asset quality continues to be well maintained, reaffirming our dedication to sound risk practices and inclusive banki ng.

The bank's total business stands at INR 2,14,420 crores as on 31st March 2026 as compared to previous year INR1,86,569 crores, registering a growth of 15%. The advances stand at INR98,754 crores and deposits grew to INR1,15,666 crores with a growth of 17% and 13%, respectively. With respect to business mix of our advances portfolio, RAM Verticals have grown by 18% year -on-year, 2% quarter -on-quarter, constituting 86% of our overall advances portfolio.

Retail loan book increased its share to 27%, agri remained at 25% and commercial book at 35%. You may find a moderation in the growth of advances in the last quarter of the year as we took a conscious call in advances growth, considering the geopolitical situations and not to

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take unwarranted risk in the growth as we had front-ended our advances growth comfortably in the first 3 quarters.

Retail advance

s increased by 25% over the year, 3% quarter -on-quarter, primarily due to growth in mortgage and jewel loans. The collaboration we established between the branch channel and open market channel at the start of the year paid off as evidenced by 56% year -on-year, 9% quarter -on-quarter rise in mortgage loan volumes. Retail jewel loans saw a 61% annual increase, 5% quarter -on-quarter.

Housing loans grew modestly by 2%, reflecting low yields and greater competition. Due to a management change with our BNPL partner midyear and due to elevated household leverage, growth was negative compared to previous year. With operations now stable, we anticipate growth in the current year.

The outstandings of our BNPL book is INR798 crores as at 31st March 2026. The agriculture book demonstrated a year -on-year growth of 19%, 5% on quarter -on-quarter with agri jewel loans constituting 91% of the portfolio and other agriculture loans representing remaining 9%. The loan -to-value ratio for agri jewel loans stands at 55.59%, indicating sufficient margin availability.

Our sustained emphasis on enhancing turnaround time and customer engagement has contributed to the agriculture portfolio's 5% growth during the year despite competitive pressure. Given both the expanding portfolio and increase in gold prices, we remain vigilant in maintaining higher margins and have reinforced our monitoring mechanism to mitigate inherent risk as necessary.

The MFI portfolio stood at INR173 crores, representing just 0.18% of our total portfolio. CGFMU coverage commenced from 1st April, though 1st April, actually, the real disbursements started in June. So at present, the situation has stabilized. Collection efficiency has improved. Guardrails have been implemented and guarantee coverage has been secured. Going forward, we will assess growth under this segment in a measured and strategic manner. The commercial business grew 11.56% year -on-year, but had a flat growth during the last quarter of the year. As mentioned in my previous call, we continue to exit a few weaker accounts consciously, conscious of acquisition of accounts, both in terms of quality and pricing, allowed a few accounts to be taken over by others due to lower pricing, which did not fit into the scheme of things for our bank.

In addition to this, we needed to be mindful of the impact on this segment due to the geopolitical tensions that started in the last quarter. Disbursement growth from NTB was 25% during the year and 29%, including the ETB customers book. However, in the last quarter, utilization of working capital accounts were lower.

To improve the MSME business, we initiated relationship model to strengthen capacity building and drive sustainable growth -- sustainable growth in the small business group segment with estimated manpower of around 100 relationship managers. Already, 72 of them

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are in place. The primary focus of this team would be to source new relationships. The corporate portfolio achieved a growth of 12% over the past year, which was degrowing up to last year.

Strategic opportunities were identified within segments such as commercial real estate, capital

markets and EPC contractors, which contributed to this progress despite challenges associated with the prevailing interest rate environment. These sectors supported sustained portfolio expansion while preserving the required spread and remaining consistent with the bank's risk profile.

In response to external conditions, growth was moderated in the final quarter. Including credit substitutes, our corporate advances portfolio posted a 20% year-on-year increase. With respect to credit substitutes, incremental growth during the year was INR969 crores. We had focused ETB customers with an external rating of A and above and were able to offer finer pricing in

credit substitutes compared to the loans.

In the meanwhile, the offer, final pricing in the sense we are able to get a better pricing in the credit substitutes than the loans. The Transaction Banking Group plays a key role in the bank's digital transformation agenda by providing API first real-time banking capabilities for corporates and MSME clients, scalable bulk payment infrastructure supporting payroll, vendor and B2B settlement and automated trade finance and supply chain monitoring workflows. TBG remains committed to supporting the bank's efforts to maintain a diversified portfolio and also to strengthen strategic relationship with leading corporate clients. Our unsecured loan book is at 1.81% of the total advances as at the end of March 2026, which is one of the lowest amongst the peers. Our partnerships for co-lending with NBFCs continue to perform well, and the loan book under this segment is about INR249 crores.

We had deliberately reduced the book as it was not ROA accretive. As mentioned earlier, as our RAM Verticals are sustaining their organic growth momentum, we would keep this co-lending as secondary to our organic growth. The bank's liability business constitutes to 54% of the total business of the bank. Total deposits grew by 13.31% during the year, driven by gains in both retail term deposits and CASA.

CASA balances grew by 12% and INR3,290 crores is the actual growth during this year as against INR677 crores during last year, highest in the last 10 years in terms of actual growth. So demand deposits grew by 10% compared to 1% growth in the corresponding period of previous year. Savings deposits grew by 13% with incremental growth of INR2,505 crores, which is again the highest in terms of the actual amount.

The total deposits, excluding certificate of deposits, grew by 2.66% on a quarter-on-quarter basis. The subdued growth in term deposits in the last quarter was a conscious call taken. You are aware that we front-loaded our retail deposit growth in the first quarter itself with a growth of 5.3%. We also did not go for bulk deposits at the fag end of the year. Our bulk deposits grew by 9% year-on-year as against 44% in the corresponding previous period.

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Certificate of deposits was a tune of INR1,773 crores were also reduced during last quarter. This was a determined decision to optimize funding costs given the elevated CD rates during March. As all of you know, it ranged between 7.75% and sometimes 8.5% for 3 months to 1 year. These efforts substantially reduced our cost of funds by 9 basis points in the last quarter. All these were taken considering a moderation in advances growth and need to maintain margins in mind in the last quarter of the year. And assisted with this, the normal repricing of the RTD what has happened also, that also supported us a lot in the reduction in the cost of funds as well as cost of deposit. Our approach to focusing on higher balance savings account variance through both branch and sales channels has delivered encouraging outcomes. The average balances for newly acquired customers have demonstrated robust year-on-year progress in current accounts, savings accounts and overall CASA with an annual growth of 44%. Existing customers contributed a 4% increase this year, indicating that there are options available for customers to allocate their funds outside of traditional banking channels. Overall, the combined portfolio shows consistent advancement in acquisition quality and relationship strength, helping to build a more resilient and balanced CASA franchise.

The bank is strengthening its presence outside Tamil Nadu by partnering with institutional clients and state government bodies to capture recurring payment flows, which directly enhance deposits and customer visibility across these markets. Retail dep

osits increased by

11% during the quarter compared to 8.59% previously, demonstrating the branches' focus on attracting stable granular retail deposits for long-term stability.

In terms of margins, '25-'26 year was marked by sustained pressure throughout the year. Rising funding costs and repo rate reductions till the third quarter of the year created ongoing

challenges for the banks. With respect to net interest margins, we provided a guidance in the range of 3.7% to 3.75% for financial year '25 -'26 at the beginning of the year. We improved the guidance in the last call that NIM would be around 3.9% to 3.95% for the full year. I'm happy to say that we were able to maintain a NIM for the full year at 3.97%. If you can look at it, 4.11% actually, including one -off, the interest from the written -off accounts as well as the interest on income tax refund. So if you exclude that, it is 3.97%, which is literally as per just above our guidance. NIM for the fourth quarter was 4.25%, excluding 7 basis points interest income from tax refund -- income tax refund. This represents a 26 basis points increase from the prior quarter, primarily driven by 9 basis points reduction in the cost of funds and 18 basis points increase in yield of funds. The cost of deposits reduced by 13 basis points on a sequential basis as a major part of the deposits repriced during the year. The yield on advances increased by 16 basis points during the quarter. We were able to stem the reduction by improving our fixed rate loans in our asset portfolio mix. Our fixed rate loan book, which was at 23% in the total book at the end of December has now increased to 29% at the end of March '26. MCLR loan book has reduced from 20% to 14%.

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During the same period, EBLR book remained at 55%. Yield on investment has increased by 19 basis points during the quarter. For the full year, yield on investments was 6.68%, showing an increase of 7 basis points from 6.61% of the previous year. We have achieved operating profit of INR1,247 crores for the quarter and INR4,075 crores for the full year, a growth of 27% over previous year.

Our net profit touched a high of INR725 crores for the quarter and INR2,500 crores for the full year, a growth of 29%. So all of you must be knowing this quarter profit as well as the annual profit are highest in the history of the bank. Our operating expenses for the quarter is INR728 crores. Establishment expenses was at INR341 crores, decreased sequentially from INR363 crores, mainly due to lower pension obligations on account of increase in discount rates.

Other opex increased to INR 387 crores from INR380 crores sequentially, mainly on account of increase in rents, repairs and maintenance and channel-related fee, DSA commission and tech-related expenses. For full year under review, opex had gone up by 2.45% over previous year. For the quarter under review, we have provided a sum of INR116 crores towards NPA migrations, aging provisions and INR7 crores for standard assets.

We had a reversal of INR10 crores on release of provisions under restructured advances. Credit cost works out to 0.45% on an annualized basis. We have provided prudentially INR163 crores, I repeat INR163 crores is a onetime towards sectors identified that may get affected due to ongoing geopolitical tensions. So total provisions, including standard restructured, NPA, prudential and floating provisions as at the end of the year is INR1,747 crores, which work out to 1.77% of our advances.

Our gross slippages during the quarter was at INR187 crores. And for the full year, it was INR744 crores, which is 0.75% of our loan book. Slippage ratio, it is for the full year. If you can look at it, during the second quarter, we had some sort of a chunky slippages were there. So it comes to around INR200 crores. So I

NR744 crores includes the INR200 crores also.

SMA 30 -plus numbers were at INR172 crores at the end of March '26, which is 0.17% of our loan book, reduced from 0.3% of the previous year, indicating continued grip over this aspect. With our persistent focus on recovery from technically written -off accounts, we were able to recover a sum of INR216 crores during the quarter. Total recoveries during the year is INR679 crores from the written -off accounts, excluding INR139 crores interest recovery, which we have got it in one of the quarters, earlier quarters as against INR638 crores of 2024 -'25. Our gross NPA has come down marginally to 0.75% as against 0.76% of last year.

Our net NPA remains at the level of 0.19%, and we would continue to maintain net NPA at less than 1% of our loan book. Our standard restructured book is further reduced to 0.41% of our loan book, and the book is performing well, and we do not foresee any major setbacks, slippages from the book. Above all, many of them are backed by real estate collateral, and we are holding a 40 % provision for the said books.

Our cost -to-income ratio for the quarter is 37%, supported by higher recoveries, interest on income tax refund and lower establishment costs. And this is for the quarter and 42% for the

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full year, which is within the guidance of below 50%. Our CRAR continues to be healthy and is at 18.76%, providing us comfortable headroom for growth. There may not be any need to raise money in financial year '26-'27 for the growth plan as our plough-back of net profits will take care of our growth plan.

Our LCR is at 125.47%. The share of digital transaction stands at 98%. We have rolled out our new version of our mobile DLite app with enhanced features during the year. I'm happy to say that the rating for this app is 4.8 in Google Play, Google Play Store and 4.6 in Apple Store, and there are 2.5 million monthly active users for our DLite app and 7 million DLite downloads for the app. We have achieved an ROA of 2.1% in this quarter and 1.93% for the full year.

I'm happy to share that we have declared a dividend of 130% as declared last year, and this is subject to shareholders' approval. Of course, we need to see, so last year, we have issued a bonus share. So every 5 shares, 1 bonus share, we have given it. So this year, when we are paying this 130%, so the payout will be relatively more because we'll be paying on the bonus shares what we have issued.

Now let me move on to what we intend to do in financial year '26-'27. The global financial system faces significant challenges and uncertainty. Geoeconomic fragmentation driven by tariffs, trade restrictions and industrial policies is reshaping supply chains and fragmenting financial movement. As stated in April 2026 monetary policy, high frequency data up to February 2026 show continued economic growth led by strong private consumption and investment.

However, conflict in West Asia could impede progress, increased input costs from energy prices, freight, insurance and supply chain disruptions are expected to limit expansion. The MPC noted that the conflict's intensity and duration, along with related infrastructure damage raised risks for inflation and growth. India's economy remains resilient with strong fundamentals to absorb shocks.

It is prudent to wait and watch the changing circumstances and the evolving growth inflation outlook. Considering all the above, the outlook for '26-'27 remains cautious, moderated growth. We need to navigate the challenges carefully without compromising on the quality, which we have got it all along with a lot of efforts. We expect our credit growth to be 1% or 2% over the industry growth.

We have been focusing on margins for the past 2 years -- past few years. Considering the current scenario, we must take a strategic

bet on preserving relationships over margins. We need to balance both top line as well as the bottom line. Our RAM Verticals would continue to sustain the momentum. With respect to commercial, the relationship manager model approach under small business group would focus on increase in the ticket size in that segment. Business banking team would focus on non-fund business and export-oriented customers for increase in transaction-based fee income in addition to regularly what they do the working capital business. Under MSME segment, we may need to compromise on margins to some

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extent. In retail assets, our main goal is to further enhance collaboration between branches and the open market channel.

Over the past year, the bank has established a partnership for affordable housing, which will be expanded cautiously. We plan to launch premium credit cards in the first year of this year. LAP segment is experiencing strong pricing competition, making both customer retention and new acquisition a bit challenging. If we focus solely on maintaining margins, quality might become a concern. Our IT integration for loan against mutual fund is at the far end and is expected to be launched in the first half of this year.

Given the uncertainty in the external environment, it will be necessary to pursue corporate lending in a risk-calibrated approach. Under credit substitutes, we will be focusing more nonfinancial services customers for this year. The jewel loans portfolio encompassing all verticals accounts for 30% of the bank's overall portfolio. We maintain an internal cap of 35%, growth will be pursued in either retail or agriculture segments based on prevailing circumstances as increased expansion in retail would also indirectly elevate the PSL requirements.

We continue to focus on enhanced monitoring to take care of gold price fluctuations. Our

credit business mix, RAM and corporate would be in the mix of [18% to 20% as what we were mentioning earlier. However, it may toggle between another 5% allowance here and there can be there. Within the liability segment, we will maintain our dual approach of pursuing new acquisitions and strengthening existing partnerships.

This vertical has transitioned from traditional deposit mobilization to a technology-enabled transaction anchored franchise. Key focus areas include enhancing transaction banking services, expanding merchant ecosystems through expedited merchant acquisition and increasing CASA by leveraging institutional business initiatives. A dedicated NRI channel is planned to be rolled out. With respect to margins, we expect that NIMs to be in the range of 3.75% to 3.8% for the full year, though we are at 4% plus at the exit quarter of this year.

So we envisage a drop in margins due to expected rate increase in the retail time deposits. So you would have seen that we already increased rates in April 2026, and it will kick in from this quarter itself, the higher cost of deposits. In addition to that, we expect a drop in the yields on the advances side due to prevailing competition and to retain the relationships. Considering the uncertainties in the market, there may be fluctuations during the quarters.

Our endeavor is to maintain within the above range for the full year. So you can recollect that last year also, we have conveyed the same thing when we are giving the full year guidance. So 1 quarter can be here and there, but our endeavor is to deliver that number within the full year. So tactically, depending upon the opportunities available, we will be taking calls. One quarter may be low, 1 quarter may be high, but we'll keep in mind the full year.

We expect 15 to 20 basis points investment portfolio yield, yield enhancement through strategic rebalancing of the HTM portfolio during '26-'27. Our duration is relatively

low at less

than 4 years. We will maintain around 4 to 4.5 years in the medium term. Portfolio tilted with

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the yield curve expectation at any point of time. Our efforts on recoveries will continue, and we will take efforts to sustain the momentum.

With respect to branch expansion, we are planning to open 50 branches. Out of that 38 will be regular and 7 will be lite and another 5, we are going to shortlist shortly. So to the extent possible, how best we can front-load in the first half year, we will see that so that we'll get the benefit in the second quarter from these branches opened. Our cost-to-income ratio would be below 50% as we have been continuously planning, and we'll endeavor to retain that way. GNPA is expected to be less than 1.5% and net NPA to be less than 1% for the full year.

Slippages would be expected to be below 1% of the asset book. LCR would be maintained around 115% to 120%. RBI has issued final ECL provisioning guidelines, which we are reviewing. The bank has maintained adequate provisions and buffers through floating and prudential provisions over the past 3 years. With strong asset quality and provisions to advances at 1.77%, we expect minimal impact from this transition.

The bank recognizes that environmental, social and governance principles are fundamental to sustainable growth and responsible banking. Our commitment extends beyond compliance, focusing on real-world impact through ethical governance, environmental stewardship and social responsibility. By integrating ESG into our core business strategy, the bank aims to enhance financial resilience while contributing to a sustainable future.

Our ESG rating has improved to 68, which implies is a strong rating for the financial year '24-'25. It is awarded by CRISIL, demonstrating continuous enhancement in nonfinancial performance. We achieved a return on assets of 1.93% for the whole year of financial year '26 and 2.1% in the last quarter. There were one-off items for '25-'26 that contributed to 0.12% to our ROA calculation.

Given the current macroeconomic environment and the anticipated effects on the net interest margins discussed earlier, we expect the ROA for the full year to be between 1.7% to 1.8%. Nonetheless, we remain committed to exceeding the expectations to the extent possible. So our primary areas of focus will be to continue to have the focus on the growth, asset quality and profitability.

We understand the environment. It will be volatile, but we are prepared to adapt while keeping these core metrics strong. Finally, I'm grateful to all the investors, analysts and stakeholders for their confidence and continued support, which we will reciprocate through our better performance in the years to come.

Now I'll be much glad to respond to your questions. Thank you. Thank you, all.

Moderator: Thank you very much. We will take our first question from the line of Jai Mundhra from ICICI Securities. Please go ahead.

Jai Mundhra: Yes. Congratulations on a strong set of numbers. Sir, first, I just want to reconcile on the guidance part that you said. ROA is clear. But net interest margin, you said that we -- even for

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the last year, we started guiding at 3.75%, 3.80%, but we delivered 3.97%. Sorry, what is the guidance for FY '27, sir, on margin?

B. Ramesh Babu: In fact, I mentioned between 3.75% to 3.8%. So, in fact -- thank you, first of all, for the compliments. And now for this reason, 3.75% to 3.8% also, I elaborately explained the reasons why we wanted to do. Fundamentally, if you look at it, there are a few factors we need to keep in mind.

The cost of deposits, though we were thinking saying that the environment will be much easier and all you will be able to

get that. But still there is some sort of a tightness in the market. That is the reason we expect the cost of deposits to go up further, retail deposits also. And the second thing on the yield, so we have been pretty holding the rates -- interest rates, in the process, we find the leakages have become more.

Many of the existing accounts when others are offering very finest rates, we are losing. Now the stage has come, getting back these connections will become pretty difficult over a period of time if we still hold these rates so strong. So we may have to concede and reduce the rates to existing customers and also for the acquisition also, we have to be in the market, though as I said, our ETB, the disbursements are 29% on the commercial. So it may taper over a period of time.

That is the reason we need to take a conscious call, having such a strong NIM is good to have, but not at the cost of continuously losing the top line. So that is the reason what we thought, keeping all these things in mind. So we may have to compromise to some extent on the NIMs in this year. That's why I suggested for 3.7% to 3.8%.

Jai Mundhra: Right, sir. And sir, any numerical guidance on the growth part, sir, at overall level? I heard that gold, we have still internal scope, but what would be the overall book growth could look like?

B. Ramesh Babu: Yes, Jai, if you can look at it last year, we have conveyed 2% over the industry. So you would have seen RBI last data at the end of March, 16.1%. Exactly, we are more or less 18% now. 18% if you look at our RAM also 18%. If we take the corporate, which was not growing earlier also, if we include the credit substitutes, it has come out 18%. So what we planned it has come.

That is the reason we were relatively a bit slow in our quarter 4 when the pricing was pretty high. So we low. Otherwise, growing in credit is not a big task now. Engines are faring well. If you are unable to do inorganically growing also pretty easy, you can go for a pool purchase and buy that. But the point is for that you need to raise the deposits in such a way pretty costly and that you need to deploy that, which is not making any economic sense. That is the reason what we thought.

So let us confine to 18% and maintain the margins. This year also what the guidance I gave is, particularly in respect to the credit, so it will be 1% or 2% over the market or industry. Coming to the deposits is concerned, it will be derived from the credit growth, what all we are getting because earlier we were looking at the CD ratio. Now we will look at the LCR. So what all to

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the extent LCR permits and where we need to be in the range of 115% to 120%, we'll be mobilizing the deposits that too in a combination where CASA and so that our cost of deposits are under control.

Jai Mundhra: Right, sir. And last question is on -- sorry, on gold yield. Sir, what would be a blended gold yield on -- I mean the majority of the gold is agri gold. So what is the blended yield? I mean the gold having higher growth that also has favorable impact on the overall yield, right? That is correct or that is no t?

B. Ramesh Babu: Absolutely, correct, you are right that way. But if you look at it as you were mentioning 91% of our portfolio under agri is gold loan. So that is at 11%, that is at 11% when we are funding it and all. And rest is concerned, it's a smaller amount that way. But if you look at this agri portfolio also, everything is not repriced. Still a part of that under still MCLR. So that way a

small portion is below that rate. And even if something is more under the retail, the average if we can take it, it can be between 10.75 % to 11% you can take it.

Jai Mundhra: Okay, understood sir. And this quarter while I understood that there is some INR21, INR22 crores of interest IT refund, where that

number, that amount is in interest on advances line or

where is that? And apart from loan mix change, sir, what have, what helped in the uptick in the loan yield, because [inaudible 0:35:29]

Moderator : Jai, I'm sorry, you're sounding muffled. Can you repeat your question, please?

Jai Mundhra: Yes, sir, my question is where is the INR22 crores of interest on IT r efund in which line item? And...

B. Ramesh Babu: Yes, it is in the other interest income. Jai, it is in the other interest income. So...

: That is in the interest income line only. Part of interest income , when you are talking about NIM, we have excluded that income.

B. Ramesh Babu: Footnote was there at the star t. So we excluded that. So it's a part of interest only, we've included that, yes.

Jai Mundhra: Sure. I'm saying, sir, the loan yield, apart from loan mix change, corporate did not grow and retail agri grew. Was there any other thing which helped in the uptick in the loan yields on a Q-o-Q basis?

B. Ramesh Babu: Yes, yes, agreed. Yes, to the extent possible, suppose a few of the low -yielding advances, which is not making sense for us to the risk -reward portfolio, risk basis, if we are losing those accounts, automatically, rest of the portfolio, the yield will go up.

Jai Mundhra: Right, right. No, my only thing, sir, going ahead, when interest rates were to go up in retail deposit, you can also increase the MCLR, right? I mean the competitive intensit y is one thing, but [inaudible 0:36:48]?

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B. Ramesh Babu: Now it has come down drastically. Suppose 55% is under MCLR, 30% is under fixed now, 15% is there. So out of that, how much you can play around.

Moderator: Thank you. Next question is from the line of Pr itesh Bumb from DAM Capital. Please go ahead .

Pritesh Bumb : Yes, sir. Just 2 questions. One is on this prudential provisions of INR160-odd crores, what kind of sectors we would have taken it on? And what would be the ticket sizes?

B. Ramesh Babu: In fact, there are a few sectors which actually have a risk when we saw it can be, let us say, to some extent, textile also we have taken, okay? Like ceramics, we have taken, fertilizers, we have taken, chemicals, we have taken that way. To some extent, these granite quartz, all these things are also taken. And a few other sectors also we have taken where it can be a direct or indirect bearing will be there. Those sectors critically, they have seen that, based on the sector - wise, a call has been taken, how much we need to provide for that.

Pritesh Bumb : And sir, ticket size for that, I mean, broadly?

B. Ramesh Babu: Ticket size is based on a portfolio basis. On the portfolio, suppose if you take -- yes, there is textile portfolio is this, some sort of a working we have done that. How much is vulnerable, how much is susceptible, these things are seen. So with the different cuts and this thing and all, working has been done in consultation with the business verticals, risk has taken a call. So we thought it is worth it to keep that money rather than later repenting for that.

Pritesh Bumb : Sure. Just a follow -up on that. As the EC LGS scheme is now approved by the government, do we think that most of these accounts will be eligible in that and there could be reversal of these provisions?

B. Ramesh Babu: No, we have yet to see. You -- if you can recollect, you may not be looking at our position in 2020 when the sort of restructuring these provisions have come up. So we were one o f the banks who had very tight g ating conditions. Wherever actual genuine necessity is there, we have permitted a few things not for the sake of doing and to postpone the impending problem, we never allowed that .

So that was the reason, at that time, we were getting a feeling we will have more hits compared to other banks, but we thought it is better to b

ite the bullet at that time. But later, hindsight if

you look at it, our restructuring percentage is lowest amongst many banks. Now also, just now the scheme has come out, we need to l ook at it. We need to work out.

But the same principle we'll try to follow. Wherever absolutely a helping hand is required, definitely we'll come forward. But for the sake of restructuring and to postpone the problem, we may not do. So all these things we need to work and then we need to see. Now it will be

too premature to say anything about that.

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Pritesh Bumb : Sure. Second question was on the fixed rate book. You mentioned that it moved to 29% now. Apart from jewel loans, what kind of products would have contributed to that? And from here on, where do you see that mix to end up at?

B. Ramesh Babu: I can very well say a major portion is fixed rate because if you look at another product, vehicle loans will have to go into that one. But if you look at our vehicle loan portfolio for the last 3 years, it has been coming down. The reasons are many number of times I was mentioning, the pricing at these rates, if we give it, you may be locking in for 3 to 5 years, first thing. And second thing, the delinquency levels on the fixed rate vehicle book is pretty high. And third thing upfront commission you have to pay for the dealer, which cannot be amortized. With all these things, we stayed away from the vehicle loan book for the time being as a tactical approach. As and when it makes sense, we'll go. So with all these things, when we look at it, the majority, majority of the portfolio is jewel loans only.

Pritesh Bumb : Got it. And last question will be on write -off. This quarter write -off is slightly lower than the usual trend, which we have been seeing. Anything to read into that?

B. Ramesh Babu: No, you see the point is we were one of the banks with below 1% gross NPA. We are at 0.75%. So provision -wise, when the net NPA is around INR200 crores, comfortably you can provide. But there is no need to go for a write -off. That's why consciously, we have gone for a lower write -off compared to earlier years. So the ratios are okay, recovery is going on, with all these things, why should you go for an aggressive and accelerated write -off. That's the simple reason.

Moderator: Thank you. We will take our next question from the line of Rohan Mandora from Equi rus Securities. Please go ahead.

Rohan Mandora : Congrats on good set of numbers. Sir, this is regarding your question on -- your guidance on yields probably falling in next year. So I just want to understand like, like what's changing on the ground that will drive this competitive pressure on yields, because like if you look at the business environment, the liquidity that PSU banks have, that thing has been coming down over the last few quarters. So their ability to price at a very competitive rates would be lower incrementally. So what is that? Or is it just that you are giving a very conservative guidance to be able to beat that? How should we read on the guidance on the yield?

B. Ramesh Babu: Yes, Rohan...

Rohan Mandora : Is now anything -- or is there something else that we -- that you would want to highlight there?

B. Ramesh Babu: I'll respond to each of the points. Don't worry. So Rohan, thank you very much for the compliment. Now coming to the competition and the yields, I can very well say so market has much, much moved ahead as far as the concession pricing. And we have been holding to our pricing all along. Now the stage has come now. If we do not budge the good accounts what all we have, we may have to lose. So now we need to strike a balance between the top line and bottom line.

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Now tomorrow, if the growth is coming on

ly 8%, 9%, and if we maintain an ROA and NIM of

4.25% or 4%, all these things, it doesn't make much sense. We have to go in tandem. So that is the reason what we thought. The competition is coming from many corners, including a few private banks as well as public sector banks. So the point is to the extent possible, keeping the relationship that we have been maintaining.

Now stage may come, we may not be able to maintain. In that process, there can be an exodus of accounts in a particular geography. If a set of people know saying that such and such bank is offering such a rate and someone has gone there, there is every possibility along with the 10 more accounts may go out. So you need to be mindful of the fact that -- so what is the breaking point beyond that you cannot work.

Now somehow I feel the way the market has moved now and all, I agree, how this sort of a pricing risk -reward and all, theoretically, it will not work, but somehow theory is something different from the practice. So practically something what people quote and we are looking at

the sanction letters, approval letters also. So naturally, when the customer brings, you may have to yield .

So that way, what I said instead of having a future competition, I say competition has already come in 1 or 2 years back itself, we have been holding. Now we need to re-evaluate. Now coming to the public sector banks, what you said. Agreed, even then if you look at it, many of them are not in the 85% CD ratio also. The earlier concept of CD ratio has gone out now to some extent, and everyone is looking at the LCR.

Through LCR, how much is there ammunition with each one, we do not know. Naturally, if everyone loses their ammunition, if the pricing goes up, it will be good for us also, then we'll be able to comfortably give a better guidance. If you look at the last quarter, when we felt saying that the things have improved. On our own, we made the guidance of 3.9% to 3.95%. Market didn't demand for that. Despite that, we did it. The same is the case here. When we see bright spots saying that we will be able to command the pricing what we wanted and all, definitely, we'll come back and we'll revise our guidance.

Rohan Mandora : Sure. And sir, the risk of losing these accounts is to which category of banks, the large 5 banks or any other cohort as well?

B. Ramesh Babu: No, no, let us not talk about the competition. Competition can be from any corner. So that's why I do not want to name any bank in this.

Rohan Mandora : Sure. And sir, secondly, in terms of the on-ground activity within your borrower set in the past 2 months, even the macro environment where we are. So like if you can just share what is the business momentum there? What kind of an impact are you seeing in the sectors where you started creating provisions? Some color around that would be helpful.

B. Ramesh Babu: Yes. If you look at it, actually, textiles is one sector where you find saying that we have some sort of an exposure, particularly in our backyard, I can say is there. So they had the problem of

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tariff issues. And when tariff issues have come out now and all, suddenly other issues have come out now like not getting the vessels, these things.

Now suppose if we feel the U.S. government is refunding the tax, that also uncertainty is there, whether they'll get a part of the refund or not because these refunds are going to come to the importers. Whether the importer will be willing to share that or not, they do not know. Now if you look at the sector also, excepting the garment section, all others are able to pass on the higher pricing to the rest of the buyers.

But government is concerned, they are unable to pass on because the buyers are not accepting that way sharing to some extent happening. In addition to all these things, they have taken a cut

on

that, but the logistics is a problem now. With all these things, a few uncertainties have prevailed. Otherwise, it can return to a good position. So spinning is doing well and garments, all these things is a problem that way.

Textile to some extent can have a problem. But silver lining is during COVID, when whole world has stopped, next 2 years, we didn't have much problem. That's why we are keeping our fingers crossed the same way we'll be able to cross over this time also, there should not be a problem. Like other sectors, what I was mentioning, saying that it can be quartz, granite and chemicals, these sort of things are there.

This is a major part. But let me tell you what is the indirect effect of this. Suppose really on account of the Gulf for the inflation goes up, these things and all, it will have a bearing on many. Our portfolio majority, if you look at it, wholesale and retail trading services, food processing is there. So if the demand comes down, naturally, the utilizations will come down. As I was mentioning in my guidance, we started seeing the lower level of utilization in the working capital. 2% to 3%, it is down across the sectors, many sectors, it is there. So on one side, though we feel bad, the top line is coming down, other side, we are pretty happy because someone not needing the money, if they are taking the money and redeploying somewhere, getting back the money will be very difficult.

But here, we are happy. So we are continuing with the reduction in top line, but they have the discipline to maintain. So that way, we cannot straight away say that this sector will get impacted. It is absolutely a dynamic situation. We need to see. But to the extent possible, what we can visualize, our risk department can visualize, we visualize and we did it. If at all, if everything goes on well and the war is over, business as usual, we'll be reversing the provisioning, within the bank only, we have not left it outside.

Rohan Mandora : Sure. And sir, lastly, what was the cost of incremental term deposits currently? And I missed your comment on ROA and credit cost.

B. Ramesh Babu: Yes. We have launched the products for 7.2%. So we need to pay something more on the senior citizens also. So that way, if you look at our overall portfolio, the senior citizen deposit works between 27% to 30% of our total deposits. So a blended way, if you look at it, even if

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you assume majority of that is coming there also, it will be between 7.2% to 7.5%. That range, it can be at the max.

Rohan Mandora : Sure, sir. And the guidance on ROA and credit cost?

B. Ramesh Babu: ROA, I mentioned it will be between 1.7% to 1.8% with all the reasoning what I have given. Credit cost, I can think around less than 1% we can think of.

Moderator: Thank you. Next question is from the line of Akshat Agarwal from Smif s Limited. Please go ahead.

Akshat Agrawal : Congrats on another strong quarter. My first question is on other income. It saw a strong contribution even excluding the core fee income component, which was very strong. So this increased to INR336 crores. So can you help break down the drivers for that, if possible?

: So see, 2 things, sir. One, we had, what we call...

Moderator : I'm sorry, sir, can you come closer to the microphone, please? Your voice is not clear.

: We have our own third -party products, what we call it as insurance commission we get from selling of insurance products to our customers that we had a very good income last year. Apart from that, we had the recoveries from the SRs also, that also we had around INR28 crores, INR30 crores of SR provision...

B. Ramesh Babu: Akshat, in fact, few more heads also, I'll tell you. Our processing charges also have gone up by 18%. And as I was mentioning, our third -party income also has gone up. And I can say

this

year, the non -fund based, that is guarantee business, which we started focusing last year, we could see an uptick there. The income has come up there also.

So that way, a few of the smaller things, which we started taking with us, they are supporting us. So this can be one of the sources because our plan is in such stage, perennially, we cannot have the write -off recovery. It can be 1 year or 2 years. So our plan is how best a part of this 52 basis points under DuPont, what you are getting under the write -off, how you are going to compensate through other income so that finally, the ROA at the end will have to come. So in that anxiety, we started working. We need to see, but it is a long way to go that way. But a few levers which were not working earlier, worked this year. So that way we are able to support this other income levers.

Akshat Agrawal : Very well, sir. And while asset quality was robust, there were some higher slippages in the retail and commercial segment this quarter. So is this all seasonal or there's some West Asia, some slightly higher slippages due to that?

B. Ramesh Babu: No, no, I can say that it's not West Asia effect has not yet come into this one. But what we thought actually, which are on the borderline, where the activity is relatively low. So instead of we waiting for the time to get that, it is better you front -load that one and absolutely recognize

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that as an NPA, your chances of recovery are relatively better. So proactively few accounts where the sort of weakness we found out, we did it.

So that is the reason you can find this sort of a number. But whatever it is in my guidance when I was mentioning, when total whole year is INR740 crores, out of the INR220 crores, which are the 3 corporate accounts in the second quarter we had, if you exclude that one, it will be around INR500 crores. On a book of INR1 lakh crores, INR500 crores per year, 0.5% slippage is absolutely reasonable, Akshat.

Akshat Agrawal : Right, sir.

Moderator : Next question is from the line of M.B. Mahesh from Kotak Securities.

M.B. Mahesh : Congratulations. Sir, just a few questions. One is what is the contribution of recovery of written -off income in the noninterest income line, sir?

B. Ramesh Babu: It is this quarter, if you look at it, it is INR182 crores. And overall, if you look at it, including interest, all these things, INR670 crores, what I said, that was the number actually. So it is shared better than the last year number what we had.

M.B. Mahesh : Perfect. And in Page number 19, like corporate banking, you have been consistently increasing the share of BBB. Just if you could just kind of give us some clarity as to what is your thought process on this getting into what appears to be some weakness on the economic side.

B. Ramesh Babu: No, no, point is simple. What we did is we studied the past portfolio. It can be BB, BBB, AA, what all is there. And the gating conditions with which we are taking those accounts, not every BBB, we may not take, every BB, we may not take. We may have taken a few BB also. But all this consciously, we are looking at our gating conditions, whether we'll be able to manage, past when these accounts when we have taken, are they working well.

So we'll be able to manage these accounts, keeping all these things in mind, the risk as well as the business, they have taken a call, if continuously you confine to AAA and AA. So naturally, there's a fierce competition for these accounts and all, we will not be able to make any money. And second thing, when the cost of deposit is not coming and the yield on this has come down, so literally, you will not be able to recover even operating cost level on the margins.

That's the reason why we thought. Second point, if you look at it, we have been consciously trying to increase our

risk -weighted assets to total assets. You can see that average is between 55% to 58% only going on. So there is still a room available to us, which we can take it up to 65% over a period of time. or that, I'm not saying we will take the wild risk. It is an informed call we need to take, so along with the risk with the past experience what we have.

M.B. Mahesh : And sir, is there a default risk that you're seeing today? Is it any different from, let's say a A - rated portfolio that you're seeing BBB today?

B. Ramesh Babu: No, Mahesh, in fact, it's a very good point what you mentioned. At various levels, including MD, we are continuously in touch with the customers, we are talking to them every day across

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the segments, understanding what is happening. Surprisingly, even today, last 15 days when I'm talking, not even a single customer has given any pessimistic view saying that it is going to crash, I have a problem, nothing.

In fact, above all, if I'm asking any support is required funding -wise, none of them have come forward saying that the situation is definitely will come, for the time being, we can manage. So that way, so it is only we are visualizing this can happen and all. But on the ground, the confidence of the customers, if you look at it, they are pretty confident as they were earlier.

M.B. Mahesh : Perfect. Just one clarification. Is retaining existing term deposits, is that a problem that you're facing on the ground? Or getting new deposits is a problem? Which of the 2 is a bigger issue right now?

B. Ramesh Babu: No, no. I'll tell you, retailing is definitely we are able to maintain around 70%, 75%. Definitely, we'll be able to roll over, that is not a problem. The 20%, 25% also, when we go deep into that one, deeply, we delve into that one, we are finding if they have an alternate investment avenue like a real estate or something else or settling and all. So otherwise, people are willing to retain the money and fresh also started coming into the bank that way.

So that way it is coming. But the required flow what we wanted, the way it is not there, that force us to increase the pricing, which last year also, if you can look at it, we have front -loaded for the first quarter that build us out throughout the year, first and second quarter. We wanted to adopt the same strategy this year.

So we are focusing both on the fresh as well as retention. So retention also every day, what is the renewal percentage, our teams are looking at it. That too, division -wise, granular they see where something is not happening, they are seeing. So it's a 2 -pronged approach, both we are working on that.

M.B. Mahesh : Perfect, sir. And last one final clarification. Wage provision for the next 5 years, we will start making for it during the course of this year?

B. Ramesh Babu: No, no, I'll tell you it is yet to start actually because IBA has not yet formed the committee. They have to start that way and all. Once we have some sort of clarity, we can start doing. But recently, last year only, we have completed the whole thing and all. So once that -- the day starts, November that start, from then onwards, it's worth making a provision rather than doing it now itself.

M.B. Mahesh : I read the articles around it, that's why I feel.

B. Ramesh Babu: No, no, Mahesh, for the sake of comfort, I'll tell you, you've seen that the contingent provision, floating provision, other provisions, everything what all we put in. And above all, this war is not going to be permanent. As and when the proposed war comes to an end, you have another INR163 crores also buffer with you. With all these things coming up, these sort of smaller shocks here and are there, the bank has become so robust to take the sort of a shock, it should

not be a problem.

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Moderator: Thank you. Next question is from the line of Akshay Badlani from HDFC Securities. Please go ahead.

Akshay Badlani : Yes. My question is on gold loans. So last 2 years, we have increased the mix from 25% to 30% currently. So till where would we be comfortable? And also what would be our outlook on gold loan going forward, especially if the prices don't move up, slightly declining going forward?

B. Ramesh Babu: No, good question, Akshay. It's a very pertinent question also. It is topical. Now what I say, our internal limit were internally risk-wise because not now, initially itself when gold prices were not moving up itself proactively what we thought, we need to have a product level concentration limit. We thought 35% can be ideal. But still conservatively, we have been maintaining between 28 % to 30%, as you mentioned now.

So it can go up to 32%, 33% because depending upon the opportunity, what all is there, bring it down or if we find any other product which is worth giving and it is supporting our risk-reward, we may go that -- there also. But the increasing pricing and these things, when you say, we have introduced a very robust monitoring mechanism for the margin call.

And above all, if you look at it when the January and February when the gold price have gone to INR160,000 also, INR16,000, if you can say, 10 grams, and we never cross INR12,000 to INR13,000 or INR12,500. So that way itself, the market price to our price, there is a -- margin gap of around 20%, 25%. In addition to that, so we also maintain a margin internally on this price what all is there.

So more than 75%, we will not lend for the retail, and agriculture also, if you look at it, hardly 80%, 85%, we will give it. So with all these things, with the market price what all we have, we are having a margin of 20%, 30% to 40% on that. And above all, if you look at our LTV, we many times mentioned 45%, 50%, 55%, we also monitor in another way what is the portfolio above 75%. So that can be a portfolio which can be having a problem if really gold prices crash by 40%.

As I said, the gap between these 2, 40% is there. So that is absolutely miniscule. Above 75%, 80% portfolio, actually, what all we have is absolutely miniscule. It's less than 1% or 1.5% of the total portfolio. If that be the case, when we have rest of the things, everything we have formalized and having a grip, managing the sort of shocks should not be a problem. That's why in a risk-mitigated way we are going.

And next thing, the way the demand what we have is comfortably if we reduce the pricing from 11% to 9.5% or 9%, reaching 40% is just a cakewalk for us. The very reason why we made it from, so below 10% to 11% is to have a check on this so that we should not cross this 35% at any point of time.

So in a measured way, we will grow with that reason, while strengthening the internal mechanism what we have, it can be including the mystery shopping or increasing the number of checks what we have on the quality and totally digitize the total loans and centralize the

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audit teams to look at what is happening and all, the agriculture and all, we are looking at the end use also from centralized. With all these things, so compliance angles as well as risk angles and the pricing angles, they are trying to manage the portfolio in a better way so that we'll have an absolute control.

Moderator: Thank you. Next question is from the line of Jayant K from Axis Capital. Please go ahead.

Jayant K. : Congratulations on a great set of numbers. Sir, what is the amount of wage provision reversal this quarter that you have taken?

B. Ramesh Babu: Which provision?

Jayant K. : Employee expenses, you would have benefited from the yield hardening?

B. Ramesh Babu: Yes

, yes. But I tell you agreed. So if you look at it last quarter, if you look at employee provision, so AS 15, we have provided INR21 crores. This year, it is INR2 crores, okay? Pension payments and all more or less the same level continuing. So that way, I can say around less than INR 15 crores benefit we would have got on this employee count due to the hardening of the yields.

: INR15 crores in the fourth quarter.

B. Ramesh Babu: INR15 crores in the fourth quarter.

Jayant K. : INR15 crores. Okay. Sir, second question is on the margins again. The retail deposit hike that you have taken, how much is only that specific hike that you have taken in this quarter, what is that in basis points impact on our NIMs?

B. Ramesh Babu: That will be known in the next quarter. The reason is we started in April. So we need to watch and wait how it is working there because every deposit what all is coming, it will not go into the particular scheme and that supposed scheme, it may not go. So we need to wait and watch for this quarter. Once -- then only we'll have a full view on the incremental cost, what we are paying and what will be the bearing on the NIM.

That is the reason I was telling when I was giving the NIM guidance it can be a two -pronged approach. One will be on the cost of deposits can go up. Yield, I cannot wait for the deposit cost, how much it comes. By the time my exodus or the accounts would have been completed. So these 2 are independent. I need to work on the advances front, giving concessions.

And at the end of the quarter, we'll be knowing how much loss is there on account of the yield s, yield on advances and how much of the incremental cost we need to pay on the cost of deposits. But this whole math, this whole wheel when it is working and all the machine, that's why we thought saying that we may be landing between 3.7% to 3.8% on the NIM at the end.

Jayant K. : Sir, if I could just rephrase this question. You said roughly 30% of your book is where you expect the repricing to happen. And this will happen around 7.2% blended. What is the current yield on this?

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B. Ramesh Babu: I'll tell you, the repricing book, if you look at it we had to split that into 2 parts. Suppose if I say, let us say, 30% of the book is getting repriced, so 25% to 30%. Last quarter, Q4, we had the majority repricing. That's why you are able to see the major benefit of 16 basis points there in advances and yields also. This year, this quarter, we don't have that much of benefit.

And if you further dissect that one, you see the deposits which are 7.25% and above, they are coming to around 14% of the total deposits. If at all we are able to retain all these deposits at a lower rate, we will be able to get the benefit of that. And the rest of the renewals, what all are happening, we may not get much benefit there.

Jayant K. : Understood, sir. That is very clear. And lastly, sir, more from a growth perspective, why is that guidance 1% to 2% this year versus 2% last year? I understand the macro setup, but if the macro continues to be benign, should we assume we can again do an 18 -odd percent? Or is this more of a capital constraint that keeps you around that 15%, 16%, 17%?

B. Ramesh Babu: How can you say capital constraint, you see how much we are plugging back. At a point of time, our annual profit used to be INR250 crores. Now it is -- we have just added a 0 to that.

So with that, 18% of the capital adequacy something is there, that too, major portion is a Tier 1 straight away with a risk -weighted assets of 55%, there is a constraint for capital there.

Comfortably next 2 years, you can grow, not a problem at all.

Only thing what we thought is, as we said, it's a benign environment outside. When to grow, it's pretty easy to understand. When to lie low and take a careful call, that requir

es some sort of

care. So that is the reason we thought all along, we have proved and we have been doing is the right time, we have to be prudent not to be aggressive so that if we may get additional income by way of yield on advances, that should not offset by credit cost in the provisions. That is the reason what we thought let us continue this way, okay?

Jayant K. : Sir, last -- sir, one last question on the ECL transition. , get that onetime impact can be absorbed. But what is the steady -state credit cost impact -- ongoing credit cost impact?

B. Ramesh Babu: No, that some more time is required. Recently, circular has come. They were pretty busy with our results and all. So once we work out some sort of a clarity is there, we'll be able to share that.

Moderator : Ladies and gentlemen, we'll take that as the last question for today. I now hand the conference over to Mr. B. Ramesh Babu, MD and CEO, for closing comments. Over to you, sir.

B. Ramesh Babu: So thank you all for taking out time and to be in our call and the questions what you have asked that shows the interest what you have. So definitely, whole team is geared up. What best is possible, we'll always try to deliver that. Thank you for the guidance and the support once

again. Thank you, all.

Moderator : Thank you. On behalf of The Karur Vysya Bank, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.